



SKM EGG PRODUCTS

THINKING OUT OF THE SHELL

SKM EGG PRODUCTS EXPORT (INDIA) LIMITED

29TH

ANNUAL REPORT

2023-2024

Excellence - Our Goal
Service - Our Motto
Quality - Our Obsession





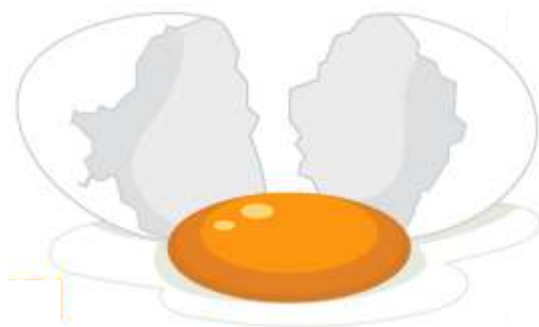
Contents

Corporate Overview & Management Reports

Notice to Share Holders.....	01
Directors' Report and Management Analysis.....	27
Financial Highlights / Company Overview / Corporate Information Report on Corporate Governance.....	39

Financial Statements

Standalone Financial Statements.....	97
Consolidated Financial Statements.....	162



**SKM EGG PRODUCTS EXPORT (INDIA) LIMITED**

CIN : L01222TZ1995PLC006025

REGD. OFFICE : 133, 133/1, GANDHIJI ROAD, ERODE - 638 001.

BOARD OF DIRECTORS	:	SHRI. SKM MAEILANANDHAN SHRI. SKM SHREE SHIVKUMAR SHRI. SK SHARATH RAM SMT. SHIVKUMAR KUMUTAAVALLI DR. L.M. RAMAKRISHNAN SHRI.C.DEVARAJAN SHRI. D. VENKATESWARAN SHRI. T.N. THIRUKUMAR SHRI. G.N. JAYARAM SHRI. B. ELANGO VAN (Resigned Wef 10.05.2024)	(DIN:00002380) (DIN:00002384) (DIN:09469919) (DIN:00002390) (DIN:00001978) (DIN:00109836) (DIN:05170759) (DIN:00124793) (DIN:08521023) (DIN:00133452)
EXECUTIVE CHAIRMAN	:	SHRI. SKM MAEILANANDHAN	(DIN:00002380)
MANAGING DIRECTOR	:	SHRI. SKM SHREE SHIVKUMAR	(DIN:00002384)
CHIEF FINANCIAL OFFICER	:	SHRI. K.S.VENKATACHALAPATHY	
COMPANY SECRETARY	:	SHRI. P. SEKAR	
STATUTORY AUDITOR	:	N C RAJAGOPAL & CO., 199, AGRAGARAM STREET, ERODE - 638 001.	
SECRETARIAL AUDITOR	:	SHRI. R.SAIPRASATH, M.B.A., FCS, COMPANY SECRETARY IN PRACTICE, 160/18-A, SRINIVASA TRADE CENTRE (1st Floor) RAMALINGAM ROAD (East),R.S.PURAM, COIMBATORE - 641002.	
BANKERS	:	STATE BANK OF INDIA COMMERCIAL BRANCH SATHY MAIN ROAD ERODE - 638 003.	
REGISTERED OFFICE	:	133,133/1, GANDHIJI ROAD, ERODE - 638 001.	
FACTORY	:	ERODE TO KARUR MAIN ROAD, CHOLANGAPALAYAM, PUNJAI KILAMBADI VILLAGE, ERODE - 638 154.	



NOTICE OF THE 29TH ANNUAL GENERAL MEETING

Notice is hereby given that the 29th Annual General Meeting of the members of **M/s. SKM Egg Products Export (India) Limited** will be held on **Wednesday, September 25, 2024 at 4.00 p.m. (IST)** through Video Conferencing ("VC") / Other Audio-Visual Means ("OAVM") to transact the following business:

ORDINARY BUSINESS:

1. To receive, consider and adopt standalone and consolidated Annual Financial Statements including Statement of Profit and Loss (including Other Comprehensive Income), along with the Statement of Cash Flows for the financial year ended March 31, 2024, the Balance Sheet as at that date, the Report of the Board of Directors and the Auditors thereon.
2. To declare a final dividend of Rs.2.50 per equity share of the face value of Rs.10/- each, of the Company for the financial year ended March 31st 2024.
3. To appoint a Director in the place of Mrs S Kumutaavalli (DIN: 00002390) who retires by rotation and being eligible, offers herself for re-appointment.

SPECIAL BUSINESS:

4.RE-APPOINTMENT OF SHRI. TN THIRUKUMAR AS AN INDEPENDENT DIRECTOR FOR A SECOND TERM OF 5 YEARS.

To consider and, if thought fit, to pass with or without modifications, the following as a SPECIAL RESOLUTION:

"RESOLVED THAT pursuant to the provisions of Sections 149 and 152 read with Schedule IV and other applicable provisions, if any, of the Companies Act, 2013 and the Rules made thereunder and applicable provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (including any statutory modification(s) or re-enactment(s) thereof for the time being in force), the Articles of Association of the Company and pursuant to recommendation of the Nomination and Remuneration Committee and approval of the Board of Directors, **Shri TN Thirukumar (DIN: 00124793)**, who was previously appointed as an Independent Director of the Company to hold office till 30th July, 2024 and being eligible for one more term and has submitted a declaration that he meets the criteria of independence under Section 149(6) of the Act and Regulation 16(1)(b) of SEBI Listing Regulations, and in respect of whom the Company has received a notice in writing from a Member under Section 160 of the Act signifying the Member's intention to propose Shri.TN Thirukumar for re-appointment as an Independent Director of the Company, be and is hereby re-appointed as an Independent Director of the Company, not liable to retire by rotation, to hold office for a second term of five years **from 31st July 2024 to 30th July, 2029.**

"RESOLVED FURTHER THAT the Board of Directors and the Company Secretary be and are hereby severally authorized to do and perform all such acts, deeds, matters or things as may be considered necessary to give effect to the above resolution".

**5. RE-APPOINTMENT OF SHRI. GN JAYARAM AS AN INDEPENDENT DIRECTOR FOR A SECOND TERM OF 5 YEARS.**

To consider and, if thought fit, to pass with or without modifications, the following as a SPECIAL RESOLUTION:

“RESOLVED THAT pursuant to the provisions of Sections 149 and 152 read with Schedule IV and other applicable provisions, if any, of the Companies Act, 2013 and the Rules made thereunder and applicable provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (including any statutory modification(s) or re-enactment(s) thereof for the time being in force), the Articles of Association of the Company and pursuant to recommendation of the Nomination and Remuneration Committee and approval of the Board of Directors, **Shri. GN JAYARAM (DIN: 08521023)**, who was previously appointed as an Independent Director of the Company to hold office till 30th July, 2024 and being eligible for one more term and has submitted a declaration that he meets the criteria of independence under Section 149(6) of the Act and Regulation 16(1)(b) of SEBI Listing Regulations, and in respect of whom the Company has received a notice in writing from a Member under Section 160 of the Act signifying the Member's intention to propose **Shri GN Jayaram** for re-appointment as an Independent Director of the Company, be and is hereby re-appointed as an Independent Director of the Company, not liable to retire by rotation, to hold office for a second term of five years from 31st July 2024 to 30th July, 2029.

“RESOLVED FURTHER THAT the Board of Directors and the Company Secretary be and are hereby severally authorized to do and perform all such acts, deeds, matters or things as may be considered necessary to give effect to the above resolution”.

6. APPOINTMENT OF SHRI RR SATHIYAMURTHI AS AN INDEPENDENT DIRECTOR OF THE COMPANY FOR A TERM OF 5 YEARS

To consider and, if thought fit, to pass with or without modifications, the following as a SPECIAL RESOLUTION:

“RESOLVED THAT pursuant to the provisions of Sections 149, 150, 152, 160, Schedule IV and other applicable provisions, if any, of the Companies Act, 2013 (“the Act”) read with the Companies (Appointment and Qualification of Directors) Rules, 2014 (including any statutory modifications or re-enactment thereof for the time being in force) and the applicable provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (“Listing Regulations”) (as amended) and the Articles of Association of the Company and upon recommendation of the Nomination and Remuneration Committee and approval of the Board of Directors, **Shri RR Sathiyamurthi, (DIN : 00505804)**, who was appointed as an Additional Director (categorized as Independent Director) with effect from 07th August, 2024 and who had submitted a declaration that he meets the criteria of independence under Section 149(6) of the Act and Regulation 16(1)(b) of SEBI Listing Regulations, and whose name is included in the databank as required under Rule 6 of the Companies (Appointment and Qualification of Directors) Rules, 2014, and in respect of whom the Company has received a notice in writing from a Member under Section 160 from a member proposing his candidature for the office of Director, be and is hereby appointed as an Independent Director of the Company, not liable to retire by rotation, to hold office for a term of five years, from 07th August 2024 to 06th August, 2029.”

“RESOLVED FURTHER THAT the Board of Directors and the Company Secretary be and are hereby severally authorized to do and perform all such acts, deeds, matters or things as may be considered necessary to give effect to the above resolution”

**7. APPOINTMENT OF SHRI K AHAMED SHEIK MOHIDEEN AS AN INDEPENDENT DIRECTOR OF THE COMPANY FOR A TERM OF 5 YEARS**

To consider and, if thought fit, to pass with or without modifications, the following as a SPECIAL RESOLUTION:

“RESOLVED THAT pursuant to the provisions of Sections 149, 150, 152, 160, Schedule IV and other applicable provisions, if any, of the Companies Act, 2013 (“the Act”) read with the Companies (Appointment and Qualification of Directors) Rules, 2014 (including any statutory modifications or re-enactment thereof for the time being in force) and the applicable provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (“Listing Regulations”) (as amended) and the Articles of Association of the Company and upon recommendation of the Nomination and Remuneration Committee and approval of the Board of Directors, **Shri K Ahamed Sheik Mohideen (DIN:00077439)**, who was appointed as an Additional Director (categorized as Independent Director) with effect from 07th August, 2024 and has submitted a declaration that he meets the criteria of independence under Section 149(6) of the Act and Regulation 16(1)(b) of SEBI Listing Regulations, and whose name is included in the databank as required under Rule 6 of the Companies (Appointment and Qualification of Directors) Rules, 2014, and in respect of whom the Company has received a notice in writing from a Member under Section 160 from a member proposing his candidature for the office of Director, be and is hereby appointed as an Independent Director of the Company, not liable to retire by rotation, to hold office for a term of five years, from 07th August 2024 to 06th August, 2029.”

“RESOLVED FURTHER THAT the Board of Directors and the Company Secretary be and are hereby severally authorized to do and perform all such acts, deeds, matters or things as may be considered necessary to give effect to the above resolution”

8. APPOINTMENT OF DR VIKRAM RAMAKRISHNAN AS AN INDEPENDENT DIRECTOR OF THE COMPANY FOR A TERM OF 5 YEARS

To consider and, if thought fit, to pass with or without modifications, the following as a SPECIAL RESOLUTION:

“RESOLVED THAT pursuant to the provisions of Sections 149, 150, 152, 160, Schedule IV and other applicable provisions, if any, of the Companies Act, 2013 (“the Act”) read with the Companies (Appointment and Qualification of Directors) Rules, 2014 (including any statutory modifications or re-enactment thereof for the time being in force) and the applicable provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (“Listing Regulations”) (as amended) and the Articles of Association of the Company and upon recommendation of the Nomination and Remuneration Committee and approval of the Board of Directors, **Dr Vikram Ramakrishnan (DIN:00150883)**, who was appointed as an Additional Director (categorized as Independent Director) with effect from 07th August, 2024 and who had submitted a declaration that he meets the criteria of independence under Section 149(6) of the Act and Regulation 16(1)(b) of SEBI Listing Regulations and whose name is included in the databank as required under Rule 6 of the Companies (Appointment and Qualification of Directors) Rules, 2014, and in respect of whom the Company has received a notice in writing from a Member under Section 160 from a member proposing his candidature for the office of Director, be and is hereby appointed as an Independent Director of the Company, not liable to retire by rotation, to hold office for a term of five years, from 07th August 2024 to 06th August, 2029.”



“RESOLVED FURTHER THAT the Board of Directors and the Company Secretary be and are hereby severally authorized to do and perform all such acts, deeds, matters or things as may be considered necessary to give effect to the above resolution”

9. APPOINTMENT OF SHRI K VIVEKANANDAN AS A NOMINEE DIRECTOR OF THE COMPANY

To consider and, if thought fit, to pass the following resolution as an **Ordinary Resolution**:

“RESOLVED THAT pursuant to the provisions of Section 149, 152, 160, 161 and all other applicable provisions of the Companies Act, 2013 and the Companies (Appointment and Qualification of Directors) Rules, 2014, including any statutory modification(s) or re-enactment thereof from time to time, read with Clause 90 of Articles of Association of the Company and Regulation 19(4) read with Part D of Schedule II of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations 2015, and any regulations, notifications **Mr K Vivekanandan (DIN:05354239)** who was appointed as an additional director (categorized as Nominee Director), be and is hereby appointed as a nominee director of the Company (representing TIDCO) with effect from 07th August, 2024 and whose office will not be liable to retire by rotation.”

“RESOLVED FURTHER THAT the Board of Directors and the Company Secretary be and are hereby severally authorized to do and perform all such acts, deeds, matters or things as may be considered necessary to give effect to the above resolution”

By Order of the Board

Sd/-

Place: Erode

Date: 07.08.2024

SKM Shree Shivkumar

Managing Director

(DIN : 00002384)

NOTES :

AGM THROUGH VIDEO CONFERENCE (VC) / OTHER AUDIO-VISUAL MEANS(OAVM).

The Ministry of Corporate Affairs (“MCA”) vide its Circular dated 5th May 2020 read with circulars dated 8th April 2020, 13th April 2020, 15th June 2020, 28th September 2020, 31st December 2020, 13th January 2021, 14th December 2021, 5th May 2022, 28th December 2022 and 25th September 2023 (collectively referred to as “MCA Circulars”) and the Securities and Exchange Board of India vide their circulars dated 12th May 2020, 15th January 2021, 13th May 2022, 5th January 2023 and 7th October 2023 (collectively referred to as “SEBI Circulars”) permitted the conduct of the Annual General Meeting (“AGM”) through Video Conferencing (“VC”)/Other Audio-Visual Means (“OAVM”), without the physical presence of the Members at a common venue. The deemed venue for the AGM shall be the Registered Office of the Company. In compliance with the provisions of the Companies Act, 2013 (“Act”), SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (“Listing Regulations”), MCA Circulars and SEBI Circulars, the AGM of the Company is being held through VC/OAVM. Members desirous of participating in the meeting through VC/OAVM, may refer to the procedures mentioned below

**QUORUM / PROXY FORM/ ATTENDANCE SLIP:**

A shareholder entitled to attend and vote at the meeting is entitled to appoint a proxy to attend and vote on his / her behalf and the proxy need not be a shareholder of the company. However, as this AGM is being held through VC / OAVM, physical attendance of shareholders is dispensed with. Accordingly, the facility for appointment of proxies by the Members is not applicable for this e-AGM. Hence the proxy form and attendance slip are not being annexed to this Notice.

Members attending the AGM through VC/ OAVM will be counted for reckoning the quorum under Section 103 of the Companies Act, 2013. Pursuant to Section 113 of the Companies Act, 2013 Body Corporates are entitled to appoint authorized representatives and requested to send a duly certified copy of Board Resolution authorizing their representative(s) to attend and vote at the e-AGM.

PARTICULARS OF DIRECTORS

In terms of the Regulation 36(3) of the Listing Regulations, read with Secretarial Standards on General Meeting, the particulars of Directors, who are proposed to be appointed/reappointed in this AGM, is given in Annexure to this Notice which forms part of the Annual Report.

EXPLANATORY STATEMENT:

A statement pursuant to Section 102 of the Companies Act, 2013, in respect of the Resolutions to be transacted at the meeting is annexed hereto.

BOOK CLOSURE:

Pursuant to Section 91 of the Companies Act, 2013 and SEBI (LODR) Regulations, 2015, the Register of members and Share Transfer Books of the Company will remain closed from Thursday, the 19th September 2024 to Wednesday, the 25th September 2024 (Both days inclusive).

RECORD DATE:

The Record Date, for the purpose of determining the entitlement of Members to the Dividend declared for the Financial Year 2023-24, will be **Wednesday, the 18th September, 2024.**

DIVIDEND:

Dividend on declaration will be paid on or before 24th October 2024 electronically to those members who have updated their bank details with their Depository Participants (DP) or with the Company / Registrar and Transfer Agent (RTA). The payment of such dividend is subject to deduction of tax at source.

Members are requested to update their KYC with their Depository Participants (DP) or with the Company / RTA to receive the Dividend directly into their bank account on the payout date.

TAX DEDUCTION AT SOURCE:



Members may note that the Income Tax Act, 1961, ("the IT Act"), as amended by the Finance Act, 2020, mandates that Dividend paid or distributed by a Company after April 01, 2020 shall be taxable in the hands of Members.

Form 15G / 15H:

Declaration in Form No. 15G (applicable to any No. 15H (applicable to an individual who is 60 to claim exemption from deduction of tax at source should be sent to the RTA on or before Wednesday, the 11th Sep, 2024. Please download Form 15G / 15H from the Income Tax portal.

UNCLAIMED DIVIDEND

In terms of Section 124 of the Act, 2013, the dividend declared by the Company, for earlier years, which remain unclaimed for a period of seven years will be transferred on due dates to the Investor Education and Protection Fund (IEPF), established by the Central Government.

Members who have not encased their Demand Drafts in respect of the above period are requested to make their claim(s) by surrendering the un-encased Demand Drafts to the Company immediately.

Pursuant to The Investor Education and Protection Fund Authority (Accounting, Audit, Transfer and Refund) Rules, 2016, the Company is providing / hosting the required details of unclaimed amount referred to under Section 124 of the Act, 2013 on its website <https://www.skmegg.com> under the section "Unpaid Dividend" and also on the website of MCA viz., www.iepf.gov.in.

ATTENDING E-AGM:

The Company has engaged NSDL to provide VC / OAVM facility. The detailed procedure and manner for participating in e-AGM through VC/OAVM is given.

VOTING RIGHTS:

The voting rights of the Members shall be in proportion to their shares of the paid-up equity share capital of the Company, subject to the provisions of Companies Act, 2013, as on the 18th September, 2024 (Cut off date)

VOTING PROCESS:

Shareholders can cast their votes through Remote e-Voting or at the AGM through e-Voting. The detailed process and instructions which form part of this notice.

MAILING OF AGM NOTICE & ANNUAL REPORT

The Electronic copies of Notice and the Annual Report of the 29th AGM of the company inter alia indicating the process and manner of e-voting along with instructions to attend the Annual General Meeting through Video-Conferencing / Other Audio-Visual Means (VC/OAVM) will be sent only by email to those Members whose email address has been made available to the Company / RTA/ Depository Participants.



Members who have not registered their email addresses, can register the same as per the procedure given in the Notice. The physical copies of Annual Report 2023-24 will be sent only to such of those shareholders who would make a valid request in this regard and had not registered their e-mail IDs with the Company.

The Notice calling the AGM has been uploaded on the website of the Company at www.skmegg.com

The Notice can also be accessed from the website of the Stock Exchanges i.e. NSE Limited at www.nseindia.com and BSE Limited at www.bseindia.com and the AGM Notice is also available on the website of NSDL (agency for providing the Remote e-Voting facility) i.e. www.evoting.nsdl.com

PROCEDURE FOR OBTAINING THE ANNUAL REPORT, AGM NOTICE AND E-VOTING INSTRUCTIONS BY THE SHAREHOLDERS WHOSE EMAIL ADDRESSES ARE NOT REGISTERED WITH THE DPS/ RTA:

Shareholders are advised to register/ update their email address and mobile number immediately, in case they have not done so earlier:

- In case of shares held in Demat mode, with their respective Dps.
- In case of shares held in physical mode, the shareholders are requested to send an email to our RTA – M/s. Link Intime India Pvt Limited at coimbatore@linkintime.co.in mentioning the Name of Member(s), Folio number along with the self-attested copy of PAN card.
- After due verification the RTA – M/s. Link Intime India Pvt Limited will send login credentials for attending the AGM and voting to the registered email address.
- Shareholders are advised to send the above documents to the RTA before the book closure date i.e. Thursday, the 19th September 2024 to receive the Annual Report for the FY 2023 – 2024 through email.
- Please note that as a valued shareholder of the Company, you are always entitled to request and receive all such communication in physical form free of cost. Further, the documents served through email are available on the Company's website (<https://www.skmegg.com>) and are also available for inspection at the Registered Office of the Company during specified business hours (Monday to Saturday 09:00 AM to 05:00 PM).
- Any person who becomes a shareholder of the company after despatch of the AGM Notice and holding shares as on the cut-off date may obtain the user Id and password by contacting the RTA at coimbatore@linkintime.co.in mentioning the Name of Member(s), Folio number along with the self-attested copy of PAN card.

ROUTE MAP:

Since the AGM will be held through VC/OAVM, the Route Map is not annexed in this Notice.



STATEMENT OF MATERIAL FACTS CONCERNING ITEMS OF SPECIAL BUSINESS

(Annexed to notice pursuant to Section 102 of the Companies Act, 2013)

Item No.04.

Mr TN Thirukumar (DIN: 00124793) was appointed as an Independent Director of the company by the members at the 24th Annual General Meeting held on 25th September 2019 for a period of 5 (five) consecutive years for a term from 31st July 2019 to 30th July 2024.

As per sub-section (10) of section 149 of the Companies Act, 2013, an Independent Director shall hold office for a term up to 5 (five) consecutive years on the Board of a Company but shall be eligible for re-appointment on passing a special resolution by the Company for another term of up to 5 (five) consecutive years on the Board of the Company.

The Nomination and Remuneration Committee and the Board of Directors have reviewed/evaluated the balance of skills, knowledge and experience on the Board and identified the role and capabilities required of an Independent Director and considered that the appointment of **Mr TN Thirukumar** with his experience and expertise will be of immense value addition to the Company.

Accordingly, **Mr TN Thirukumar** being eligible for re-appointment, is proposed to be re-appointed as an Independent Director for a second term of 5 (five) consecutive years. The Company has received declaration from him stating that he meets the criteria of Independence as prescribed under sub- section (6) of section 149 of the Companies Act, 2013 and regulation 16 (1) (b) of the SEBI Regulations.

Mr TN Thirukumar has also given his consent to continue to act as a Director of the Company, if so appointed by the members. **Mr TN Thirukumar** is not related to any Director of the Company

Particulars required under Regulation 36(3) of the Listing Regulations are given in Annexure that forms part of this Notice.

Except **Mr TN Thirukumar**, being an appointee, none of the other Directors and Key Managerial Personnel of the Company and their relatives are concerned or interested, financially or otherwise, in this resolution set out in the accompanying Notice of the Annual General Meeting.

The Board recommends this resolution set out at Item No. 4 of the Notice for your approval.

Item No.05.

Mr GN Jayaram (DIN: 08521023) was appointed as an Independent Director of the company by the members at the 24th Annual General Meeting held on 25th September 2019 for a period of 5 (five) consecutive years for a term from 31st July 2019 to 30th July 2024.

As per sub-section (10) of section 149 of the Companies Act, 2013, an Independent Director shall hold office for a term up to



5 (five) consecutive years on the Board of a Company but shall be eligible for re-appointment on passing a special resolution by the Company for another term of up to 5 (five) consecutive years on the Board of the Company.

The Nomination and Remuneration Committee and the Board of Directors have reviewed/evaluated the balance of skills, knowledge and experience on the Board and identified the role and capabilities required of an Independent Director and considered that the appointment of **Mr GN Jayaram** with his experience and expertise will be of immense value addition to the Company.

Accordingly, **Mr GN Jayaram** being eligible for re-appointment, is proposed to be re-appointed as an Independent Director for a second term of 5 (five) consecutive years. The Company has received declaration from him stating that he meets the criteria of Independence as prescribed under sub- section (6) of section 149 of the Companies Act, 2013 and regulation 16 (1) (b) of the SEBI Regulations.

Mr GN Jayaram has also given his consent to continue to act as a Director of the Company, if so appointed by the members. **Mr GN Jayaram** is not related to any Director of the Company

Particulars required under Regulation 36(3) of the Listing Regulations are given in Annexure that forms part of this Notice.

Except **Mr GN Jayaram**, being an appointee, none of the other Directors and Key Managerial Personnel of the Company and their relatives are concerned or interested, financially or otherwise, in this resolution set out in the accompanying Notice of the Annual General Meeting.

The Board recommends this resolution set out at Item No.5 of the Notice for your approval.

Item No.06

The Board of Directors had appointed **Mr RR Sathiyamurthi (DIN: 00505804)** as an Additional Director in the category of Independent Director at its meeting held on 7th August, 2024 under Section 161 of the Companies Act, 2013. In terms of the said Section, **Mr RR Sathiyamurthi** vacates office at this meeting. **Mr RR Sathiyamurthi** being Additional Director holds office up to the date of this Annual General Meeting. The Company has received a Notice in writing under Section 160 of the Act proposing his candidature for the office of Independent Director to be appointed as such under the provisions of Section 149 of the Companies Act, 2013.

The Board of Directors of the Company, on the basis of recommendation of the NRC, have reviewed the profile of **Mr RR Sathiyamurthi** and the declarations that he meets the criteria of independence as prescribed both under sub-section (6) of Section 149 of the Act and under Regulation 16(1) (b) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and the Board is of opinion that he fulfills the criteria of independence and is independent of the management. In the opinion of the Board, **Mr RR Sathiyamurthi** meets the fit and proper criteria and has the necessary knowledge and experience for being appointed as an Independent Director. Considering his vast expertise and knowledge, it would be in the interest of the company that **Mr RR Sathiyamurthi** is appointed as an Independent Director on the Board for a period of five (5) years from 07th August 2024 to 06th August 2029 has been put up for the approval of shareholders.



Particulars required under Regulation 36(3) of the Listing Regulations are given in Annexure that forms part of this Notice.

Except **Mr RR Sathiyamurthi** is interested in the Resolution to the extent as it concerns his appointment. No other Directors or Key Managerial Personnel or their relatives have any concern or interest, financial or otherwise, in passing of the said Resolution.

The Board recommends this resolution set out at Item No.6 of the Notice for your approval.

Item No.07

The Board of Directors had appointed **Mr. K Ahamed Sheik Mohideen (DIN:00077439)** as an Additional Director in the category of Independent Director at its meeting held on 7th August, 2024 under Section 161 of the Companies Act, 2013. In terms of the said Section, **Mr. K Ahamed Sheik Mohideen** vacates office at this meeting. Mr. K Ahamed Sheik Mohideen being Additional Director holds office up to the date of this Annual General Meeting. The Company has received a Notice in writing under Section 160 of the Act proposing his candidature for the office of Independent Director to be appointed as such under the provisions of Section 149 of the Companies Act, 2013

The Board of Directors of the Company, on the basis of recommendation of the NRC, have reviewed the profile of **Mr. K Ahamed Sheik Mohideen** and the declarations that he meets the criteria of independence as prescribed both under sub-section (6) of Section 149 of the Act and under Regulation 16(1) (b) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and the Board is of opinion that he fulfills the criteria of independence and is independent of the management. In the opinion of the Board, **Mr. K Ahamed Sheik Mohideen** meets the fit and proper criteria and has the necessary knowledge and experience for being appointed as an Independent Director. Considering his vast expertise and knowledge, it would be in the interest of the company that **Mr. K Ahamed Sheik Mohideen** is appointed as an Independent Director on the Board for a period of five (5) years from 07th August 2024 to 06th August 2029 has been put up for the approval of shareholders.

Particulars required under Regulation 36(3) of the Listing Regulations are given in Annexure that forms part of this Notice.

Except **Mr. K Ahamed Sheik Mohideen** is interested in the Resolution to the extent as it concerns his appointment. No other Directors or Key Managerial Personnel or their relatives have any concern or interest, financial or otherwise, in passing of the said Resolution.

The Board recommends this resolution set out at Item No.7 of the Notice for your approval.

**Item No.08**

The Board of Directors had appointed **Dr. Vikram Ramakrishnan (DIN:00150883)** as an Additional Director in the category of Independent Director at its meeting held on 7th August, 2024 under Section 161 of the Companies Act, 2013. In terms of the said Section, **Dr. Vikram Ramakrishnan** vacates office at this meeting. **Dr. Vikram Ramakrishnan** being Additional Director holds office up to the date of this Annual General Meeting. The Company has received a Notice in writing under Section 160 of the Act proposing his candidature for the office of Independent Director to be appointed as such under the provisions of Section 149 of the Companies Act, 2013

The Board of Directors of the Company, on the basis of recommendation of the NRC, have reviewed the profile of **Dr. Vikram Ramakrishnan** and the declarations that he meets the criteria of independence as prescribed both under sub-section (6) of Section 149 of the Act and under Regulation 16(1) (b) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and the Board is of opinion that he fulfills the criteria of independence and is independent of the management. In the opinion of the Board, **Dr. Vikram Ramakrishnan** meets the fit and proper criteria and has the necessary knowledge and experience for being appointed as an Independent Director. Considering his vast expertise and knowledge, it would be in the interest of the company that **Dr. Vikram Ramakrishnan** is appointed as an Independent Director on the Board for a period of five (5) years from 07th August 2024 to 06th August 2029 has been put up for the approval of shareholders.

Particulars required under Regulation 36(3) of the Listing Regulations are given in Annexure that forms part of this Notice.

Except **Dr. Vikram Ramakrishnan** is interested in the Resolution to the extent as it concerns his appointment. No other Directors or Key Managerial Personnel or their relatives have any concern or interest, financial or otherwise, in passing of the said Resolution.

The Board recommends this resolution set out at Item No.8 of the Notice for your approval.

Item No.09

Mr.K .Vivekanandan nominated by TIDCO vide their letter dated 10.05.2024 was appointed as an additional Director with effect from 07.08.2024 by the Board in accordance with Article 90 of the Articles of Association and section 161 of the Companies Act, 2013 ('the Act') and **Mr.K Vivekanandan** to be appointed as a Nominee Director at this AGM.

Mr.K .Vivekanandan has consented to the proposed appointment and declared qualified. The Board on the recommendation of its Nomination and Remuneration Committee and subject to approval of members in this AGM, has accorded its consent



to appoint **Mr.K .Vivekanandan** as a Nominee Director not liable to retire by rotation and will not be entitled for any remuneration except sitting fees for attending board meetings Particulars required under Regulation 36(3) of the Listing Regulations are given in Annexure that forms part of this Notice.

Except **Mr K Vivekanandan** is interested in the Resolution to the extent as it concerns his appointment. No other Directors or Key Managerial Personnel or their relatives have any concern or interest, financial or otherwise, in passing of the said Resolution.

The Board recommends this resolution set out at Item No.9 of the Notice for your approval.

**ANNEXURE TO THE NOTICE**

Details of directors seeking appointment/re-appointment required under Regulation 36 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirement) Regulations, 2015 and Secretarial Standard - 2 on General Meetings issued by the ICSI:

Name of Director	Smt. S. Kumutaavalli
Director Identification Number (DIN)	00002390
Designation/category of the Director	Non Executive Director
Date of Birth & Age	30.03.1973 & 51
Date of the first appointment	29.10.2010
Qualification	B.A.(CS), M.Sc., (Psychotherapy and Counselling), Diploma in Export and Import Management, Diploma in Advanced Information Management
Experience	More than 15 years
Directorships held in other companies	SKM Siddha and Ayurvedha Company (India) Private Limited SKM Universal Marketing Company (India) Private Limited SKM Shree Developers (India) Private Limited SKM Shree Herbals (India) Private Limited SKM Shrees Properties (India) Private Limited Erode Smart City Limited
Memberships / Chairmanships of committees of other companies	NIL
Inter-se relationship with other Directors and Key Managerial Personnel	SKM Maeilanandhan - Father in law SKM Shree Shivkumar – Husband SK Sharath Ram - Son
Shareholding in the Company	10,005
Terms and Conditions of appointment / re-appointment	1 year retire by rotation
Details of Remuneration sought to be paid	Sitting Fees
Remuneration last drawn	Rs. 31,000/-
No of board meetings attended	7



Details of directors seeking appointment/re-appointment required under Regulation 36 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirement) Regulations, 2015 and Secretarial Standard - 2 on General Meetings issued by the ICSI:

Name of Director	Shri TN Thirukumar
Director Identification Number (DIN)	00124793
Designation/category of the Director	Non-Executive Independent Director
Date of Birth & Age	24.05.1963 & 61
Date of the first appointment	31.07.2019
Qualification	Science Graduate from University of Madras
Experience	More than 15 years
Directorships held in other companies	Jansons Medicare Services private Limited Jansons Industries Limited Heritage Granites Private limited Jansons MRI Diagnostic Private limited
Memberships / Chairmanships of committees of other companies	NIL
Inter-se relationship with other Directors and Key Managerial Personnel	NIL
Shareholding in the Company	NIL
Terms and Conditions of appointment / re-appointment	Five Years
Details of Remuneration sought to be paid	Sitting Fee only
Remuneration last drawn	Rs. 23,000/-
No of board meetings attended	5



Details of directors seeking appointment/re-appointment required under Regulation 36 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirement) Regulations, 2015 and Secretarial Standard - 2 on General Meetings issued by the ICSI:

Name of Director	Shri GN Jayaram
Director Identification Number (DIN)	08521023
Designation/category of the Director	Non-Executive Independent Director
Date of Birth & Age	17.05.1964 & 60
Date of the first appointment	31.07.2019
Qualification	B.Sc., FCA
Experience	More than 15 years of experience in finance
Directorships held in other companies	NIL
Memberships / Chairmanships of committees of other companies	NIL
Inter-se relationship with other Directors and Key Managerial Personnel	NIL
Shareholding in the Company	NIL
Terms and Conditions of appointment / re-appointment	Five Years
Details of Remuneration sought to be paid	Sitting Fee only
Remuneration last drawn	Rs.31,000/-
No of board meetings attended	7



Details of directors seeking appointment/re-appointment required under Regulation 36 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirement) Regulations, 2015 and Secretarial Standard - 2 on General Meetings issued by the ICSI:

Name of Director	Shri RR Sathiyamurthi
Director Identification Number (DIN)	00505804
Designation/category of the Director	Non-Executive Independent Director
Date of Birth & Age	19.12.1977 & 47
Date of the first appointment	07.08.2024
Qualification	BArch., M.S. in Construction Management from Birmingham University, U.K
Experience	More than 10 years of experience as an Industrialist
Directorships held in other companies	Sri Swasi Infraz Private Limited Selvamadhu Infrass Private Limited R.R.Thulasi Builders (India) Private Limited Tulasi Star Homes India Private Limited Selvamadhu Infrass LLP
Memberships / Chairmanships of committees of other companies	NIL
Inter-se relationship with other Directors and Key Managerial Personnel	NIL
Shareholding in the Company	NIL
Terms and Conditions of appointment / re-appointment	Five Years
Details of Remuneration sought to be paid	Sitting Fee only
Remuneration last drawn	NIL
No of board meetings attended	NIL



Details of directors seeking appointment/re-appointment required under Regulation 36 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirement) Regulations, 2015 and Secretarial Standard - 2 on General Meetings issued by the ICSI:

Name of Director	Shri K Ahamed Sheik Mohideen
Director Identification Number (DIN)	00077439
Designation/category of the Director	Non-Executive Independent Director
Date of Birth & Age	25.07.1963 & 61
Date of the first appointment	07.08.2024
Qualification	B. Com
Experience	More than 20 years of experience as an Industrialist
Directorships held in other companies	KKSK Tanning Company Private Limited KKSK Industries Private Limited KKSK Greenfields Private Limited KKSK Hides Private Limited Raswi Industries Private Limited Artis Leathers Private Limited IKKI Green Energy Private Limited
Memberships / Chairmanships of committees of other companies	NIL
Inter-se relationship with other Directors and Key Managerial Personnel	NIL
Shareholding in the Company	NIL
Terms and Conditions of appointment / re-appointment	Five Years
Details of Remuneration sought to be paid	Sitting Fee only
Remuneration last drawn	NIL
No of board meetings attended	NIL



Details of directors seeking appointment/re-appointment required under Regulation 36 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirement) Regulations, 2015 and Secretarial Standard - 2 on General Meetings issued by the ICSI:

Name of Director	Dr Vikram Ramakrishnan
Director Identification Number (DIN)	00150883
Designation/category of the Director	Non-Executive Independent Director
Date of Birth & Age	19.5.1973 & 51
Date of the first appointment	07.08.2024
Qualification	MBBS, FRCS (UK), MBA (INSEAD – Singapore and France)
Experience	More than 15 years of experience as an Industrialist
Directorships held in other companies	Elkayem Auto Ancillaries Private Limited Kovai Hills Edinfra Private Limited Vivus Education Private Limited Quick Silver Education Private Limited Erode Medical Supplies Private Limited SVASAS Holdings Private Limited
Memberships / Chairmanships of committees of other companies	NIL
Inter-se relationship with other Directors and Key Managerial Personnel	NIL
Shareholding in the Company	NIL
Terms and Conditions of appointment / re-appointment	Five Years
Details of Remuneration sought to be paid	Sitting Fee only
Remuneration last drawn	NIL
No of board meetings attended	NIL



Details of directors seeking appointment/re-appointment required under Regulation 36 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirement) Regulations, 2015 and Secretarial Standard - 2 on General Meetings issued by the ICSI:

Name of Director	Mr K. Vivekanandan
Director Identification Number (DIN)	05354239
Designation/category of the Director	Non-Executive Nominee Director
Date of Birth & Age	16.06.1972 and 52
Date of the first appointment	07.08.2024
Qualification	BE., MBA.,
Experience	More than 13 years
Directorships held in other companies	Sree Maruthi Marine Industries Ltd TICEL Bio Park Limited Tamilnadu Polymer Industries Park Ltd DLF Info Park Developers (Chennai) Ltd Tamilnadu Smart and Advanced Manufacturing Centre Tamilnadu Centre of Excellence for Advanced Manufacturing Tamilnadu Advance Manufacturing Centre of Excellence Private Ltd
Memberships / Chairmanships of committees of other companies	DLF Info Park Developers (Chennai) Ltd-Audit Committee Member
Inter-se relationship with other Directors and Key Managerial Personnel	NIL
Shareholding in the Company	NIL
Terms and Conditions of appointment / re-appointment	NIL
Details of Remuneration sought to be paid	Sitting Fee only
Remuneration last drawn	NIL
No of board meetings attended	NIL

**THE INSTRUCTIONS FOR MEMBERS FOR REMOTE E-VOTING AND JOINING GENERAL MEETING ARE AS UNDER:-**

The remote e-voting period begins on 22nd September 2024 at 09:00 A.M. and ends on 24th September, 2024 at 05:00 P.M. The remote e-voting module shall be disabled by NSDL for voting thereafter. The Members, whose names appear in the Register of Members / Beneficial Owners as on the record date (cut-off date) i.e. the 18th September 2024, may cast their vote electronically. The voting right of shareholders shall be in proportion to their share in the paid-up equity share capital of the Company as on the cut-off date, being the 18th September 2024.

How do I vote electronically using NSDL e-Voting system?

The way to vote electronically on NSDL e-Voting system consists of “Two Steps” which are mentioned below:

Step 1: Access to NSDL e-Voting system**A) Login method for e-Voting and joining virtual meeting for Individual shareholders holding securities in demat mode**

In terms of SEBI circular dated December 9, 2020 on e-Voting facility provided by Listed Companies, Individual shareholders holding securities in demat mode are allowed to vote through their demat account maintained with Depositories and Depository Participants. Shareholders are advised to update their mobile number and email Id in their demat accounts in order to access e-Voting facility.

Login method for Individual shareholders holding securities in demat mode is given below:

Type of shareholders	Login Method
Individual Shareholders holding securities in demat mode with NSDL.	- Existing IDeAS user can visit the e-Services website of NSDL Viz. https://eservices.nsdl.com either on a Personal Computer or on a mobile. On the e-Services home page click on the “Beneficial Owner” icon under “Login” which is available under ‘IDeAS’ section, this will prompt you to enter your existing User ID and Password. After successful authentication, you will be able to see e-Voting services under Value added services. Click on “Access to e-Voting” under e-Voting services and you will be able to see e-Voting page. Click on company name or e-Voting service provider i.e. NSDL and you will be re-directed to e-Voting website of NSDL for casting your vote during the remote e-Voting period or joining virtual meeting & voting during the meeting. - If you are not registered for IDeAS e-Services, option to register is available at https://eservices.nsdl.com. Select “Register Online for IDeAS Portal” or click at https://eservices.nsdl.com/SecureWeb/IdeasDirectReg.jep



Type of shareholders	Login Method
	3. Visit the e-Voting website of NSDL. Open web browser by typing the following URL: https://www.evoting.nsdl.com/ either on a Personal Computer or on a mobile. Once the home page of e-Voting system is launched, click on the icon “Login” which is available under 'Shareholder/Member' section. A new screen will open. You will have to enter your User ID (i.e. your sixteen digit demat account number hold with NSDL), Password/OTP and a Verification Code as shown on the screen. After successful authentication, you will be redirected to NSDL Depository site wherein you can see e-Voting page. Click on company name or e-Voting service provider i.e. NSDL and you will be redirected to e-Voting website of NSDL for casting your vote during the remote e-Voting period or joining virtual meeting & voting during the meeting. 4. Shareholders/Members can also download NSDL Mobile App “NSDL Speede” facility by scanning the QR code mentioned below for seamless voting experience NSDL Mobile App is available on  App Store  Google Play  
Individual Shareholders holding securities in demat mode with CDSL	1. Users who have opted for CDSL Easi / Easiest facility, can login through their existing user id and password. Option will be made available to reach e-Voting page without any further authentication. The users to login Easi /Easiest are requested to visit CDSL website www.cdslindia.com and click on login icon & New System Myeasi Tab and then user your existing my easi username & password. 2. After successful login the Easi / Easiest user will be able to see the e-Voting option for eligible companies where the e-voting is in progress as per the



Type of shareholders	Login Method
	information provided by company. On clicking the e-voting option, the user will be able to see e-Voting page of the e-Voting service provider for casting your vote during the remote e-Voting period or joining virtual meeting & voting during the meeting. Additionally, there is also links provided to access the system of all e-Voting Service Providers, so that the user can visit the e-Voting service providers' website directly. 3. If the user is not registered for Easi/Easiest, option to register is available at CDSL website www.cdslindia.com and click on login & New System Myeasi Tab and then click on registration option. 4. Alternatively, the user can directly access e-Voting page by providing Demat Account Number and PAN No. from a e-Voting link available on www.cdslindia.com home page. The system will authenticate the user by sending OTP on registered Mobile & Email as recorded in the Demat Account. After successful authentication, user will be able to see the e-Voting option where the e-voting is in progress and also able to directly access the system of all e-Voting Service Providers.
Individual Shareholders (holding securities in demat mode) login through their depository participants	You can also login using the login credentials of your demat account through your Depository Participant registered with NSDL/CDSL for e-Voting facility. upon logging in, you will be able to see e-Voting option. Click on e-Voting option, you will be redirected to NSDL/CDSL Depository site after successful authentication, wherein you can see e-Voting feature. Click on company name or e-Voting service provider i.e. NSDL and you will be redirected to e-Voting website of NSDL for casting your vote during the remote e-Voting period or joining virtual meeting & voting during the meeting.

Important note: Members who are unable to retrieve User ID/ Password are advised to use Forget User ID and Forget Password option available at abovementioned website.

Helpdesk for Individual Shareholders holding securities in demat mode for any technical issues related to login through Depository i.e. NSDL and CDSL.



Login type	Help desk details
Individual Shareholders holding securities in demat mode with NSDL	Members facing any technical issue in login can contact NSDL helpdesk by sending a request at evoting@nsdl.com or call at 022 - 4886 7000
Individual Shareholders holding securities in demat mode with CDSL	Members facing any technical issue in login can contact CDSL helpdesk by sending a request at helpdesk.evoting@cdslindia.com or contact at toll free no. 1800 22 55 33

B) Login Method for e-Voting and joining virtual meeting for shareholders other than Individual shareholders holding securities in demat mode and shareholders holding securities in physical mode.

How to Log-in to NSDL e-Voting website?

1. Visit the e-Voting website of NSDL. Open web browser by typing the following URL: <https://www.evoting.nsdl.com/> either on a Personal Computer or on a mobile.
2. Once the home page of e-Voting system is launched, click on the icon "Login" which is available under 'Shareholder/Member' section.
3. A new screen will open. You will have to enter your User ID, your Password/OTP and a Verification Code as shown on the screen.

Alternatively, if you are registered for NSDL eservices i.e. IDEAS, you can log-in at <https://eservices.nsdl.com/> with your existing IDEAS login. Once you log-in to NSDL eservices after using your log-in credentials, click on e-Voting and you can proceed to Step 2 i.e. Cast your vote electronically.

4. Your User ID details are given below :

Manner of holding shares i.e. Demat (NSDL or CDSL) or Physical	Your User ID is:
a) For Members who hold shares in demat account with NSDL.	8 Character DP ID followed by 8 Digit Client ID For example if your DP ID is IN300*** and Client ID is 12***** then your user ID is IN300***12*****.
b) For Members who hold shares in demat account with CDSL.	16 Digit Beneficiary ID For example if your Beneficiary ID is 12***** then your user ID is 12*****.
c) For Members holding shares in Physical Form.	EVEN Number followed by Folio Number registered with the company For example if folio number is 001*** and EVEN is 101456 then user ID is 101456001***



5. Password details for shareholders other than Individual shareholders are given below:
- a) If you are already registered for e-Voting, then you can use your existing password to login and cast your vote.
 - b) If you are using NSDL e-Voting system for the first time, you will need to retrieve the 'initial password' which was communicated to you. Once you retrieve your 'initial password', you need to enter the 'initial password' and the system will force you to change your password.
 - c) How to retrieve your 'initial password'?
 - (i) If your email ID is registered in your demat account or with the company, your 'initial password' is communicated to you on your email ID. Trace the email sent to you from NSDL from your mailbox. Open the email and open the attachment i.e. a .pdf file. Open the .pdf file. The password to open the .pdf file is your 8 digit client ID for NSDL account, last 8 digits of client ID for CDSL account or folio number for shares held in physical form. The .pdf file contains your 'User ID' and your 'initial password'.
 - (ii) If your email ID is not registered, please follow steps mentioned below in **process for those shareholders whose email ids are not registered**.
6. If you are unable to retrieve or have not received the "Initial password" or have forgotten your password:
- a) Click on **"Forgot User Details/Password?"** (If you are holding shares in your demat account with NSDL or CDSL) option available on www.evoting.nsdl.com.
 - b) **"Physical User Reset Password?"** (If you are holding shares in physical mode) option available on www.evoting.nsdl.com.
 - c) If you are still unable to get the password by aforesaid two options, you can send a request at **evoting@nsdl.com** mentioning your demat account number/folio number, your PAN, your name and your registered address etc.
 - d) Members can also use the OTP (One Time Password) based login for casting the votes on the e-Voting system of NSDL.
7. After entering your password, tick on Agree to "Terms and Conditions" by selecting on the check box.
8. Now, you will have to click on "Login" button.
9. After you click on the "Login" button, Home page of e-Voting will open.

Step 2: Cast your vote electronically and join General Meeting on NSDL e-Voting system.

How to cast your vote electronically and join General Meeting on NSDL e-Voting system?

1. After successful login at Step 1, you will be able to see all the companies "EVEN" in which you are holding shares and whose voting cycle and General Meeting is in active status.



2. Select “EVEN” of company for which you wish to cast your vote during the remote e-Voting period and casting your vote during the General Meeting. For joining virtual meeting, you need to click on “VC/OAVM” link placed under “Join Meeting”.
3. Now you are ready for e-Voting as the Voting page opens.
4. Cast your vote by selecting appropriate options i.e. assent or dissent, verify/modify the number of shares for which you wish to cast your vote and click on “Submit” and also “Confirm” when prompted.
5. Upon confirmation, the message “Vote cast successfully” will be displayed.
6. You can also take the printout of the votes cast by you by clicking on the print option on the confirmation page.
7. Once you confirm your vote on the resolution, you will not be allowed to modify your vote.

General Guidelines for shareholders

1. Institutional shareholders (i.e. other than individuals, HUF, NRI etc.) are required to send scanned copy (PDF/JPG Format) of the relevant Board Resolution/ Authority letter etc. with attested specimen signature of the duly authorized signatory(ies) who are authorized to vote, to the Scrutinizer by e-mail to acsramkumar@gmail.com with a copy marked to evoting@nsdl.com. Institutional shareholders (i.e. other than individuals, HUF, NRI etc.) can also upload their Board Resolution / Power of Attorney / Authority Letter etc. by clicking on "Upload Board Resolution / Authority Letter" displayed under "e-Voting" tab in their login.
2. It is strongly recommended not to share your password with any other person and take utmost care to keep your password confidential. Login to the e-voting website will be disabled upon five unsuccessful attempts to key in the correct password. In such an event, you will need to go through the “Forgot User Details/Password?” or “Physical User Reset Password?” option available on www.evoting.nsdl.com to reset the password.
3. In case of any queries, you may refer the Frequently Asked Questions (FAQs) for Shareholders and e-voting user manual for Shareholders available at the download section of www.evoting.nsdl.com or call on.: 022 - 4886 7000 or send a request to evoting@nsdl.com

Process for those shareholders whose email ids are not registered with the depositories for procuring user id and password and registration of e mail ids for e-voting for the resolutions set out in this notice:

1. In case shares are held in physical mode please provide Folio No., Name of shareholder, scanned copy of the share certificate (front and back), PAN (self attested scanned copy of PAN card), AADHAR (self attested scanned copy of Aadhar Card) by email to shares@skmegg.com.
2. In case shares are held in demat mode, please provide DPID-CLID (16 digit DPID + CLID or 16 digit beneficiary ID), Name, client master or copy of Consolidated Account statement, PAN (self attested scanned copy of PAN card), AADHAR (self attested scanned copy of Aadhar Card) to shares@skmegg.com. If you are an Individual shareholders holding securities in demat mode, you are requested to refer to the login method explained at **step 1 (A) i.e. Login method for e-Voting and joining virtual meeting for Individual shareholders holding securities in demat mode**



3. Alternatively shareholder/members may send a request to evoting@nsdl.com for procuring user id and password for e-voting by providing above mentioned documents.
4. In terms of SEBI circular dated December 9, 2020 on e-Voting facility provided by Listed Companies, Individual shareholders holding securities in demat mode are allowed to vote through their demat account maintained with Depositories and Depository Participants. Shareholders are required to update their mobile number and email ID correctly in their demat account in order to access e-Voting facility.

THE INSTRUCTIONS FOR MEMBERS FOR e-VOTING ON THE DAY OF THE AGM ARE AS UNDER:-

1. The procedure for e-Voting on the day of the AGM is same as the instructions mentioned above for remote e-voting.
2. Only those Members/ shareholders, who will be present in the AGM through VC/OAVM facility and have not casted their vote on the Resolutions through remote e-Voting and are otherwise not barred from doing so, shall be eligible to vote through e-Voting system in the AGM.
3. Members who have voted through Remote e-Voting will be eligible to attend the AGM. However, they will not be eligible to vote at the AGM.
4. The details of the person who may be contacted for any grievances connected with the facility for e-Voting on the day of the AGM shall be the same person mentioned for Remote e-voting.

INSTRUCTIONS FOR MEMBERS FOR ATTENDING THE AGM THROUGH VC/OAVM ARE AS UNDER:

1. Member will be provided with a facility to attend the AGM through VC/OAVM through the NSDL e-Voting system. Members may access by following the steps mentioned above for **Access to NSDL e-Voting system**. After successful login, you can see link of "VC/OAVM" placed under "**Join meeting**" menu against company name. You are requested to click on VC/OAVM link placed under Join Meeting menu. The link for VC/OAVM will be available in Shareholder/Member login where the EVEN of Company will be displayed. Please note that the members who do not have the User ID and Password for e-Voting or have forgotten the User ID and Password may retrieve the same by following the remote e-Voting instructions mentioned in the notice to avoid last minute rush.
2. Members are encouraged to join the Meeting through Laptops for better experience.
3. Further Members will be required to allow Camera and use Internet with a good speed to avoid any disturbance during the meeting.
4. Please note that Participants Connecting from Mobile Devices or Tablets or through Laptop connecting via Mobile Hotspot may experience Audio/Video loss due to Fluctuation in their respective network. It is therefore recommended to use Stable Wi-Fi or LAN Connection to mitigate any kind of aforesaid glitches.
5. Shareholders who would like to express their views/have questions may send their questions in advance mentioning their name demat account number/folio number, email id, mobile number at shares@skmegg.com. The same will be replied by the company suitably.
6. Registration of Speaker can be done through email to shares@skmegg.com in 5 days advance before the AGM date.



BOARD REPORT

To,

The Members,

The Directors are pleased to present the Twenty Ninth (29th) Annual Report of the Company together with the audited financial statements (standalone and consolidated) for the year ended 31st March 2024.

In compliance with the applicable provisions of Companies Act, 2013, (including any statutory modification(s) or re-enactment(s) thereof, for time being in force) ("Act") and the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI Regulations"), this report covers the financial results and other developments during the financial year ended 31st March 2024, in respect of **M/s. SKM Egg Products Export (India) Limited**

1. FINANCIAL HIGHLIGHTS & STATE OF AFFAIRS:

STANDALONE

(Rs. in Lacs)

Particular	Year Ended 31.03.2024	Year Ended 31.03.2023
Operating Income	68,995.23	65,713.62
Other Income	1157.69	125.43
Total Income	70,152.92	65,839.05
Earnings before Interest, Taxes, Depreciation and Amortization	16,247.34	14,494.01
Less: Financial Cost	1,028.50	935.50
Depreciation & Amortization	3,973.23	3,362.14
Profit Before tax	11,245.61	10,196.37
Less: Tax Expenses		
Current	2,776.67	2,655.92
Deferred Tax	77.95	(1.84)
Profit/(Loss) for the period	8,390.99	7,542.29
Other Comprehensive Income (net of Tax)	332.45	1.22
Profit after Tax and available for appropriation	8,723.44	7,543.51
APPROPRIATIONS		
Dividend Paid	658.25	131.65
Surplus carried to Balance Sheet	8,065.19	7,411.86



CONSOLIDATED

(Rs. in Lacs)

Particular	Year Ended 31.03.2024	Year Ended 31.03.2023
Operating Income	70,112.60	66,177.04
Other Income	1,157.69	125.43
Total Income	71,270.29	66,302.46
Earnings before Interest, Taxes, Depreciation and Amortization	16,235.28	14,542.18
Less: Financial Cost	1,031.76	941.00
Depreciation & Amortization	3,973.90	3,362.14
Add: Share of Profit/(Loss) of Associates	164.25	13.91
Profit Before tax	11,393.87	10,252.97
Less: Tax Expenses		
Current	2,776.67	2,655.92
Deferred Tax	77.95	(1.84)
Profit /(Loss) for the period	8,539.25	7,598.88
Less: Net Profit attributable to Non-controlling Interest	(2.40)	6.40
Other Comprehensive Income (net of Tax)	347.91	6.00
Profit after Tax and available for appropriation	8,889.56	7,598.48
APPROPRIATIONS		
Dividend Paid	658.25	131.65
Surplus carried to Balance Sheet	8,231.31	7,466.83

**Standalone Financial Results:**

During the Financial Year (FY) 2023-24, the Company has achieved highest ever operating income of 68,995.23 Lakhs as compared to 65,713.62 Lakhs in FY 2022-23. The profit before tax for FY 2023-24 stood at 11,245.61 Lakhs compared to 10,196.37 Lakhs achieved in FY 2022-23. The profit after tax stood at 8,723.44 Lakhs for FY 2023-24 as compared to 7,543.51 Lakhs for the previous year.

Consolidated Financial Results:

The Company's consolidated revenue for FY 2023-24 was 70,112.60 Lakhs as compared to 66,177.04 for the previous year. During the year under review, the consolidated profit after tax stood at 8,889.56 Lakhs as compared to 7,598.48 Lakhs for the previous year.

2. DIVIDEND:

For the FY 2023-24, the Company declared a final dividend of Rs 2.50 Paise on equity shares of Rs 10/- each with the total outlay of Rs 658.25 Lakhs .

In view of the changes made under the Income Tax Act, 1961, by the Finance Act, 2020, dividend paid or distributed by the Company shall be taxable in the hands of the shareholders. Your Company shall, accordingly, make the payment of the dividend after deduction of tax at source.

3. TRANSFER TO RESERVE:

The Company has not transferred any amount to the Reserves for the financial year ended 31st March, 2024.

4. TRANSFER OF UNCLAIMED DIVIDEND AND SHARES TO THE INVESTOR EDUCATION AND PROTECTION FUND (IEPF):

In accordance with the provisions of Sections 124 and 125 of the Act and Investor Education and Protection Fund (Accounting, Audit, Transfer and Refund) Rules, 2016 ("IEPF Rules"), dividends of a company which remain unpaid or unclaimed for a period of seven years from the date of transfer to the Unpaid Dividend Account shall be transferred by the company to the Investor Education and Protection Fund ("IEPF").

In terms of the foregoing provisions of the Act, the dividend amount of Rs. 9,49,944 along-with the shares (63,898 nos) for the financial year 2015-16 (Interim) which remains outstanding, transferred to the IEPF by the Company during the year ended 31st March, 2024

5. SHARE CAPITAL:

During the year under review, there were no changes in the issued and paid-up share capital of the Company. The Company has not issued any sweat equity shares to its directors or employees and also has not made any buy back of shares during the year under review.

The Paid-up Share Capital of the Company as on 31st March, 2024 is Rs. 26,33,00,000 divided into 2,63,30,000 Equity Shares of Rs10 each fully paid up.

**6. NUMBER OF MEETINGS OF THE BOARD OF DIRECTORS:**

During the financial year 2023-24, seven meetings of the Board were held during the year. For details of meetings of the Board, please refer to the Corporate Governance Report, which is a part of this report.

7. BOARD COMMITTEES:

The details of each of the Committees comprising their composition, charter and details of meetings held during the year are provided in the Corporate Governance Report, **Appendix 1** to this Report.

8. CORPORATE GOVERNANCE:

Pursuant to Regulation 34(3) of the Listing Regulations a report on Corporate Governance along with a Certificate from the statutory auditor towards compliance of the provisions of Corporate Governance, forms an integral part of this Annual Report and are given in **Appendix 1**.

9. MATERIAL CHANGES AND COMMITMENTS BETWEEN THE END OF FINANCIAL YEAR UNDER REVIEW AND THE DATE OF THE REPORT:

There are no material changes and commitments affecting the financial position of the Company which have occurred between the end of the financial year ended 31st March, 2024 to which the Financial Statements relates and the date of signing of this report.

10. REPORT ON THE PERFORMANCE AND FINANCIAL POSITION OF SUBSIDIARY INCLUDED IN THE CONSOLIDATED FINANCIAL STATEMENTS:

Details of Foreign subsidiaries SKM EUROPE BV

During the year under review, our Foreign Subsidiary has posted a turnover of **Rs.2,394.60 lakhs**. The loss for the year amounted to **Rs.16.00 lakhs**.

Pursuant to Section 129 (3) of the Companies Act, 2013 read with Rule 5 of the Companies (Accounts) Rules, 2014, a statement containing salient features of the financial statements of the Company's Subsidiaries and Associate Company in Form No. AOC-1 is attached to this report as **Appendix-2**

11. DEMATERIALISATION OF SHARES:

The Company's shares are compulsorily traded in dematerialised form on NSE and BSE. Under the Depository System, the International Securities Identification Number (ISIN) allotted to the Company's shares is **INE411D01015**.

Shareholders were advised to convert their holdings from physical mode to Demat mode considering overall merits of the depository system and total prohibition on transfer of shares in physical mode from 01.04.2019. Transposition and Transmission are, however, exempted from this amendment. No request for Transfer of shares in physical mode was received during the FY 2023 – 2024.


The details of Dematerialised and physical holding of shares, as on 31st March, 2024:

Type of holding	No of Shares	Percentage
Physical	19,36,360	07.35
Demat	2,43,93,940	92.65
Total	2,63,30,000	100.00

The Company's Registrar is **M/s Link Intime India Pvt Limited.**, having their branch Office at **“Surya”, 35, Mayflower Avenue, Behind Senthil Nagar, Sowripalayam Road, Coimbatore-641028, Tamil Nadu (RTA).**

12. MANAGEMENT DISCUSSION & ANALYSIS REPORT:

Pursuant to Regulation 34(2) of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements), Regulations, 2015, a detailed discussion on the industry structure as well as on the financial and operational performance is contained in the 'Management Discussion and Analysis Report' that forms an integral part of this Report – **Appendix-3.**

13. CORPORATE SOCIAL RESPONSIBILITY ('CSR'):

In accordance with the requirements of Section 135 of the Act, the Company has constituted a Corporate Social Responsibility (CSR) Committee and also formulated a Corporate Social Responsibility Policy (CSR Policy) which is available on the website of the Company at www.skmegg.com. An Annual Report on CSR activities of the Company during the financial year 2023-24 as required to be given under Section 135 of the Act read with Rule 8 of the Companies (Corporate Social Responsibility Policy) Rules, 2014 has been provided as an **Appendix 4** to this Report

14. DETAILS OF ESTABLISHMENT OF VIGIL MECHANISM / WHISTLE BLOWER POLICY, AND AFFIRMATION THAT NO PERSONNEL HAS BEEN DENIED ACCESS TO THE AUDIT COMMITTEE;

The Company has in place a Vigil Mechanism / Whistle Blower Policy which facilitates the stakeholders to have direct access to the management and the Audit Committee, to report concerns about any unethical behaviour, actual or suspected fraud or violation of the Company's code of conduct or ethics policy. It is hereby affirmed that no employee has been denied access to the Audit Committee. The said policies are also available on the website of the Company i.e. <https://www.skmegg.com>

15. RELATED PARTY TRANSACTIONS:

The Board had formulated the policy on Related Party Transactions (RPTs) in line with Section 188 of the Companies Act, 2013. During FY 2023-24, all contracts/ arrangements/ transactions entered into by the Company with related parties were in the ordinary course of business and on an arm's length basis. All the Related Party Transactions are placed before the Audit Committee for prior approval, as required under the Act and Listing regulations. A statement of all Related Party Transactions is placed before the Audit Committee for its review on a quarterly basis. There were no materially significant Related Party Transactions made by the Company during the year



The policy on materiality of and dealing with related party transactions as approved by the Audit Committee and the Board of Directors is uploaded on the website of the Company and the link for the same is www.skmegg.com there are no transactions which are not on arm's length basis and material in nature, Particulars of contracts or arrangements with related parties referred to in Section 188(1) of the Act and in compliance with the Listing Regulations, is enclosed to this report as **Appendix 5**

16. BUSINESS RISK MANAGEMENT:

The Risk Management policy has been placed on the website of the Company and the web link thereto is www.skmegg.com

17. INTERNAL FINANCIAL SYSTEM AND THEIR ADEQUACY:

The Company has adequate internal control systems to monitor business processes, financial reporting and compliance with applicable regulations. The systems are periodically reviewed for identification of control deficiencies and formulation of time bound action plans to improve efficiency at all the levels. The Audit Committee of the Board constantly reviews internal control systems and their adequacy, significant risk areas, observations made by the internal auditors on control mechanism and the operations of the Company and recommendations made for corrective action through the internal audit reports. The Committee reviews the statutory auditors' report, key issues, significant processes, and accounting policies. The Directors confirm that the Internal Financial Controls are adequate with respect to the operations of the Company. A report of Auditors pursuant to Section 143(3) (i) of the Act certifying the adequacy of Internal Financial Controls is annexed with the Auditors Report

18. CONSERVATION OF ENERGY, TECHNOLOGY ABSORPTION, FOREIGN EXCHANGE EARNINGS AND OUTGO:

Information as per Section 134 of the Companies Act, 2013 read with Rule 8 of the Companies (Accounts) Rules, 2014 relating to conservation of energy, technology absorption, foreign exchange earnings and outgo is given in **Appendix 6**

19. EXTRACT OF ANNUAL RETURN:

Pursuant to Section 92(3) and 134(3)(a) of the Act the Annual Return of the Company prepared in accordance with Section 92(1) of the Act read with Rule 11 of the Companies (Management and Administration) Rules, 2014 (as amended), is placed on the website of the Company and is accessible at the web-link www.skmegg.com

20. BOARD EVALUATION:

The Board of Directors has carried out an annual evaluation of its own performance, board committees, and individual directors pursuant to the provisions of the Act and SEBI Listing Regulations. The performance of the board was evaluated by the Board after seeking inputs from all the directors on the basis of criteria such as the board composition and structure, effectiveness of board processes, information and functioning, etc. The performance of the committees was evaluated by the Board after seeking inputs from the committee members on the basis of criteria such as the composition of committees, effectiveness of committee meetings, etc. The above criteria are broadly based on the Guidance Note on Board Evaluation issued by the Securities and Exchange Board of India on January 5, 2017. In a separate meeting of independent directors, performance of non-independent directors, the Board as a whole and Chairman of the Company was evaluated, taking into account the views of executive directors and non-executive directors.



The Board and the Nomination and Remuneration Committee reviewed the performance of individual directors on the basis of criteria such as the contribution of the individual director to the board and committee meetings like preparedness on the issues to be discussed, meaningful and constructive contribution and inputs in meetings, etc.

The Performance Evaluation of the Independent Directors was carried out by the entire Board. The policy is available on the website of the company at www.skmeegg.com

21. Policy for Remuneration to Directors:

I) Non-Executive Directors including Independent Directors:

The Nomination and Remuneration Committee (NRC) shall decide the basis for determining the compensation, both Fixed and Variable, payable to the Non-Executive Directors, including Independent Directors, whether as commission or otherwise. The NRC shall take into consideration various factors such as Director's participation in Board and Committee meetings during the year, other responsibilities undertaken, such as membership or chairmanship of committees, time spent in carrying out their duties, role and functions as envisaged in Schedule IV of the Companies Act, 2013 ("the Act") and the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations") and such other factors as the NRC may deem fit for determining the compensation.

II) Whole Time Director(s) / Executive Director(s) Key Managerial Personnel and other employees

The compensation paid to the executive directors (including the Managing Director) will be within the scale approved by the shareholders. The elements of the total compensation, approved by the Nomination and Remuneration Committee will be within the overall limits specified under the Act

The Company's total compensation for Key Managerial Personnel as defined under the Act / other employees will consist of:

- » fixed compensation
- » variable compensation in the form of annual incentive
- » benefits
- » work related facilities and, perquisites

III) Performance Evaluation by the Board of its own performance and its Committees

The performance of the Board is evaluated by the Board in the overall context of understanding by the Board of the Company's principle and values, philosophy and mission statement, strategic and business plans and demonstrating this through its action on important matters, the effectiveness of the Board and the respective Committees in providing guidance to the Management of the Company and keeping them informed, open communication, the constructive participation of members and prompt decision making, level of attendance in the Board meetings, constructive participation in the discussion on the Agenda items, monitoring cash flow profitability, income & expenses, productivity & other financial indicators, so as to ensure that the Company achieves its planned results, effective discharge of the functions and roles of the Board, etc

22. INDEPENDENT DIRECTOR MEETING:

As per Schedule IV of the Companies Act, 2013, Secretarial Standards-1 on Board Meetings ('SS-1') and SEBI (Listing



Obligations and Disclosure Requirements) Regulations, 2015, during FY24, a meeting of the Independent Directors was held on **18th March, 2024**, to discuss inter-alia the performance evaluation of the Board, its Committees, Chairman and the individual Directors, assessment of information flow from Management to the Board and evaluation and self-assessment of the training requirements of Independent Directors.

23. DECLARATION BY INDEPENDENT DIRECTOR:

All the Independent Directors have submitted a declaration of independence, stating that they meet the criteria of independence provided under section 149(6) of the Act, as amended, and regulation 16(1)(b) and 25 of the Listing Regulations. The Independent Directors have also confirmed compliance with the provisions of Rule 6 of Companies (Appointment and Qualifications of Directors) Rules, 2014, as amended, relating to inclusion of their name in the databank of independent directors maintained by Indian Institute of Corporate Affairs.

24. DEPOSITS:

The company has not accepted deposits from the public.

25. POLICY ON PREVENTION OF SEXUAL HARASSMENT:

The Company has put in place anti sexual harassment policy in line with the requirements of the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013. The policy is gender neutral. Internal Complaints Committee has been set up to redress the complaints received, if any, regarding sexual harassment. No complaint on sexual harassment was received during FY 2023-2024

26. DIRECTORS & KEY MANAGERIAL PERSONNEL:

During Financial year 2023-24, the Board of Directors at its meeting held on 2nd August 2023 appointed Mr B Elangovan as an Additional Director (Nominee Director as per letter received from TIDCO) and regularised his appointment as Nominee Director with the approval of 28th Annual General Meeting of the Shareholders.

Shri SK Sharath Ram who was appointed as an Additional Director and with the approval of shareholders, his appointment was regularised and through Postal Ballot notice dated 04th December, 2023. Shri SK Sharath Ram has been redesignated as an Executive Director for the period of five years.

Pursuant to Section 203 of the Companies Act, 2013, the following persons have been designated as the Key Managerial Personnel of the Company

- i) Shri. SKM.Maelanandhan, Executive Chairman,
- ii) Shri. SKM Shree Shivkumar, Managing Director,
- iii) Shri. SK Sharath Ram, Executive Director,
- iv) Shri. K.S. Venkatachalapathy, Chief Financial officer and
- v) Shri. P.Sekar, Company Secretary.

27. DIRECTORS' RESPONSIBILITY STATEMENT:

The Directors' Responsibility Statement referred to in Section 134 (3) (c) of the Companies Act, 2013, shall state that:

(a) in the preparation of the annual accounts, the applicable accounting standards had been followed along with proper explanation relating to material departures;



(b) the directors had selected such accounting policies and applied them consistently and made judgments and estimates that are reasonable and prudent so as to give a true and fair view of the state of affairs of the Company at the end of the financial year and profit of the Company for that period;

(c) the directors had taken proper and sufficient care for the maintenance of adequate accounting records in accordance with the provisions of Companies Act, 2013 for safeguarding the assets of the Company and for preventing and detecting fraud and other irregularities;

(d) the directors had prepared the annual accounts on a going concern basis;

(e) the directors had devised proper systems to ensure compliance with the provisions of all applicable laws and that such systems were adequate and operating effectively.

28. SIGNIFICANT AND MATERIAL ORDERS PASSED BY THE REGULATORS OR COURTS:

There have been no significant and material orders passed by the Regulators, Courts or Tribunals which would impact the going concern status and Company's operations in future.

29. CHANGE IN THE NATURE OF THE BUSINESS, IF ANY:

There was no change in the nature of business of the Company during the financial year ended 31st March 2024.

30. THE DETAILS OF APPLICATION MADE OR ANY PROCEEDING PENDING UNDER THE INSOLVENCY AND BANKRUPTCY CODE, 2016 (31 OF 2016) DURING THE FINANCIAL YEAR:

There is no application made or any proceeding pending under the Insolvency and Bankruptcy Code, 2016 (31 of 2016) during the financial year 2023-2024.

31. THE DETAILS OF DIFFERENCE BETWEEN AMOUNT OF THE VALUATION DONE AT THE TIME OF ONE TIME SETTLEMENT AND THE VALUATION DONE WHILE TAKING LOAN FROM THE BANKS OR FINANCIAL INSTITUTIONS ALONG WITH THE REASONS THEREOF DURING THE FINANCIAL YEAR:

Not applicable during the financial year.

32. AUDITORS

A) STATUTORY AUDITOR

The Company obtained the approval of Shareholders at the 27th AGM held on 16th September, 2022 for the appointment of M/s. N.C. Rajagopal & Co., Chartered Accountants, Erode (Firm Registration No 003398S) as Statutory Auditors of the Company for a term of Five years to hold office from the conclusion of the 27th Annual General Meeting till the conclusion of 32nd Annual General Meeting.

B) SECRETARIAL AUDITORS

Pursuant to the provisions of Section 204 of The Companies Act, 2013 and the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014, the company has appointed Mr. R. Saiprasath, Company Secretary in Practice, Coimbatore. (CP No.:16979, Membership No: F 11555), to undertake the secretarial audit of the company for the FY2023-24. The report of the secretarial audit of the company is annexed herewith as **Appendix-7**



The Company has undertaken an audit for the Financial Year ended 31st March, 2024 for all applicable compliances as per the Regulation 24A of the Listing Regulations and Circulars/ Guidelines issued thereunder. The Annual Secretarial Compliance Report, issued by Mr. Saiprasath, Company Secretary in Practice, Coimbatore. (CP No.:16979, Membership No: F 11555), have confirmed compliance with securities laws applicable to the Company and the same has been taken on record by the Board of Directors at its meeting held on 22nd May, 2024. The compliance report does not contain any qualification, reservation, adverse remark and the Board has approved filing of the same with the stock exchanges.

C) INTERNAL AUDITOR

The company has appointed Mr. R. Muralitharan B.Com., FCA., Chartered Accountant as a Internal Auditor of the company and their report reviewed by the Audit Committee & Board

D) COST AUDITOR

The requirement of cost audit as prescribed under the provisions of Section 148(1) of the Companies Act, 2013 are not applicable for the business activities carried out by the Company.

33. REPORTING OF FRAUD BY STATUTORY AUDITORS

There were no instances of frauds identified or reported by the Statutory Auditors during the course of their audit pursuant to Section 143(12) of the Act..

34. COMMENTS ON AUDITORS' REPORT:

There was no qualification, reservations or adverse remarks made by the Statutory Auditor and the Secretarial auditor in their respective reports. In respect of the observations made by the secretarial auditor, the same is self-explanatory.

35. PARTICULARS OF LOANS/GUARANTEE/INVESTMENTS:

During the year, the Company did not give any loan or provided any Security or Guarantee details of investment, have been given in the notes to the Financial Statements.

36. PARTICULARS OF EMPLOYEES AND RELATED DISCLOSURES:

As prescribed under Section 197(12) of the Companies Act, 2013 ("Act") and Rule 5(1) of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014, the details are given in **Appendix-8**

37. INSIDER TRADING CODE:

In terms of the provisions of the Securities and Exchange Board of India (Prohibition of Insider Trading) Regulations, 2015, as amended (PIT Regulations), the Company has adopted the revised "Code of Conduct to Regulate, Monitor and Report Trading by Insiders" ("the Code"). The Code is applicable to all Directors, Designated persons and connected Persons and their immediate relatives, who have access to unpublished price sensitive information relating to the Company. The Company has also formulated a 'Code of Practices and Procedures for Fair Disclosure of Unpublished Price Sensitive Information (UPSI)' in compliance with the PIT Regulations.. Mr. P. Sekar, Company Secretary has been designated as Compliance Officer for this purpose. All Board Members and Senior Management personnel have affirmed their compliance with the code of conduct for the year under review. The Company has duly complied with all the mandatory listing agreement. The Code has been hosted on the Company's website www.skmegg.com

**38. SECRETARIAL STANDARDS & SECRETARIAL AUDIT:**

The Directors have devised proper systems to ensure compliance with the provisions of all applicable Secretarial Standards and such systems are adequate and operating effectively

39. CEO/CFO CERTIFICATION:

CEO certification by Shri SKM Shree Shivkumar, Managing Director and CFO certification by Mr. K S Venkatachalapathy, Chief Financial Officer as required under Regulation 17 (8) of the Listing Regulations were placed before the Board at its meeting on 22.05.2024. The certification has been annexed as **Appendix – 9**.

40. INDUSTRIAL RELATIONS:

The Industrial Relations between the Management and Employees were cordial during the year.

41. STATEMENT REGARDING OPINION OF THE BOARD WITH REGARD TO INTEGRITY, EXPERTISE AND EXPERIENCE (INCLUDING THE PROFICIENCY) OF THE INDEPENDENT DIRECTORS APPOINTED DURING THE YEAR:

In the opinion of Board of Directors of the Company, Independent Directors on the Board of Company hold highest standards of integrity and are highly qualified, recognized and respected individuals in their respective fields. It's an optimum mix of expertise (including financial expertise), leadership and professionalism.

42. FAMILIARISATION PROGRAMME FOR INDEPENDENT DIRECTORS:

In practice, all new Directors (including Independent Directors) inducted to the Board are given a formal orientation. The Directors are usually encouraged to visit the manufacturing facility and resorts of the Company and interact with members of Senior Management as part of the induction programme. The Senior Management make presentations giving an overview of the Company's strategy, operations, products, markets, group structure and subsidiaries, Board constitution and guidelines, matters reserved for the Board and the major risks and risk management strategy. This enables the Directors to get a deep understanding of the Company, its people, values and culture and facilitates their active participation in overseeing the performance of the Management. The details of the familiarization programme undertaken have been uploaded on the Company's website.

43. CREDIT RATING:

Facilities/Instruments	Rating
Long term Bank Facilities	CARE A-; Stable
Long Term /Short term Bank Facilities	CARE A-; Stable / CARE A2+
Short-term Bank Facilities	CARE A2+

44. GREEN INITIATIVE:

As a socially responsible corporate entity, the Company embraces and endorses the 'Green Initiative' initiated by the Ministry of Corporate Affairs, Government of India, which allows for electronic delivery of documents, such as the Annual Report, quarterly and half-yearly results, and other relevant documents, to Shareholders via their registered email addresses with DPs and RTAs. Shareholders who haven't registered their email addresses are kindly requested



to do so. Those who hold shares in demat form may register their email addresses with their respective DPs, while those with physical shares may register their email addresses with the RTA by sending a signed letter from the first/sole holder, specifying their Folio No.

45. CAUTIONERY STATEMENT:

The Annual Report including those which relate to the Directors' Report, Management Discussion and Analysis Report may contain certain statements on the Company's intent expectations or forecasts that appear to be forward-looking within the meaning of applicable securities laws and regulations while actual outcomes may differ materially from what is expressed herein. The Company bears no obligations to update any such forward looking statement. Some of the factors that could affect the Company's performance could be the demand and supply for Company's product and services, changes in Government regulations, tax laws and other factors.

46. ACKNOWLEDGEMENT:

The Directors take this opportunity to thank the shareholders, bankers and the financial institutions for their cooperation and support to the operations and look forward for their continued support in future. The Directors also thank all the customers, vendor partners, and other business associates for their continued support during the year. The Directors place on record their appreciation for the hard work put in by all employees of the Company.

For and on behalf of the Board of Directors

Sd/-

SKM Maeilanandhan

Chairman

Place: Erode

Date: 07.08.2024

DIN: 00002380

**APPENDIX - 1****CORPORATE GOVERNANCE REPORT**

The Directors present the Report on Corporate Governance of the Company pursuant to Regulation 34 read with Schedule V of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('Listing Regulations').

1. COMPANY'S PHILOSOPHY

Your Company has always believed in and followed the best business practices, and has been compliant with all the laws, exercised fairness and integrity in all its dealings, thereby reiterated its commitment to enhancement of stakeholders' value. Your Company has a defined set of guidelines for its internal governance based on business ethics, legal compliance and professional conduct. Your Company has been transparent in its accounting practices and procedures, in framing and adhering to policies and guidelines, in insisting on responsibility and accountability and by regular audit of its policies and procedures.

Your Company is in compliance with the requirements of the Corporate Governance under the Securities and Exchange Board of India (Listing Obligations and Disclosure requirements) Regulations, 2015 ("SEBI Listing Regulations"). Your Company ensures adequate, timely and accurate disclosure on all material matters including the financial situation, performance, ownership and governance of the Company to the stock exchanges and the investors. The prescribed standards of accounting, financial and non-financial disclosure are disseminated in an equal, timely and cost-efficient manner enabling access to relevant information by users.

2. BOARD OF DIRECTORS**A) Composition of the Board**

The Board provides leadership, strategic guidance and objective judgment in the conduct of affairs of the Company. The Board upholds the vision, purpose and values of the Company. The Board consists of experienced specialists and Professionals who are experts in their respective business/profession and have decades of experience to their credit. As a Board, the Directors are committed to ethical and lawful conduct of business and possess the ability to steer the affairs of the Company in the right direction. The Board places emphasis on highest standards of governance practice which allow the Company to carry on its business in the long-term interest of all stakeholders.

The Company ensures that timely and relevant information is made available to all Directors in advance, to facilitate their effective participation and contribution during meetings and deliberations.

Board of Directors is constituted in such a way that it strictly conforms with the provisions of the Companies Act, 2013 and the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015. The composition of the Board ensures a judicious mix of Executive and Non-Executive Directors as well as the combination of Independent and Non-Independent Directors. As at the end of corporate financial year 2023- 2024, the total Board strength comprises of the following:



Category of Director	No of Director
Executive Director	3
Non-Independent Directors & Non-Executive Directors (including woman Director)	1
Independent Directors	5
Nominee Director-TIDCO	1
Total Strength	10

The primary role of the Board is that of trusteeship, to protect and enhance shareholders' value through strategic supervision of Company's operations. The Board also provides direction and exercises appropriate control to ensure that the Company fulfils the stakeholders' aspirations and societal expectations.

B) Meetings and attendance

During the financial year 2023-24, Seven Board Meetings were held on **19th April, 2023, 24th May, 2023, 02nd August, 2023, 10th November, 2023, 04th December, 2023, 06th February, 2024 and 18th March, 2024**. The composition of the Board, attendance at the Board Meetings during the year ended on 31st March, 2024 and the last Annual General Meeting and also the number of other directorships and Committee memberships are given below

Name of the Director	Category	Attendance		No of other Directorships held in Public Companies	No. of Membership (M)/ Chairmanship (C) in other Board Committee(s)		No. of shares held in the company as on 31.03.2024
		BM	AGM		Member	Chairman	
Shri SKM Maeilanandhan	Promoter, Executive Director	7	Yes	NIL	NIL	NIL	NIL
Shri SKM Shree Shivkumar	Promoter, Executive Director	7	Yes	NIL	NIL	NIL	1,13,75,139
Shri SK Sharath Ram	Promoter, Executive Director	5	Yes	NIL	NIL	NIL	11,30,000
Smt S Kumutaavalli	Promoter, Non-Executive Director	7	Yes	1	NIL	NIL	10,005
Dr LM Ramakrishnan	Non-Executive Independent Director	7	Yes	NIL	2	Nil	5,000
Shri C Devarajan	Non-Executive Independent Director	3	No	3	NIL	1	5,000



Name of the Director	Category	Attendance		No of other Directorships held in Public Companies	No. of Membership (M)/ Chairmanship (C) in other Board Committee(s)		No. of shares held in the company as on 31.03.2024
		BM	AGM		Member	Chairman	
Shri B Elangovan Nominee Director (resigned 10.05.2024)	Non-Executive - Nominee Director(TIDCO)	2	No	NIL	NIL	NIL	19,95,800 (TIDCO)
Shri D Venkateswaran	Non-Executive Independent Director	6	No	NIL	NIL	NIL	NIL
Shri TN Thirukumar	Non-Executive Independent Director	5	No	1	1	NIL	NIL
Shri G N Jayaram	Non-Executive Independent Director	7	Yes	NIL	1	1	NIL

Notes

1. Includes Directorships of all public limited companies whether listed or not and excludes private limited companies, foreign companies and Section 8 companies excluding SKM Egg Products Exports Limited are shown.
2. In accordance with the provisions of the SEBI LODR Regulations, 2015, memberships/ chairpersonships of only Audit Committee and Stakeholders' Relationship Committee in all public limited companies including SKM Egg Products Exports Limited are shown
3. None of the Directors of the Company hold Directorship in more than ten public companies and none of Independent Directors are serving as Independent Directors in more than seven listed companies.
4. Necessary disclosures regarding Committee positions in other Indian public companies as at March 31, 2024 have been made by the Directors.
5. Shri. SKM Shree Shivkumar, Managing Director, Shri SKM Maeilanandhan, Executive Chairman, Shri SK Sharath Ram, Executive Director and Smt.S. Kumutaavalli, Non-Executive Director are related to each other. There is no inter-se relation among other Directors of the Company

INDEPENDENT DIRECTORS

The company issued formal letters of appointment to independent directors in the manner as provided in the Companies Act, 2013. The terms and conditions of appointment are disclosed on the website of the company. All the Independent Directors have declared that they meet the criteria of Independence as required under the provisions of Section 149 of the Companies Act, 2013 (the Act) read with the provisions of Regulation 16 of the Listing Regulations. As per the Companies (Appointment and Qualifications of Directors) Rules, 2014, as amended from time to time, all the Independent Directors of the Company have registered with the Indian Institute of Corporate Affairs (IICA) for inclusion of their names in the comprehensive



repository maintained by the Ministry of Corporate Affairs and are exempted from online proficiency self-assessment test except One Independent Director Mr GN Jayaram who has cleared the online proficiency self-assessment.

FAMILIARIZATION PROGRAM FOR INDEPENDENT DIRECTORS

The Company has adopted a familiarisation programme for Independent Directors with an objective of making the Independent Directors of the Company accustomed with the business and operations of the Company through various structured orientation programme. The familiarization programme also intends to update the Directors on a regular basis on any significant changes therein so as to be in a position to take well informed and timely decision. The details of the familiarization programme have been uploaded on the Company's website and the same is accessible at the web-link www.skmegg.com

SKILLS/EXPERTISE/COMPETENCIES OF THE BOARD OF DIRECTORS

The Board is satisfied that the current composition reflects an appropriate mix of knowledge, skills, experience, diversity and independence. The Board provides leadership, strategic guidance, objective and an independent view to the Company's management while discharging its fiduciary responsibilities, thereby ensuring that the management adheres to high standards of ethics, transparency and disclosure.

The list of core skills / expertise / competency identified by the Board of Directors as required in the context of its business (es) and sector(s) for functioning effectively and those already available with the Board are as follows:

Skill	Description
Leadership / Strategy	Experience of playing leadership roles in large businesses, with competencies around strategy development & implementation, sales & marketing, business administration/ operations and Organisations and people Management.
Financial	Practical knowledge and experience in corporate Finance, accounting and reporting and internal financial control, including strong ability to assess financial impact of decision making and ensure profitable and sustainable growth.
Governance	Board level experience in reputed organizations, with a strong understanding of and experience in directing the management in the best interests of the Company and its stakeholders and in upholding high standards of governance.
Regulatory	Strong expertise and experience in regulatory compliance in India (Including industry specific laws)



The skills/ expertise/competence matrix of the Board of Directors with names are as follows;

Name of the Director	Leadership / Strategy	Financial	Governance	Regulatory
Shri SKM Maeilanandhan	✓	✓	✓	✓
Shri SKM Shree Shivkumar	✓	✓	✓	✓
Shri SK Sharath Ram	✓	✓	✓	✓
Smt S Kumutaavalli	✓	✓	✓	✓
Shri C Devarajan	✓	✓	✓	✓
Shri B Elangovan Nominee Director (TIDCO)	✓	✓	✓	✓
Shri D Venkateswaran	✓	✓	✓	✓
Dr LM Ramakrishnan	✓	✓	✓	✓
Shri GN Jayaram	✓	✓	✓	✓
Shri TN Thirukumar	✓	✓	✓	✓

CONFIRMATION ON THE FULFILLMENT OF THE CONDITIONS OF INDEPENDENCE:

Based on the declarations received from the Independent Directors, the Board of Directors are of the opinion that the Independent Directors fulfil the conditions specified in the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and the Companies Act, 2013 and are independent of the management.

SEPARATE MEETING OF THE INDEPENDENT DIRECTORS:

Independent Directors play a pivotal role in maintaining a transparent working environment in the company. They provide valuable outside perspective to the deliberations of the Board and contribute significantly to the decision-making process. They help the company in improving corporate credibility and governance standards. They bring an element of objectivity to the board processes and deliberations.

As per clause 7 of the schedule IV of the Companies Act (Code for Independent Directors) read with Regulation 25(3) of SEBI LODR Regulations, 2015, a separate meeting of Independent Directors of the Company without the attendance of Non-Independent Directors for the financial year 2023-2024, was held on **18th March, 2024**.

The composition of and attendance at Committee of Independent Directors meeting are given below



S No	Name of the Member	No. of Meetings held	No. of Meetings attended
1	Dr.L.M.Ramakrishnan	1	1
2	Shri.C. Devarajan	1	1
3	Shri.D.Venkateswaran	1	1
4	Shri TN Thirukumar	1	1
5	Shri GN Jayaram	1	1

RESIGNATION OF INDEPENDENT DIRECTORS BEFORE EXPIRY OF TENURE:

None of the independent directors has resigned before the expiry of the tenure during the year under review.

COMMITTEES OF THE BOARD

The Board at present has five Committees:

1) Audit Committee, 2) Nomination and Remuneration Committee, 3) Stakeholders Relationship Committee 4) Corporate Social Responsibility Committee 5) Finance and Administrative Committee

AUDIT COMMITTEE

The Audit Committee was constituted along with the terms of reference in line with the provisions of Section 177 of the Companies Act, 2013 and SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015. The terms of reference include amongst other things review of financial statements, annual budgets, internal control systems, accounting policies and practices, internal audit and administration.

Chief Financial Officer, Statutory Auditors, Internal Auditor and the Company Secretary were always present at the Audit Committee meetings. The Audit Committee assures to the Board among other things adequacy of internal control system, compliance with applicable Accounting Standards, adequacy and correctness of financial disclosures, compliance with the requirements as specified in the Companies Act, 2013 and SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

The Committee meets once in every quarter to carry out its business. The Committee acts as a link between the Statutory and Internal Auditors and the Board of Directors of the Company. It is authorized to select and establish accounting policies, review reports of the Statutory and the Internal Auditors and meet with them to discuss their findings, suggestions and other related matters. The Committee is empowered to recommend the appointment and remuneration payable to the Statutory Auditors



The Committee met four times during the financial year under review on **24th May, 2023, 02nd August, 2023, 10th November, 2023 and 06th February, 2024.**

The composition of the Audit Committee and the attendance details of members are as follows:

Name of the Members	Category	No. of Meetings held during the year	No. of Meetings Attended
Shri.GN Jayaram (Chairman)	Independent - Non-Executive	4	4
Dr. LM Ramakrishnan (Member)	Independent - Non-Executive	4	4
Shri.D.Venkateswaran (Member)	Independent - Non-Executive	4	3

There has been no instance, where the Board has not accepted any recommendation of Audit Committee.

NOMINATION AND REMUNERATION COMMITTEE

In compliance with Section 178 of the Companies Act, 2013 and Regulation 19 read with Part D of Schedule II of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, this Committee was formed for identifying persons to be appointed as Directors and in Senior Management positions, to recommend to the Board for appointment and removal of Directors, carryout evaluation of Directors, formulate criteria for determining qualification, positive attributes and independence of Directors, recommend policy relating to remuneration of Directors/Senior Management.

This Committee would look into and determine the Company's policy on remuneration packages of the Executive directors and Senior Management. During the year under review, the committee had met two times on **02nd August, 2023 and 4th December, 2023**

The composition of the Nomination and Remuneration Committee and the attendance details of members are as follows:

Name of the Members	Category	No. of Meetings held during the year	No. of Meetings Attended
Dr LM Ramakrishnan (Chairman)	Independent - Non-Executive	2	2
Shri.C Devarajan (Member)	Independent - Non-Executive	2	1
Shri GN Jayaram (Member)	Independent - Non-Executive	2	2

This Committee shall identify the persons, who are qualified to become Directors of the Company / who may be appointed in Senior Management in accordance with the criteria laid down, recommend to the Board their appointment and removal and also shall carry out evaluation of every Director's performance. Committee shall also formulate the criteria for determining qualifications, positive attributes, Independence of the Directors and recommend to the Board a Policy, relating to the remuneration for the Directors, Key Managerial Personnel and other employees.

The remuneration policy of the Company is annexed to the Board's Report and can also be accessed on the Company's websites at www.skmegg.com



PERFORMANCE EVALUATION OF NON-EXECUTIVE AND INDEPENDENT DIRECTORS

Pursuant to the provisions of the Companies Act, 2013 and Regulation 17(10) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the Board has carried out the annual performance evaluation of its own performance, the Directors individually as well as the evaluation of the working of its Audit Committee, Nomination and Remuneration Committee, Corporate Social Responsibility Committee and Stakeholders Relationship Committee and Finance and Administrative Committee. A peer review was done by all the Directors evaluating every other Director. They also evaluated various aspects of the Board such as adequacy of the composition of the Board and its Committees, Board Diversity, execution and performance of specific duties, obligations and governance. Feedback on the appraisal has been provided to the board members.

DIRECTORS REMUNERATION: (NON EXECUTIVE DIRECTORS & EXECUTIVE DIRECTORS)

NON EXECUTIVE DIRECTORS:

The Non-Executive Director(s) of the Company are remunerated only by way of sitting fees. Sitting fees is paid to the non-Executive Directors for attending the meetings of Board of Directors at the rate of **Rs.5,000/-** respectively per meeting. Criteria of making payments to non-executive directors are as per the nomination and remuneration policy of the Company and the same is available at www.skmegg.com

EXECUTIVE DIRECTORS:

The three Executive Directors are paid remuneration as decided by the Board of Directors on the recommendation of the Nomination and Remuneration Committee of the Board, with the approval of the Shareholders and other necessary approvals.

Details of remuneration paid to the Directors for the year ended 31st March 2024. (in Rs)

Name of the Directors	Salary, Allowance and Perquisites	Service Contract
Shri SKM Maeilanandhan, Executive Chairman	59,74,819	5 years
Shri SKM Shree Shivkumar, Managing Director	8,39,63,990	3 years
Shri SK Sharath Ram, Executive Director	18,38,149	5 years

No service contracts were entered into with the Directors; their appointment is governed by the respective resolutions passed at the General Meeting of the Company in line with the requirements of the Companies Act, 2013 and the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

STAKEHOLDERS RELATIONSHIP COMMITTEE

In compliance with Section 178(5) of the Companies Act, 2013 and Regulation 20 read with Part D of Schedule II of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, this Committee has been formed to evaluate the efficacy with which services as mandated statutorily are extended to the Shareholders/Investors of the Company. The



Committee periodically reviews the services as rendered to the Shareholders particularly with the re-dressal of complaints/grievances of Shareholders like delay in transfer of shares, non-receipt of Annual Report, non-receipt of declared dividends, etc., and on the action taken by the Company on the above matters.

The Committee met four times during the year under review on **24th May, 2023, 2nd August, 2023, 10th November, 2023 and 6th February, 2024.**

The composition of the Stakeholders Relationship Committee and the details of attendance of members are as follows

Name of the Members	Category	No. of Meetings held during the year	No. of Meetings Attended
Shri C Devarajan (Chairman)	Independent - Non-Executive	4	0
Dr. LM Ramakrishnan (Member)	Independent - Non-Executive	4	4
Shri GN Jayaram (Member)	Independent - Non-Executive	4	4
Shri TN Thirukumar (Member)	Independent - Non-Executive	4	2

The terms of reference of this Committee are as required by SEBI under Regulation 20 read with Part D of Schedule II of the SEBI (Listing Obligations and Disclosure Requirements) Regulation, 2015. The Stakeholders Relationship Committee of the Board is empowered to oversee the re-dressal of investors' complaints pertaining to share transfer, non-receipt of annual reports, dividend payments, issue of duplicate certificates, transfers and transmission of shares and other miscellaneous complaints.

The committee also approved transfer, transmission, transposition, name deletion and issue of duplicate share certificates. In addition, the Committee looks into other issues including status of dematerialization / re-dematerialization of shares as well as systems and procedures followed to track investor complaints and suggest measures for improvement from time to time.

Pursuant to Regulation 40(9) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, a certificate on yearly basis confirming due compliance of share transfer formalities by the Company from a Practicing Company Secretary has been submitted to the Stock Exchanges within the stipulated time.

Shri P. Sekar, Company Secretary serves as the Compliance Officer

The total number of complaints received and replied to the satisfaction of shareholders during the year ended on 31st March 2024 was Nil. All complaints were solved to the satisfaction of the shareholders. There were no outstanding complaints as on 31st March 2024.



UNCLAIMED SUSPENSE ACCOUNT

Pursuant to Regulation 39(4) read with Schedule VI of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, the company had not transferred its unclaimed shares to **SKM Egg Products Export (India) Limited unclaimed suspense account** as there is no such situation necessitated such transfer.

Details of Shares transferred to IEPF Authority during 2023-24

Pursuant to Sections 124 and 125 of the Act read with the Investor Education and Protection Fund Authority (Accounting, Audit, Transfer and Refund) Rules, 2016 ("IEPF Rules"), dividends, if not claimed for a consecutive period of seven years from the date of transfer to Unpaid Dividend Account of the Company, are liable to be transferred to the Investor Education and Protection Fund ("IEPF"). In pursuance to the said rules, **63,898** shares were transferred to IEPF Authority during 2023-24. The voting rights on the shares outstanding in the IEPF Authority as on March 31, 2024, shall remain frozen till the rightful owner of such shares claims the shares.

CORPORATE SOCIAL RESPONSIBILITY COMMITTEE:

The Corporate Social Responsibility Committee was constituted in compliance with the provisions of Section 135 of the Companies Act, 2013 and the Companies (Corporate Social Responsibility Policy) Rules, 2014, to formulate policies, indicate the activities/ projects and the amount of expenditure to be incurred in relation to the CSR activities of the Company.

The terms of reference of this committee, assigned by their board encompasses the following:

The role of the CSR Committee, inter alia, is to:

- Formulate and recommend to the Board, a Corporate Social Responsibility (CSR) Policy which shall indicate the activities to be undertaken by the Company as specified in Schedule VII of the Act
- Recommend the amount of expenditure to be incurred on the CSR activities
- Monitor the CSR Policy of the Company from time to time.

During the financial year, one meeting of Corporate Social Responsibility Committee of the Board was held on **18th March, 2024**. Attendance record of the Members of the Corporate Social Responsibility Committee for FY 2023-24 is as under

Name of the Members	Category	No. of Meetings held during the year	No. of Meetings Attended
Dr.L.M.Ramakrishnan(Chairman)	Independent - Non-Executive	1	1
Smt S Kumutaavalli (Member)	Non Independent - Non-Executive	1	1
Shri C Devarajan (Member)	Independent - Non-Executive	1	1
Shri D Venkateswaran (Member)	Independent - Non-Executive	1	1

**FINANCE AND ADMINISTRATIVE COMMITTEE**

The Finance and Administrative Committee was constituted with the following directors and following powers.

Name of the Members	Designation
Shri SKM Shree Shivkumar	Chairman
Shri TN Thirukumar	Member
Shri C Devarajan	Member

To comply with all the notification/amendments / any other acts and things as may be necessary for availing the existing/ proposed credit facilities on behalf of the Company as sanctioned by the Board.

To nominate any person/ officials of the Company / Legal Advisers / to seek any legal remedy as and when dispute arise either from Civil/ Criminal Court or any other Forum as they may deem fit during the currency of the Borrowings.

To authorise opening of branches for the Company in India and abroad and to apply for registration under Sales Tax. Excise and other regulations as may be required in connection with the opening of branches

To open current account/ fixed deposit account or any other account with any Bank and to authorise directors/ officials to operate the same.

To authorise the officials of the Company to operate the existing Banking accounts of the Company and to vary the existing authorisation to operate or for closure of the banking accounts of the company as and when necessary

To authorise the officials of the Company to bring the profit of the branch (Russia) to our Head office (India) with necessary approvals.

To appoint any attorneys, agents, representatives of the Company to represent the Company in any manner and to execute necessary powers of attorney in favour of the employees of the Company to discharge their day to day functions.

To appoint authorised signatories for dealing in matters relating to shares (with regard to physical transfer, transmission, split, duplicate, consolidation, etc and demat services for the Company as required by the R & T Agents or the Company DP from time to time.

To authorize the use of common seal of the Company in such documents as may be required

MANAGEMENT DISCUSSION AND ANALYSIS

Management discussion and analysis forms part of this annual report

GENERAL BODY MEETINGS

Information regarding Annual General Meetings held during the last three Financial Years is given below:



Year	Date	Time	Special Resolutions
2021	29.09.2021	4.00 P.M.	1.Re-appointment of Shri SKM Maeilanandhan (DIN:00002380) 2.Approval of Material Related Party Transactions
2022	16.09.2022	4.00 P.M.	1.Re-appointment of Shri SKM Shree Shivkumar (DIN 00002384), as Managing Director of the Company 2. Approval of Material Related Party Transactions
2023	06.09.2023	4.00 P.M.	1.To appoint Shri SK Sharath Ram (DIN 09469919) as a Non-Executive Director of the Company 2.To appoint Shri B Elangovan (DIN: 00133452) as a Nominee Director of the Company 3.To Consider and approve Commission to executive Director 4.To Consider and approve remuneration to Executive Chairman 5. Approval of Material Related Party Transactions

Year	Venue
2021	AGM was held through Video Conferencing/Other Audio Visual Means (Deemed Venue for the meeting: Registered Office at 133, 133/1, Gandhiji Road, Erode-638001)
2022	AGM was held through Video Conferencing/Other Audio Visual Means (Deemed Venue for the meeting: Registered Office at 133, 133/1, Gandhiji Road, Erode-638001)
2023	AGM was held through Video Conferencing/Other Audio Visual Means (Deemed Venue for the meeting: Registered Office at 133, 133/1, Gandhiji Road, Erode-638001)

**EXTRA ORDINARY GENERAL MEETING:**

During the year under review no Extra Ordinary General Meeting was held.

POSTAL BALLOT

During the financial year 2023-24, the Company has passed the following three resolution (s) through postal ballot

S.No	Particulars	Type of Resolution
1	Payment of Commission to the Managing Director	Special Resolution
2	Material Related Party Transactions	Ordinary Resolution
3	Re-designation of Non-Executive Director Shri. SK Sharath Ram as “Executive Director and payment of Remuneration	Special Resolution

None of the resolution(s) proposed to be passed at the forthcoming AGM require passing of the resolution(s) through postal ballot.

MEANS OF COMMUNICATION:

The Company is conscious of the importance of timely dissemination of adequate information to the stakeholders. The dates of Board Meetings, General Body meetings, Book Closure and Quarterly results are being published in Trinity Mirror/Business Line, an English daily Newspaper and MakkalKural, a Tamil daily Newspaper.

Besides, the Company's Profile, Corporate Information, Quarterly and Annual Financial Statements, Annual Reports, Shareholding Pattern, Corporate Governance Report, Code of Conduct for Directors and Officers, Product Range, official news release, if any and presentations, if any, made to institutional investors are posted and updated on the Company's website www.skmegg.com

GENERAL INFORMATION FOR SHAREHOLDERS

29th Annual General Meeting

Date: 25.09.2024

Time: 4.00 P.M

Venue: The meeting is being convened through video conferencing/ other audio-visual means and hence the registered office of the Company will be deemed to be the venue of the AGM.

Financial Year: **1st April 2023 to 31st March 2024**



Date of Book Closure: **19.09.2024 to 25.09.2024**

Dividend Payment Date: within 30 days from the date of approval of shareholders.

FINANCIAL CALENDER:

Approval of quarterly results for the period ending:

1.30 th June 2023	:	02nd August, 2023
2.30 th September 2023	:	10 th November, 2023
3.31 st December 2023	:	6 th February, 2024
4.31 st March 2024	:	22 nd May, 2024

STOCK EXCHANGE INFORMATION:

The Company's Equity Shares are listed on: 1.BSE Limited, PhirozeJeejeebhoy Towers, Dalal Street, Mumbai-400 001 and 2.NSE Limited, "Exchange Plaza", Bandra-Kurla Complex Bandra East, Mumbai -400 051. Moreover, the annual listing fees have been paid to all the Stock Exchanges as mentioned above.

Details of Stock code

The stock codes of the Company at the Stock Exchanges are as follows:

BSE Limited : Scrip code:**532143**

National Stock Exchange of India Limited : Symbol **SKMEGGPROD**

EQ Company's ISIN: **INE411D01015**



Movement in the Market Price of the Company's Shares on the National Stock Exchange and Bombay stock exchanges

National Stock Exchange Limited			
MONTH	HIGH (Rs)	LOW (Rs)	QUANTITY(Nos)
Apr 23	157.00	131.45	14,07,575
May 23	199.00	138.00	45,79,442
Jun 23	241.20	195.70	60,73,003
Jul 23	255.50	214.15	59,36,616
Aug 23	484.15	240.10	1,11,53,505
Sep 23	560.40	409.00	68,68,791
Oct 23	469.00	372.00	21,29,615
Nov 23	443.65	362.00	33,52,353
Dec 23	399.30	350.85	15,82,853
Jan 24	424.45	366.10	27,43,403
Feb 24	386.60	251.25	45,00,868
Mar 24	264.00	215.00	27,13,192

Bombay Stock Exchange Limited			
MONTH	HIGH (Rs)	LOW (Rs)	QUANTITY(Nos)
Apr 23	157.50	132.70	1,48,751
May 23	200.80	138.05	4,72,543
Jun 23	242.05	192.90	8,80,634
Jul 23	255.65	211.15	28,831
Aug 23	483.30	240.00	31,784
Sep 23	559.40	405.10	42,949
Oct 23	469.00	372.00	4,22,735
Nov 23	443.00	360.55	7,60,635
Dec 23	400.00	355.50	2,66,310
Jan 24	424.00	367.00	4,91,755
Feb 24	393.95	251.00	6,30,282
Mar 24	264.55	213.60	4,33,875



REGISTRAR AND SHARE TRANSFER AGENT(RTA):

LINK INTIME INDIA PRIVATE LIMITED

**“Surya”, 35, May flower Avenue,
Behind Senthil Nagar,
Sowripalayam Road,
Coimbatore-641028, Tamil Nadu .**

RECONCILIATION OF SHARE CAPITAL AUDIT

A qualified company secretary in practice carried out reconciliation of share capital audit to reconcile the total admitted capital with National Securities Depository Limited (NSDL) and Central Depository Services (India) Limited (CDSL) and the total issued and listed capital. The reconciliation of share capital audit report confirms that the total issued/ paid up capital is in agreement with the total number of shares in physical form and the total number of dematerialised shares held with NSDL & CDSL

SHARE TRANSFER SYSTEM

The company's shares being in compulsory dematerialized (demat) list are transferable through the depository system. All requests for dematerialization of shares are processed and confirmed to the depositories, NSDL and CDSL, within 15 days. The stakeholder's relationship committee generally meets as and when required.

**CATEGORIES OF SHAREHOLDERS AS ON 31st MARCH, 2024**

Category	No. of Shares	No of holders	% To Total
Body Corporate-LLP	32,415	12	0.1231
Clearing Members	2,975	3	0.0113
Corporate Bodies (Promoter Co)	19,95,800	1	7.5799
Directors	1,13,94,144	5	43.2744
Foreign Company	10,92,100	1	4.1477
Foreign Portfolio Investors (Corporate)-I	5,57,956	18	2.1191
Foreign Portfolio Investors (Corporate)-II	22,411	1	0.0851
Hindu Undivided Family	2,83,111	415	1.0752
Investor Education and Protection Fund	4,04,563	1	1.5365
Non-Resident (Non-Repatriable)	1,07,242	223	0.4073
Non-Resident Indians	2,67,662	368	1.0166
Other Bodies Corporate	3,95,092	131	1.5005
Public	86,37,029	37,130	32.8030
Relatives of Director	11,37,500	3	4.3202
Total	2,63,30,000	38,312	100.00

DISTRIBUTION OF SHARES AS ON 31ST MARCH 2024

Shareholding (Range)	No.of Holders	% of Holders	No.of Shares	% of shares
1 - 500	35,077	91.5562	32,47,670	12.33
501 - 1000	1,752	4.5730	13,66,843	5.19
1001 - 2000	697	1.8193	10,34,071	3.93
2001 - 3000	363	0.9475	9,12,860	3.47
3001 - 4000	114	0.2976	4,07,164	1.55
4001 - 5000	96	0.2506	4,58,627	1.74
5001 - 10000	131	0.3419	9,66,616	3.67
10001 and above	82	0.2140	1,79,36,149	68.12
Total	38,312	100.00	2,63,30,000	100.00

**Dematerialization of Shares and liquidity**

As on March 31, 2024, almost 92.65 % of the company's paid up Equity Share Capital is in dematerialized form and balance 7.35% is in physical form. The Company's Registrar is **M/s Link Intime India Private Limited.**, having their branch office at **"Surya", 35, Mayflower Avenue, Behind Senthil Nagar, Sowripalayam Road, Coimbatore-641028, Tamil Nadu (RTA).**

Outstanding GDRs/ADRs/Warrants or any Convertible Instruments and their likely impact on equity

There are no outstanding warrants or any convertible instruments. The company has not issued GDR/ADR.

Commodity price risk or foreign exchange risk and hedging activities

Nil

Plant Locations

Factory

CholangapalayamPasur Post,

Erode Taluk

Address for Correspondence

Mr. P. Sekar

Company Secretary

SKM Egg Products Export India Limited

NO 133, 133/1, Gandhiji Road

Erode - 638 001

DISCLOSURES:

- a) Disclosures on materially significant related party transactions that may have potential conflict with the interest of the company at large. All the related party transactions are entered into on arm's length basis, in the ordinary course of business and are in compliance with the applicable provisions of The Companies Act, 2013 and the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015. There are no materially significant related party transactions made by the company with promoters, directors or key managerial personnel or otherwise which may have potential conflict with the interest of the company at large.

The details of the transactions with related parties are provided in the company's financial statements in accordance with the accounting standards. All related party transactions are presented to the audit committee and the board. Omnibus approval is obtained for the transactions which are foreseen and repetitive in nature.

A statement of all related party transactions is presented before the audit committee on a quarterly basis, specifying the nature, value and terms and conditions of the transactions.

- b) Details of non-compliance by the company, penalties, and strictures imposed on the company by stock exchanges or SEBI or any statutory authorities, on any matter relating to capital markets, during the last three years.

No penalties and/or strictures were imposed on the company by stock exchanges or SEBI or any statutory authorities, on any matter relating to capital markets, during the last three years.



- c) Whistle Blower policy and affirmation that no personnel have been denied access to the audit committee.

The company conducts regular 'Employee Meets' bimonthly where all the employees have a chance to interact directly with the managing director of the company. Besides this, the managing director is reachable via e-mail and landline. Any issue brought to the attention of the management, whether resolved or not, is placed before the audit committee for its perusal and comments.

- d) Details of compliance with mandatory requirements and adoption of the non-mandatory requirements.

The company has complied with all the mandatory requirements of corporate governance norms as enumerated in the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

The company has adopted the following non mandatory requirements.

Reporting of internal auditors to audit committee as recommended in terms of Regulation 27(1) read with part E of Schedule II of the SEBI (Listing Obligations and Disclosure Requirements) Regulation, 2015,

- e) Web link where policy for determining "material" subsidiaries is disclosed

The company has framed a Material Subsidiaries Policy and the same is placed on the company's website www.skmegg.com

- f) Web link where policy on dealing with related party transactions.

The company has framed Related Party Transaction Policy and the same is placed on the company's website www.skmegg.com

- g) Disclosure of commodity price risks and commodity hedging activities.

During the financial year ended **31/03/2024**, the company did not engage in commodity hedging activities

- h) Disclosure on accounting treatment.

In the preparation of the financial statements, the company has followed the Indian Accounting Standards (IND AS) referred to in Section 133 of The Companies Act, 2013. The significant accounting policies which are consistently applied are set out in the notes to the financial statements

- i) Disclosure on risk management

Business risk evaluation and management is an on-going process within the company. The assessment is periodically examined by the board.

- j) Credit Rating:

The company does not have any debt instruments or fixed deposit programme or any scheme or proposal involving mobilization of funds either in India or abroad that requires credit rating.

There has been no instance of non-compliance of any requirement of corporate governance report as stated above.



The company has complied with all the mandatory requirements specified in Regulations 17 to 27 and clauses (b) to (i) of Regulation 46(2) of SEBI(Listing Obligation and Disclosures Requirements) Regulations, 2015.

The company has not provided the disclosure pertaining to the list of core skills / expertise / competency required by the board of directors in the corporate governance report as required under Regulation 34 (3) read with Schedule V (C)(2)(h)(i) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as the board of directors are yet to identify the same.

Other disclosures:

The company has not raised any funds through preferential allotment or qualified institutional placement as specified under Regulation 32 (7A) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

A certificate from a company secretary in practice that gives the details of the directors on the board of the company who have been debarred or disqualified from being appointed or continuing as directors of companies by the Security Exchange Board of India / Ministry of Corporate Affairs or any such statutory authority has been obtained and is annexed to this report. During the year under review, the recommendations made by the different committees have been accepted and there were no instances where the board of directors had not accepted any recommendation of the committees.

The company has paid a sum of Rs. 7,75,000/- plus out of pocket expenses and applicable taxes as fees on consolidated basis to the statutory auditor and all entities in the network firm / entity of which the statutory auditor is a part for the services rendered by them.

A certificate from a Company Secretary in practice that none of the Directors on the Board of the Company have been debarred or disqualified from being appointed or continuing as Directors of companies by the Securities and Exchange Board of India / Ministry of Corporate Affairs or any such statutory authority has been obtained and is annexed to this report.

Certificate from CEO / CFO.

The CEO and CFO certification of the financial statements for the year has been submitted to the board of directors in its meeting held on 22nd May, 2024 as required under the SEBI Regulations. All board members and senior management personnel have affirmed their compliance with the code of conduct for the year under review.

Code of Conduct

The board of directors has laid down a code of conduct for all board members and senior management personnel of the company. All board members and senior management personnel have affirmed their compliance with the code of conduct for the year under review.

Code for Prevention of Insider Trading

The company has framed a code of conduct for monitoring the trading done by Insiders based on The SEBI (Prohibition of Insider Trading) Regulations, 2015. This code is applicable to all directors / officers and such designated persons who are expected to have access to unpublished price sensitive information relating to the company. The company has also formulated "The Code of Practices and Procedures for Fair Disclosure of Unpublished Price Sensitive Information (UPSI)" in compliance with The SEBI (Prohibition of Insider Trading) Regulations, 2015



STRUCTURED DIGITAL DATA BASE

SDD (Structured Digital Database) software has been installed in compliance with the SEBI Insider Trading Regulations

DECLARATION BY THE MANAGING DIRECTOR / CEO UNDER THE SEBI (LISTING OBLIGATIONS AND DISCLOSURE REQUIREMENTS) REGULATIONS, 2015 REGARDING THE COMPLIANCE WITH THE CODE OF CONDUCT

I hereby affirm and state that all board members and senior management personnel of the company have given declaration in accordance with Regulation 26(3) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and I hereby affirm compliance with the said code of conduct for the financial year 2023-24.

(By Order of the Board)

For SKM Egg Products Export (India) Limited

Sd/-

SKM Shree Shivkumar
Managing Director
(DIN:00002384)

Place : Erode
Date : 07.08.2024



AUDITORS' CERTIFICATE OF CORPORATE GOVERNANCE

To

The members,

SKM Egg Products Export (India) Limited

We have examined the compliance of conditions of Corporate Governance by **M/s. SKM Egg Products Export (India) Limited**, for the year ended on 31st March 2024, as stipulated under SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

The compliance of conditions of Corporate Governance is the responsibility of the management. Our examination was been limited to procedures and implementation thereof, adopted by the Company for ensuring the compliance with the conditions of the Corporate Governance. It is neither an audit nor an expression of opinion on the financial statements of the Company.

In our opinion and to the best of our information and according to the explanations given to us and based on the representations made by the directors and the management, we certify that the company has complied with the conditions of Corporate Governance as stipulated in the above mentioned SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

We state that no investor grievance is pending for period exceeding one month against the company, as per the records maintained by it.

We state that such compliance is neither an assurance as to future viability of the company nor the efficiency or effectiveness with which the management has conducted the affairs of the company.

Sd/-

Place : Erode

Date : 22.05.2024

N C Rajagopal & Co.,

Chartered Accountant

Firm Registration No : 003398S



CERTIFICATE OF NON-DISQUALIFICATION OF DIRECTORS

**(Pursuant to Regulation 34(3) and Schedule V Para C clause (10)(i)
of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015)**

To

The Members,

SKM Egg Products Export (India) Limited

I have examined the relevant registers, records, forms, returns and disclosures received from the directors of **M/s. SKM Egg Products Export (India) Limited** having **CIN: L01222TZ1995PLC006025** and having registered office at No 133, 133/1, Gandhiji Road, Erode - 638001 (hereinafter referred to as 'the company'), produced before me by the company for the purpose of issuing this certificate, in accordance with Regulation 34(3) read with Schedule V Para-C Sub clause 10(i) of the Securities Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.

In my opinion and to the best of my information and according to the verifications (including Director Identification Number (DIN) status at the portal www.mca.gov.in) as considered necessary and explanations furnished to me by the company & its officers, I hereby certify that none of the directors on the board of the company for the financial year ending on **31st March 2024** have been debarred or disqualified from being appointed or continuing as directors of companies by the Securities and Exchange Board of India, Ministry of Corporate Affairs or any such other statutory authority

Ensuring the eligibility for the appointment / continuity of every director on the board is the responsibility of the management of the company. My responsibility is to express an opinion on these based on my verification. This certificate is neither an assurance as to the future viability of the company nor of the efficiency or effectiveness with which the management has conducted the affairs of the company.

Place : Coimbatore

Date : 31.07.2024

V Ramkumar

FCS No: 8304

CP No:3832

UDIN: F008304F000863642

Peer Review No: 732/2020


APPENDIX-2
FORM AOC-1

(Pursuant to first proviso to sub-section (3) of section 129 read with rule 5 of Companies (Accounts) Rules, 2014)

Statement containing salient features of the financial statement of subsidiaries/associate companies/joint ventures
Part "A": Subsidiaries

(Information in respect of each subsidiary to be presented with amounts in Rs.)

Sl. No.	Particulars	Details	
1.	Name of the subsidiary	SKM Europe BV, The Netherlands	
2.	The date since which subsidiary company was acquired	22.09.2005	
3.	Currency of Subsidiary company	Euro	
4.	Reporting currency	Indian Rupee (INR)	
5.	Percentage of shareholding	85%	
	Particulars	INR (In lakhs)	EURO(In lakhs)
6	Equity Share capital	9.80	0.18
7	Other Equity	433.16	4.78
8	Total assets	892.38	9.99
9	Total Liabilities	449.43	5.03
10	Investments	-	-
11	Revenue from Operations	2394.60	27.18
12	Profit / (Loss) before Taxation	(16.00)	(0.32)
13	Provision for Taxation	-	-
14	Profit / (Loss) after Taxation	(16.00)	(0.32)
15	Other Comprehensive Income	22.03	-
16	Total Comprehensive Income	6.03	(0.32)
17	Proposed dividend	-	-

Notes: The following information shall be furnished at the end of the statement:

- Names of subsidiaries which are yet to commence operations
- Names of subsidiaries which have been liquidated or sold during the year.


Part “B”: Associates and Joint Ventures
Statement pursuant to Section 129 (3) of the Companies Act, 2013 related to Associate Companies and Joint Ventures
(Rs.in lakhs)

S No	Particulars	Information
1	Name of Associates	SKM Universal Marketing Company India Private Limited
2	Latest audited Balance Sheet Date	31/3/2023
3	Date on which the Associate was associated or acquired	1/4/2010
4	Shares of Associate or Joint Ventures held by the company on the year end	
	(i) Number of shares	7,89,700
	(ii) Amount of Investment in Associates	118.46
	(iii) Extent of Holding (in percentage)	26%
5	Description of how there is significant influence	Company holds not less than 20% of equity shares & voting power in the investee company
6	Reason why the associate/joint venture is not consolidated	Not Applicable
7	Net-worth attributable to shareholding as per latest audited Balance Sheet (as on 31.03.2023)	Rs. – 4.28
8	Profit / (Loss) for the year 2023-24 (Unaudited) of the company	Rs. 619.19
	(I) Considered in Consolidation (26%)	Rs. 160.99
	(ii) Not Considered in Consolidation	—

Note: This Form is to be certified in the same manner in which the Balance Sheet is to be certified.

For SKM Egg Products Export (India) Limited

N.C. RAJAGOPAL & CO.,
CHARTERED ACCOUNTANT
N.C.VIJAY KUMAR,
 Membership No : 208276
 FRN : 003398S

SKM MAEILANANDHAN
 Executive Chairman

SKM SHREE SHIVKUMAR
 Managing Director

K.S.VENKATACHALAPATHY
 Chief Financial Officer

P.SEKAR
 Company Secretary

**APPENDIX-3****MANAGEMENT DISCUSSION AND ANALYSIS REPORT****Key factors which affect the performance of the Company:**

01. The Company recorded revenue of Rs.70,153 lakhs (including other income of Rs.1,158 lakhs) for the year ended 31st March,2024 as against Rs.65,839 lakhs (including other income of Rs.125 lakhs) in the previous year ended 31st March,2023.
02. The Profit before tax was at Rs.11,246 lakhs for the year ended 31st March,2024 as compared to Rs.10,196 lakhs during the corresponding in the last year.
03. The Net Profit was at Rs.8,723 lakhs as on 31st March,2024 as against Rs.7,544 lakhs in the previous year.
04. The quantity sold during the year 2023-24, of both egg powder and egg liquid stood at 10455 Tons in aggregate, when compared to 12,229 Tons during the previous year ended 31st March,2023.

Capital expenditure and funding:

01. The Capital Expenditure incurred and funded for the year is Rs.6,176 lakhs of which Rs.2,931 lakhs pertain to plant and machinery.
02. During the year under review, your company has sold/deleted/adjusted assets worth Rs.475 lakhs.

OUTLOOK OF THE INDUSTRY

Global Egg Powder Market size is estimated to touch USD 3.92 billion by 2030 and anticipated to grow at a CAGR of around 4.5% during the forecast period, i.e., 2024-30, amid increasing demand in Bakery and confectionary industries and rising Adoption of Egg Powder in Food Supplements sectors. The Egg Powder market has experienced steady growth in recent years and is expected to continue expanding in the forthcoming years as well. The market growth can be attributed to the rising demand for convenient and shelf-stable egg-based products, driven by busy lifestyles and a focus on convenience foods across the globe.

Escalating **Demand for Egg Powder from Bakery and Confectionary Industry** – There has been a significant rise in demand for bakery and confectionary goods such as cakes, pastries, cookies, waffles, chocolates, toffee, muffins, etc. among consumers. This is due to the changing lifestyle and high demand for convenience food across the globe. The fast-paced lifestyles of consumers have led to the higher adoption of bakery goods as they are considered ready-to-eat and go-to foods. In addition, different exotic fruit flavors and various claims such as clean labels, free from additives, made from whole grains, etc. further surge the growth of bakery and confectionary products among consumers across the globe, thereby the demand for egg powder from Bakery and confectionary Industries is continuing year on year.

Further, **rising Adoption of Egg Powders in Food Supplements** – The fast-paced lifestyles of the working population coupled with the rising health-conscious population across the globe have led to the rising adoption of food supplements to cater to their nutritional demand. Egg powder contains essential fatty acids and provides many vitamins, indispensable amino acids, and important trace elements making it an ideal choice for food supplements.

Egg powders are easily available across the globe and are highly utilized in the formulation of protein-rich food products such as protein bars, protein powders, etc. The rising trend of protein consumption is expected to fuel the demand for egg powder globally driving the growth of the market in upcoming years.



However, there is a correction phase in the trend of International price for Albumin and whole egg powder but this correction looks healthy for future attractive price trend.

SALES AND MARKETING:

International market for egg products is very competitive with the key players from USA, Europe and China. SKM Egg Products Export (India)Limited has established a very wide network in Russia, Europe, Japan, South East and Middle East Asian countries successfully by maintaining consistent quality and services with a good market share for the past 27 years.

All these years, we were the only Indian egg processing facility approved in Russian market. Only recently other egg processors from India were also approved in Russia due to the change in Government norms. We are the largest exporter of Egg Yolk powder in the Russian market as per Russian import data.

We made a business trip to Russia in June 2024 to identify new distributors for our Egg Albumen products and to engage in discussions with our existing distributors. During these meetings, we discussed market potentials and strategies to increase our sales in the upcoming period.

We have recognized the growing potential of the Egg Albumen market in Russia and have already begun working with new potential distributors in the region

A variant of egg albumin powder-High whip which is preferred in confectionary is accepted by Russian customers.

Egg albumin price shot up exponentially during this year due to the fact that the demand for egg albumin powder was increasing continuously from USD 6.0 /kg to USD 18.0 /kg. The situation was caused by the bird flu in Japan, Europe, & USA assuming that the increase in trend of the price would continue in future. Our customers purchased from us huge quantities and built inventory. In the meantime, the end customers started to replace the protein source from Egg albumen to alternate proteins that resulted in the change of recipe of ham and sausage, noodles etc., Hence, the consumption of Egg albumen powder has drastically reduced in the market resulting in huge inventory of Albumen powder at our customers' end.

We are expanding our market share by way of non-exclusive distributors in Malaysia, Vietnam, Taiwan, Thailand, Indonesia. Our chilled and frozen liquid egg products are well received by customers across the globe.

In our ongoing efforts to increase market share and better understand customer requirements, we are visiting our customers at regular intervals.

Recently, we had a business trip to Vietnam in the month of March 2024 to meet with our distributors and customers in the Egg Albumen market. This trip allowed us to reinforce our current market share in Vietnam and identify potential new customers to further expand our reach.

To enhance our sales and presence in the African region, we also participated in the FI Africa Exhibition held in Cairo from May 26-28, 2024.

We have entered new markets/customers in Ghana, Uganda, Nigeria, etc., also working to identify more customers in Madagascar, Korea, Europe, etc., We have identified new customers in these markets and started shipments to them.

There are challenges in entering the Saudi Arabia market due to regulatory restrictions and we are in touch with authorities.



The approval of liquid egg products by the Government of Malaysia is still pending and we are addressing the same with the concerned authorities.

Trade barrier and WTO issues are represented to the Govt. of India periodically to avail duty concessions and also to have edge over our competitors.

Further, our table egg exports share shot up due to the demand in the market and we entered in to a contract with Sri Lanka buyer. Our market share in the domestic market remains constant in B2C sector although we have expanded our B2B sales by selling liquid eggs.

SUBSIDIARY COMPANY:

Our subsidiary helps the company in a big way of identifying new customers in Europe and improved the confidence level of customers through timely and qualitative services. Hence, now we got number of new customers in EU countries and already started our Whole Egg Powder and Egg Yolk Powder shipments to them who are continuously placing orders with us.

HUMAN RESOURCES:

SKM HR Division is tasked with maximizing employee productivity and protecting the company from any issues that may arise within the workforce. Also HR responsibilities include compensation and benefits, recruitment, firing, and keeping up todate with Statutory Compliance that may affect the company and its employees.

SKM HR prioritizes consistent payroll practices and make sure that all benefits are working for their employees either Management or Government. HR understand the role that company culture, employee development and career opportunities play in employee engagement and retention.

SKM HR Provides welfare facilities to the employees and their family members like providing Medclaim, Uniforms, Transportation and accommodation to their employees. Compliance with social security measure like day one covered under Employees Provident Fund, Employees State Insurance and Employees Gratuity etc.

SKM HR follows Performance Management Systems PMS on annual based thro monitoring KRA&KPI by providing training and development as per Training Calendar.

The company provides a Challenging, open and professional satisfying work environment to his employees. Necessary steps are taken for boosting their motivation and active involvement in the organisation. The company also encourages its employees to continuously upgrade and improve their skills & qualifications.

SKM HR Thanks for being part of our company's success over the years. We greatly appreciate and value of our employees' hard work and success. ...


APPENDIX-4
ANNUAL REPORT ON CSR ACTIVITIES
1. Brief Outline on CSR Policy of the Company

The Company formed a CSR Committee of the Board. It has formulated a CSR Policy that has been approved by the Board, laying stress on CSR activities to be undertaken in its neighbourhood. The Company's focused programmes are in the field of community development, water, sanitation, education, health, rural infrastructure and technical training. Its ongoing CSR activities would get aligned to the CSR policy. The CSR policy has been posted on the website of the company www.skmegg.com.

2. Composition of CSR Committee:

Name of the Director	Category of Directorship	No. of CSR Committee Meetings held	No. of CSR Committee Meetings attended
Shri.L.M.Ramakrishnan	Independent Director	1	1
Shri.C.Devarajan	Independent Director	1	1
Shri D. Venkateswaran	Independent Director	1	1
Smt.S.Kumutaavalli	Non-Executive Non Independent Director	1	1

- Web-link where composition of CSR committee, CSR Policy and CSR projects approved by the board are disclosed on the website of the company: www.skmegg.com.
- Impact assessment of CSR projects carried out in pursuance of sub-rule (3) of rule 8 of the Companies (Corporate Social Responsibility Policy) Rules, 2014, if applicable (attach the report): Not Applicable.
- Details of the amount available for set off in pursuance of sub-rule (3) of rule 7 of the Companies (Corporate Social Responsibility Policy) Rules, 2014 and amount required for set off for the financial year, if any: Not Applicable

S. No	Financial Year	Amount available for set-off from preceding financial years, if any (in Rs)	Amount required to be set off for the financial year, if any (in Rs)
NA			

- Average net profit of the company as per section 135(5): Rs.44,26,75,069/-
- Two percent of average net profit of the company as per section 135(5):Rs.88,53,501
 - Surplus arising out of the CSR projects or programmes or activities of the previous financial years. NA
 - Amount required to be set off for the financial year, if any: NA
 - Total CSR obligation for the financial year (7a+7b-7c): Rs. 88,53,501



8. (a) CSR amount spent or unspent for the financial year:

Total Amount Spent for the Financial Year (in Rs)	Amount Unspent (in Rs)				
	Total Amount transferred to Unspent CSR Account as per section 135(6)		Amount transferred to any fund specified under Schedule VII as per second proviso to section 135(5)		
	Amount	Date of Transfer	Name of the Fund	Amount	Date of Transfer
89,00,000	-----NA-----				

(b) Details of CSR amount spent against ongoing project for the financial year

1	2	3	4	5	6	7	8	9	10	11
SI No	Name of the Project	Item from the list of activities in Schedule VII to the Act	Local area (Yes/No)	Location of the project	Project duration	Amount allocated for the project (in Rs)	Amount spent in the current financial Year (in Rs)	Amount transferred to Unspent CSR Account for the project as per Section 135(6) (in Rs)	Mode of Implementation Direct (Yes/No)	Mode of Implementation Through Implementing Agency
				State District						Name CSR Registration No
						NIL				

(c) Details of CSR amount spent against other than ongoing projects for the financial year:

1	2	3	4	5	6	7	8
SI No	Name of the Project	Item from the list of activities in Schedule VII to the Act	Local Area Yes/No	Location of the Project	Amount spent for projects	Mode of Implementation Direct (Yes/No)	Mode of Implementation - Through Implementing Agency
1	Providing health & mind relief & welfare to people.	Promoting health care including preventive health care	Yes	State District TN Erode	35,00,000	No	SKM Health and Mind Welfare Charitable Trust CSR00023679
2	Promoting education	Promoting education	Yes	TN Erode	37,00,000	No	Shree Foundation No.CSR00069616
3	Social Welfare	i. Eradicating hunger ii. Eradicating poverty & iii. Rehabilitation facilities for senior citizens	Yes	TN Erode	5,00,000	No	Atchayam Trust CSR00009043.
4	Promoting health care education	i. Promoting education ii. Promoting health care iii. conservation of natural resources and maintaining quality of soil, air and water	Yes	TN Erode	5,00,000	No	Olirum Erode Foundation CSR00004428
5	Providing health & mind relief & welfare to people	Promoting health care including preventive health care	Yes	TN Erode	5,00,000	No	Word Community Service Centre CSR00003661
6	Promoting Rural development	Rural development	Yes	TN Erode	2,00,000	Yes	Direct



- (d) Amount spent in Administrative Overheads: Nil
- (e) Amount spent on Impact Assessment, if applicable: Nil
- (f) Total amount spent for the Financial Year (8b+8c+8d+8e): Rs.89,00,000/-
- (g) Excess amount for set off, if any: Nil

SI No	Particulars	Amount (in Rs)
(I)	Two percent of average net profit of the company as per section 135(5)	88,53,501.00
(ii)	Total amount spent for the Financial Year	89,00,000.00
(iii)	Excess amount spent for the financial year [(ii)-(I)]	46,499.00
(iv)	Surplus arising out of the CSR projects or programmes or activities of the previous financial years, if any	NIL
(v)	Amount available for set off in succeeding financial years [(iii)-(iv)]	NIL

9 (a) Details of Unspent CSR Amount for the preceding three financial years:

SI No	Preceding Financial Year	Amount transferred to Unspent CSR account under section 135 (6) (in Rs)	Amount spent in the Reporting Financial Year (in Rs)	Amount transferred to any fund specified under Schedule VII as per section 135(6), if any			Amount remaining to be spent in succeeding Financial Year (in Rs)
				Name of the Fund	Amount (in Rs)	Date of transfer	
NIL							

b) Details of CSR amount spent in the financial year for ongoing projects of the preceding financial year(s):

1	2	3	4	5	6	7	8	9
SI No	Project ID	Name of the Project	Financial Year in which the project was commenced	Project duration	Total amount allocated for the project (in Rs)	Amount spent on the project in the reporting Financial Year (in Rs)	Cumulative amount spent at the end of reporting Financial Year. (in Rs)	Status of the project - Completed / On-going
NIL								



10. In case of creation or acquisition of capital asset, furnish the details relating to the asset so created or acquired through CSR spent in the financial year (asset-wise details): NA
- (a) Date of creation or acquisition of the capital asset(s): NA
- (b) Amount of CSR spent for creation or acquisition of capital asset: NA
- (c) Details of the entity or public authority or beneficiary under whose name such capital asset is registered, their address, etc.: NA
- (d) Provide details of the capital asset(s) created or acquired (including complete address and location of the capital asset): NA
11. Specify the reason(s), if the company has failed to spend two per cent of the average net profit as per section 135(5): NA

For and on behalf of the Board

Sd/-

SKM Maeilanandhan,
Chairman

DIN: 00002380

Place : Erode

Date : 22.05.2024



**Certificate for utilisation of funds disbursed
for CSR activities**

To
Board of Directors

This is to certify that the following funds were disbursed and utilised for CSR projects, as approved by the Board of Directors and monitored by the CSR Committee, during the period 01.4.2023 to 31.03.2024

Name of CSR Project	Implemented through	Amount Sanctioned	Amount Disbursed	Amount Utilised	Unspent Amount, if any
Providing Health and Mind relief and welfare to people	CSR: 1. SKM Mind Welfare Charity Trust 2. Olirum Erode Foundation 3.WCSC VSP 4. Shree Foundation 5. ATCHAYAM Trust 6. Directly Spent	88,53,501.00	89,00,000.00	89,00,000.00	Nil

The books of account and other records of CSR projects, as available with the company/ Implementing Agency, gives reasonable assurance about the utilisation of the funds disbursed by the company to Implementing Agencies for undertaking approved CSR activities.


APPENDIX-5
FORM AOC-2

[Pursuant to clause (h) of sub-section (3) of section 134 of the Act and Rule 8(2) of the Companies (Accounts) Rules, 2014]

Form for disclosure of particulars of contracts/arrangements entered into by the Company with related parties referred to in sub-section (1) of section 188 of the Companies Act, 2013 including certain arm's length transactions under third proviso thereto.

1. Details of contracts or arrangements or transactions not at arm's length basis - Not Applicable
2. Details of material contracts or arrangement or transactions at arm's length basis

1	Name of related party and Nature of relationship	SKM Universal Marketing Company India Private Limited: Common Directors SKM Siddha and Ayurvedha Company (India) Private Limited: Common Directors SKM Animal Feeds and Foods India Private Limited: Relative of Directors
2	Nature of contracts/ arrangements/ transactions	Sale of Egg Shell Waste, Purchase of Wind Power, Sale / Purchase of Eggs, Poultry Feeds, Egg Related Products, Poultry Feed Supplement
3	Duration of the contracts/arrangements/ transactions	FY 2023-24
4	Salient terms of the contracts or arrangements or transactions including the value, if any;	Nil
5	Date(s) of approval by the Board, if any.	Every Quarter
6	Amount paid as advances, if any.	Nil

For and on behalf of the Board

Sd/-

SKM Maeilanandhan,

Chairman

DIN: 00002380

Place : Erode

Date : 22.05.2024



APPENDIX-6

DETAILS OF POWER & FUEL CONSUMPTION, FOREIGN EXCHANGE EARNINGS AND OUTGO:

PARTICULARS	2023-2024	2022-2023
(I) POWER AND FUEL CONSUMPTION		
(1) Electricity		
a. Purchased units (Kwh)	96,38,766	98,24,406
Total Amount (Rs.)	7,15,22,054	6,69,30,594
Rate / Unit (Rs.)	7.42	6.81
b. Own Generation through Diesel Generator		
Units (Kwh)	2,84,500	3,73,470
Total Amount (Rs.)	70,76,687	1,08,38,641
Units per litre of Diesel	3.28	3.25
Cost/Unit (Rs.)	24.87	29.02
(2) Furnace Oil		
Quantity (Litres)	52,000	40,000
Total Cost (Rs.)	22,97,911	15,41,733
Average Rate (Rs.)	44.19	38.54
(3) Coal		
Quantity (Metric Tons)	8,582	10,088
Total Cost (Rs.)	6,86,35,470	10,77,70,270
Average Rate (Rs.)	7,997	10,683
(II) CONSUMPTION PER UNIT OF PRODUCTION		
Product - Egg Powder (Metric Ton)	4,939	6,500
Electricity (Rs. Per Metric Ton)	15,914	11,965
Fuel (Rs. Per Metric Ton)	14,362	16,818
FOREIGN EXCHANGE EARNINGS AND OUTGO : (Rs. In lacs)		
Earnings :	44,024	40,987
Outgo :	3,593	5,008

**CONSERVATION OF ENERGY:**

1. We started producing bio gas by using our own poultry farm litter. This in turn is used in our coal Boiler as an alternative fuel which has resulted in reduction of coal consumption.
2. By closely monitoring our water usage in various areas of our plant by using flow meters we were able to control the water usage and we could see a drastic reduction in our daily water usage.
3. We introduced Anerobic system in our ETP plant as a result of which, there is a considerable reduction in the consumption of primary treatment chemicals like Alum and Lime.

RESEARCH AND DEVELOPMENT:**Egg Cheese (Eggeese):**

Developed egg albumen-based Cheese using coconut powder & and other ingredients. Process optimization to be done to improve the quality of the product.

Shelf-life extension**Egg White Cube:**

Tested the Egg White Cube in external lab for the shell life extension. The study is successfully completed and the cube shell life is improved from 21 days to 120 days with cGMP practice and stored at <4°C condition.

Egg Liquid:

Initiated the analysis of whole egg liquids & Egg Albumen liquid (Tetrapack) shelf-life study in external labs. The study is successfully completed and the shelf life of the liquids are extended from 45 days to 120 days upon storing at less than 4 °C under good hygiene condition.

Oil coated shell egg study

Fluid genera oil coated shell egg study completed and the outcome is arrived. Egg coated with fluid genera oil and stored under <4 °C has better shell life than egg stored under normal condition at room temperature. Oil coated egg Haugh unit & absorbance were tested which results that it was as similar to the fresh egg at 120 days.

Product application trials

Using Whole Egg Powder and Egg Albumen Powder, Various bakery application was checked and their functionality were verified (Macrons, Egg drop cookies, Egg cookies, chin chin & egg coconut cookies).

For and on behalf of the Board

Sd/-

SKM Maeilanandhan,

Chairman

DIN: 00002380

Place : Erode

Date : 07.08.2024



APPENDIX-7

**Form No. MR-3
Secretarial Audit Report**

For the financial year ended 31st March, 2024

[Pursuant to Section 204(1) of the Companies Act, 2013 and Rule No.9 of the Companies]

To

The Members,

SKM Egg Products Export (India) Limited,

No 133, 133/1, Gandhiji Road,

Erode - 638001

I have conducted the secretarial audit of the compliance of applicable statutory provisions and the adherence to good corporate practices by **SKM Egg Products Export (India) Limited (CIN: L01222TZ1995PLC006025)** (hereinafter called the "**Company**"). Secretarial Audit was conducted in a manner that provided me a reasonable basis for evaluating the corporate conducts/ statutory compliances and expressing my opinion thereon.

Based on my verification of the Company's books, papers, minute books, forms and returns filed and other records maintained by the Company and also the information provided by the Company, its officers, agents and authorized representatives during the conduct of secretarial audit, I hereby report that in my opinion, the Company has, during the period covered by my audit, that is to say-1st April 2023 to 31st March 2024 (hereinafter referred to as '*Audit Period*') complied with the statutory provisions listed hereunder and also that the Company has proper Board-processes and compliance-mechanism in place to the extent, in the manner and subject to the reporting made hereinafter:

I have examined the books, papers, minute books, forms and returns filed and other records maintained by the Company for the financial year ended on 31 March 2024 according to the provisions of:

- (i) The Companies Act, 2013 (the Act) and the rules made thereunder;
- (ii) The Securities Contracts (Regulation) Act, 1956 ('SCRA') and the rules made thereunder;
- (iii) The Depositories Act, 1996 and the Regulations and Bye-laws framed thereunder;
- (iv) Foreign Exchange Management Act, 1999 and the rules and regulations made thereunder to the extent of Foreign Direct Investment, Overseas Direct Investment and External Commercial Borrowings;
- (v) The following Regulations and Guidelines prescribed under the Securities and Exchange Board of India Act, 1992 ('SEBI Act') to the extent it was applicable during the Audit Period:
 - (a) The Securities and Exchange Board of India (Substantial Acquisition of Shares and Takeovers) Regulations, 2011;
 - (b) The Securities and Exchange Board of India (Prohibition of Insider Trading) Regulations, 2015;



- (c) The Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018.
 - (d) The Securities and Exchange Board of India (Share Based Employee Benefits and Sweat Equity) Regulations, 2021;
 - (e) SEBI (Issue and Listing of Non-Convertible Securities) Regulations, 2021;
 - (f) The Securities and Exchange Board of India (Registrars to an Issue and Share Transfer Agents) Regulations, 1993;
 - (g) The Securities and Exchange Board of India (Delisting of Equity Shares) Regulations, 2009;
 - (h) The Securities and Exchange Board of India (Buyback of Securities) Regulations 2018; and
 - (l) The Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015
- (vi) The following Laws / specific Act(s) and Rules made thereunder specifically applicable to the Company namely:
- 1. Food and Safety and Standards Act, 2006
 - 2. The Export (Quality Control and Inspection) Act, 2013

I have also examined compliance with the applicable clauses of the following:

- (l) Secretarial Standards issued by The Institute of Company Secretaries of India; and
- (ii) The Listing Agreements entered into by the Company with Stock Exchanges and the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

During the audit period under review the Company has complied with the provisions of the Act, Rules, Regulations, Guidelines, Standards, etc. mentioned above subject to the specific observations made in Annexure B. I further report that the compliance of applicable financial laws including Direct and Indirect Tax Laws by the Company has not been reviewed in this Audit since the same has been subject to review by the Statutory Auditors and other designated professionals.

I further report that, having regard to the compliance system prevailing in the Company and on examination of the relevant documents and records in pursuance thereof on test check basis, the Company has complied with the industry /company specific laws as applicable to the Company.

I further report that the Board of Directors of the Company is duly constituted with proper balance of Executive Directors, Non-Executive Directors and Independent Directors. Changes in the composition of the Board of Directors that took place during the year under review, were carried out in compliance with the provisions of the Act;

Adequate notice of meetings of the Board of Directors were given to all directors and agenda and detailed notes on agenda in respect of such meetings were sent at least seven days in advance, other than those held at shorter notice, and a system exists for seeking and obtaining further information and clarifications on the agenda items before the meeting and for



meaningful participation at the meeting.

Majority decision is carried through and recorded as part of the Minutes of the Meetings. I did not find any dissenting directors' views in the minutes.

I further report that there are adequate systems and processes in the Company commensurate with the size and operations of the Company to monitor and ensure compliance with applicable laws, rules, regulations and guidelines subject to our specific observations in Annexure-B to this report

I further report that during the Audit Period there were no events/actions [like Public/Rights/Preferential Issue of Shares /debentures/sweat equity etc, Redemption /buy-back of securities/Major decisions taken by members in pursuance to section 180 of the Companies Act, 2013, Merger/amalgamation/reconstruction etc,] having a major bearing on the Company's affairs in pursuance of the above referred laws, rules, regulations, guidelines, standards etc.

R. Saiprasath

Company Secretary in Practice

FCS No.: 11555 / CoP No:16979

Peer Review No: 2626/2022

Place :Coimbatore

Date: 30.07.2024

UDIN: F011555F000852571



**SECRETARIAL AUDIT REPORT
FOR THE FINANCIAL YEAR ENDED 31.03.2024**

[Pursuant to section 204(1) of the Companies Act, 2013 and rule 9 of the Companies]

Annexure -A to Secretarial Audit Report of even Date

To

The Members,

SKM Egg Products Export (India) Limited,

CIN: L01222TZ1995PLC006025

No 133, 133/1, Gandhiji Road,

Erode - 638001.

My Report of even date is to be read along with this letter.

1. Maintenance of secretarial record is the responsibility of the management of the company. My responsibility is to express an opinion on these secretarial records based on my audit.
2. I have followed the audit practices and processes as were appropriate to obtain reasonable assurance about the correctness of the contents of the Secretarial records. The verification was done on to ensure that correct facts are reflected in secretarial records. I believe that the processes and practices, I followed provide a reasonable basis for my opinion.
3. I have not verified the correctness and appropriateness of financial records and books of accounts of the company.
4. Whereever required, I have obtained the Management representation about the compliance of laws, rules and regulations and happening of events etc.
5. The compliance of the provisions of Corporate and other applicable laws, rules, regulations, standards is the responsibility of management. My examination was limited to the verification of procedures on test basis.
6. The Secretarial Audit report is neither an assurance as to the future viability of the company nor of the efficacy or effectiveness with which the management has conducted the affairs of the company.

Place: Coimbatore
Date: 30.07.2024
UDIN: F011555F000852571

R. Saiprasath
Company Secretary in Practice
FCS No.: 11555 / CoP No:16979
Peer Review No: 2626/2022



Annexure -B to Secretarial Audit Report of even Date- Observations

1. Pursuant to regulation 25(3) requires the Independent Directors to meet once year and discuss the items mentioned in regulation 25(4). However we were unable to verify matters transacted at the meeting as informed by the company secretary of the company that minutes of the meeting of the Independent Directors are confidential and only Board Members have an access to the minutes.
2. The minutes pertaining to the CSR committee meetings were not made available to the auditor and hence could not be verified
3. The details of Board Evaluation and that of Independent Directors are kept confidential and hence not made available for this audit.

Place: Coimbatore
Date: 30.07.2024
UDIN: F011555F000852571

R. Saiprasath
Company Secretary in Practice
FCS No.: 11555 / CoP No:16979
Peer Review No: 2626/2022



APPENDIX-8

Information pursuant to Section 197 of the Act with Rule 5(1) of the Companies

(Appointment and Remuneration of Managerial Personnel) Rules, 2014 and Regulation 24A of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015]

- a. The percentage increase in remuneration of each director, Chief Financial Officer, Chief Executive Officer, Company Secretary during the financial year 2023-24 and Ratio of the remuneration of each Director to the median remuneration of the employees of the company for the financial year 2023-24:

Name of the Director / Key Managerial Personnel	% increase in remuneration in the Financial Year 2023-2024	Ratio of the remuneration to the median remuneration of the employees
Shri SKM Maeilanandhan (Chairman)	139	24.80
Shri SKM Shree Shivkumar (Managing Director)	-----	108.08
Sri SK Sharath Ram (Executive Director)	-----	19
Smt.S.Kumutaavalli (Non Executive Director)	-----	-----
Dr.LM.Ramakrishnan (Independent Director)	-----	-----
Shri.C.Devarajan (Independent Director)	-----	-----
Shri.TN Thirukumar (Independent Director)	-----	-----
Shri.GN Jayaram (Independent Director)	-----	-----
Shri.D.Venkateswaran (Independent Director)	-----	-----
Shri B Elangovan (Resigned 10.05.2024)	-----	-----
Shri.K.S.Venkatachalapathy (Chief Financial Officer)	0	10.54
Shri.P.Sekar (Company Secretary)	0	3.73

During the year, the Non-Executive Directors received only the sitting fees as remuneration.

- b. The percentage increase in the median remuneration of employees in the financial year 2023-24: **2.5%**
- c. The number of permanent employees on the rolls of company: **229**
- d. Average percentile increase already made in the salaries of employees other than the managerial personnel in the last financial year and its comparison with the percentile increase in the managerial remuneration and justification thereof and point out if there are any exceptional circumstances for increase in the managerial remuneration:

The average decrease in the salaries of employees other than the managerial personnel in 2023-24 was NIL. The Percentage increase in the managerial remuneration for the same financial year was 25%.

- e. Affirmation that the remuneration is as per the remuneration policy of the company.



It is hereby affirmed that the remuneration paid to the Directors and Key Managerial Personnel are as per the Nomination and Remuneration Policy of the Company.

For and on behalf of the Board

Sd/-

SKM Maeilanandhan,

Chairman

DIN: 00002380

Place :Erode

Date : 07.08.2024



APPENDIX-9

CERTIFICATE OF CHIEF EXECUTIVE OFFICER AND CHIEF FINANCIAL OFFICER

[As per Listing Agreement and Regulation 17(8) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015]

The Board of Directors

M/s. SKM Egg Products Export (India) Limited

We have reviewed the financial statements and the cash flow statement of SKM Egg Products Export India Limited for the financial year 2023-24 and certify that:

a) These statements to the best of our knowledge and belief:

- I. Do not contain any materially untrue statements or omit any material facts or contain statements that might be misleading:
- II. Present a true and fair view of the Company's affairs and are in compliance with existing accounting standards, applicable laws and regulations.

b) To the best of our knowledge and belief, there are no transactions entered into by the Directors and Senior Management Personnel during the year, which are fraudulent, illegal or violative of the Company's Code of Conduct.

c) We accept responsibility for establishing and maintaining internal controls for financial reporting and have evaluated the effectiveness of the internal control systems of the Company for such reporting. We have disclosed to the Auditors and the Audit Committee, deficiencies, if any, in the design or operation of such internal controls, of which we are aware of and the steps taken and/or proposed to be taken to rectify these deficiencies.

d) We have also indicated to the Auditors and the Audit Committee.

(I) Significant changes in Internal Controls with respect to financial reporting during the year.

(ii) Significant changes in accounting policies during the Year and these have been disclosed in the notes to the financial statements.

e) To the best of our knowledge and belief, there are no instances of significant fraud involving either the management or employees having a significant role in the Company's internal control systems with respect to financial reporting.

Place :Erode
Date : May 22, 2024

SKM SHREE SHIVKUMAR
Managing Director

K.S.VENKATACHALAPATHY
Chief Financial Officer



INDEPENDENT AUDITOR'S REPORT

TO THE MEMBERS OF SKM EGG PRODUCTS EXPORT (INDIA) LIMITED

Report on the Standalone financial statements

Opinion:

We have audited the accompanying standalone financial statements of M/s. SKM EGG PRODUCTS EXPORT (INDIA) LIMITED, ("the Company") (Registered Office at 133, 133/1, Gandhiji Street, Erode – 638 001), which comprise the Balance Sheet as at March 31, 2024, the Statement of Profit and Loss (Including Other Comprehensive Income), the Statement of changes in equity and Statement of Cash Flows for the year then ended and a summary of the significant accounting policies and other explanatory information (hereinafter referred to as "standalone financial statements").

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid standalone financial statements give the information required by the Companies Act, 2013 ("the Act") in the manner so required and give a true and fair view in conformity with the Indian Accounting Standards prescribed under section 133 of the Act read with the Companies (Indian Accounting Standards) Rules, 2015, as amended, ("Ind AS") and other accounting principles generally accepted in India, of the state of affairs of the Company as at 31st March, 2024; the Profit and total comprehensive income, changes in equity and its cash flows for the year ended on that date.

Basis for Opinion:

We conducted our audit in accordance with the Standards on Auditing (SAs) specified under Section 143(10) of the Companies Act, 2013. Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the Standalone Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the standalone financial statements under the provisions of the Companies Act, 2013 and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the standalone financial statements.

Key Audit Matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the Standalone Financial Statements of the current period. These matters were addressed in the context of our audit of Standalone Financial Statements as a whole, and in forming our opinion thereon and we do not provide a separate opinion on these matters. We have determined the matters described below to be the key audit matters to be communicated in our report.



S No	Key Audit Matter	How our audit addressed the key audit matter
1	Inventory Existence and Valuation: As on 31st March 2024, the Company carries inventories to the tune of Rs. 110.14 crores. We considered the amount of inventories as a key audit matter given the relative size of the balance in the financial statements. Also there are complexities and manual process involved in determining inventory quantities on hand and valuation of the same due to the diverse & numerous inventory products and stocks held in overseas branch and price fluctuations of products. Therefore inventory quantities and valuation is identified as a key audit matter.	• We have attended inventory counts for certain products, which we have selected based on financial significance and risk, observed management's inventory count procedures to assess the effectiveness, selected a sample of inventory products and compared the quantities counted to the quantities recorded and ensured inventory adjustments, if any, are recorded in the books of accounts. • With regard to the stocks held in the overseas branch, we have received the certificate from the overseas branch auditor and obtained management representation and verified the relevant documents relating to goods sent from head office to the branch. • Reviewed the internal audit report regarding physical verification of inventories and traced adjustments on sample basis. • Comparative analysis of inventory as at the end of the year with the inventory at the beginning of the year. • We assessed whether the management's controls relating to inventory's valuation are appropriately designed and implemented and verified the correctness of valuation made by the management on a sample basis, with regard to the cost and net realizable value of inventory.
2	Amortisation of livestock: For the company, the primary raw material is the egg, which was used to be acquired from outside in large quantities and was also produced in-house in small quantities by the poultry farm owned by the company in earlier years. However, for the past 3 years, the company has started operating certain additional poultry farms and feed mills by taking the same on lease.	• Examined the method used to amortize the livestock expenses with reference to the company's historical experience and technical evaluation by internal experts (doctors) appointed by management. • Evaluated the rationale in arriving at the amortization rate with regard to the number of eggs expected from birds during the laying stage, residual value of culled birds, manner and timing of amortization.



S No	Key Audit Matter	Auditor's Response
	The amortization of livestock during the year amounts to 28.23 crores. Also there are complexities and manual process involved in arriving at the amortization rate considering a variety of factors such as age, productivity of the birds, life of birds, residual value, if any, etc., Therefore amortization of livestock is identified as a key audit matter.	• Analyzed the flow of transactions starting from accumulating the various expenditure incurred for raising the birds such as feeds, medicines, vaccines, growing and supervision charges, etc., till the birds attain laying stage. After the birds start laying eggs, the expenses so accumulated are amortized over the useful life of the birds in proportion to the eggs laid after adjusting for the residual value of culled birds on the basis of past experiences and estimation. • Assessed the objectivity and competence of the Company's internal experts involved in the process.
3	Evaluation of Contingent liabilities: The company has an uncertain direct & indirect tax position and other contingent liabilities in respect of bills discounted which involve significant judgment to determine the possible outcome of these matters.	• Obtained the details of completed direct & indirect tax assessments and demands as on 31.03.2024 from the management. • We have also reviewed the company's correspondences and appellate documents and considered legal precedence and other rulings in evaluating management's position on these uncertain tax positions • In respect of bills discounted, analyzed the history of the business transactions of the company with the debtors whose bills were discounted and the trend of payments made by the debtors in the past and also had taken into account the transactions occurring after the balance sheet date in assessing the recoverability of debtors for the bills discounted. • Ascertained the chances of crystallization of liability are probable / possible / remote and ensured appropriate disclosure under Notes on accounts.

**Information Other than the Financial Statements and Auditor's Report Thereon**

The Company's Board of Directors is responsible for the other information. The other information comprises the information included in the holding company's annual report, but does not include the standalone financial statements and our auditor's report thereon.

Our opinion on the standalone financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the standalone financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the standalone financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Management's Responsibility for the Standalone financial statements:

The Company's Board of Directors is responsible for the matters stated in Section 134(5) of the Companies Act, 2013 ("the Act") with respect to the preparation of these standalone financial statements that give a true and fair view of the financial position, financial performance, total comprehensive income, changes in equity and cash flows of the Company in accordance with the accounting principles generally accepted in India, including the Accounting Standards specified under Section 133 of the Act. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the standalone financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the standalone financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those Board of Directors are also responsible for overseeing the company's financial reporting process.

Auditor's Responsibility for the Audit of Standalone financial statements:

Our objectives are to obtain reasonable assurance about whether the standalone financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.



As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the standalone financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal controls relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(l) of the Act, we are also responsible for expressing our opinion on whether the Company has adequate internal financial controls system in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the standalone financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the standalone financial statements, including the disclosures, and whether the standalone financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the standalone financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

**Other Matters:**

We did not audit the financial statements / information of 1 branch (Foreign branch) (In Russia) included in the standalone financial statements of the Company whose financial statements / financial information reflect total assets of Rs.10,26,57,218/- as at 31st March, 2024 and total revenues of Rs.85,28,91,152/- for the year ended on that date, as considered in the standalone financial statements. The financial statements/information of this branch have not been audited by us and has been audited by Russian Auditor whose audit report has been furnished to us and our opinion is based on those Financial Statements received from the Branch Office and certified by the Russian Auditor. Our opinion is not qualified / modified in respect of this matter.

Report on Other Legal and Regulatory Requirements:

- 1) As required by section 143(3) of the Act, we report that:
 - a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purpose of our audit.
 - b) In our opinion proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books and proper returns adequate for the purposes of our audit have been received from the branches not visited by us.
 - c) The Balance Sheet, the Statement of Profit and Loss (including Other Comprehensive Income), Statement of Changes in Equity and the Statement of Cash Flow dealt with by this Report are in agreement with the books of account and with the returns received from the branches not visited by us.
 - d) In our opinion, the aforesaid standalone financial statements comply with the Indian Accounting Standards specified under Section 133 of the Act read with relevant rules issued thereunder.
 - e) On the basis of written representations received from the directors as on March 31, 2024 taken on record by the Board of Directors, none of the directors is disqualified as on March 31, 2024, from being appointed as a director in terms of Section 164(2) of the Act.
 - f) With respect to the adequacy of the internal financial controls with reference to standalone financial statements of the company and the operating effectiveness of such controls, refer to our separate report in "Annexure A";
 - g) With respect to the other matters to be included in the Auditor's Report in accordance with the requirements of section 197(16) of the Act, as amended, in our opinion and according to the information and the explanations given to us, the remuneration paid / provided by the company during the year to its directors is in accordance with the provisions of section 197 of the Act.
 - h) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:



- i. The Company has disclosed the impact of pending litigations on its financial position in its Standalone Ind AS financial statements – Also Refer Note number 2(ii) of Notes on Accounts to the Standalone Ind AS financial statements;
- ii. The Company did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses.
- iii. There has been no delay in transferring amounts, required to be transferred, to the Investor Education and Protection Fund by the Company.
- iv. a) The management has represented that, to the best of its knowledge and belief, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company to or in any other persons or entities, including foreign entities (“Intermediaries”), with the understanding, whether recorded in writing or otherwise, that the intermediary shall:
 - directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever (“Ultimate Beneficiaries”) by or on behalf of the Company or
 - provide any guarantee, security or the like to or on behalf of the Ultimate Beneficiaries.b) The management has represented, that, to the best of its knowledge and belief, no funds have been received by the Company from any persons or entities, including foreign entities (“Funding Parties”), with the understanding, whether recorded in writing or otherwise, that the Company shall:
 - directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever (“Ultimate Beneficiaries”) by or on behalf of the Funding Party or
 - provide any guarantee, security or the like from or on behalf of the Ultimate Beneficiaries; andc) Based on such audit procedures as considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the representations under sub-clause (iv) (a) and (iv) (b) contain any material mis-statement.
- v. The final dividend proposed, declared and paid by the company during the year is in compliance with Section 123 of the Act, as applicable.
- vi. The reporting under Rule 11(g) of the Companies (Audit and Auditors) Rules, 2014 is applicable from 1st April 2023.

Based on our examination which included test checks, the Company has used accounting softwares for maintaining its books of account, which have a feature of recording audit trail (edit log) facility and the same has operated throughout the year for all relevant transactions recorded in the respective software.

Further, for the periods where audit trail (edit log) facility was enabled and operated throughout the year for the respective accounting software, we did not come across any instance of the audit trail feature being tampered with.



- 2) As required by the Companies (Auditor's Report) Order, 2020 ("the Order"), issued by the Central Government of India in terms of sub-section (11) of section 143 of the Companies Act, 2013, we give in the "Annexure - B" a statement on the matters specified in paragraphs 3 and 4 of the Order, to the extent applicable.

Place :Erode
Date : 22.05.2024

N.C. Rajagopal & Co.,
Chartered Accountants,
N.C.VIJAY KUMAR, PARTNER
Membership No : 208276
FRN : 003398S
UDIN : 24208276BKAJVA4584

**ANNEXURE - A****TO THE INDEPENDENT AUDITORS' REPORT ON THE STANDALONE FINANCIAL STATEMENTS OF SKM EGG PRODUCTS EXPORT (INDIA) LIMITED**

Referred to in paragraph 1 (f) under Report on Other legal and Regulatory Requirements of our Report of even date

Report on the Internal Financial Controls over Financial Reporting under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 ("the Act")

We have audited the internal financial controls with reference to Standalone Financial Statements of M/s. SKM EGG PRODUCTS EXPORT (INDIA) LIMITED, ("the Company") as of 31 March 2024 in conjunction with our audit of the Standalone financial statements of the Company as at and for the year ended on that date.

Management's Responsibility for Internal Financial Controls:

The Company's management is responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls over Financial Reporting issued by the Institute of Chartered Accountants of India ('ICAI'). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

Auditors' Responsibility:

Our responsibility is to express an opinion on the Company's internal financial controls over financial reporting based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls over Financial Reporting (the "Guidance Note") and the Standards on Auditing, issued by ICAI and deemed to be prescribed under section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls, both applicable to an audit of Internal Financial Controls and, both issued by the Institute of Chartered Accountants of India. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls over financial reporting was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls with reference to the financial statements of the company and their operating effectiveness. Our audit of internal financial controls over financial reporting included obtaining an understanding of internal financial controls over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the standalone financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls system over financial reporting.

**Meaning of Internal Financial Controls over Financial Reporting:**

A company's internal financial control with reference to the financial statements of the company is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control over financial reporting includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorizations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls with reference to Financial Statements:

Because of the inherent limitations of internal financial controls with reference to the financial statements of the company, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to the financial statements of the company to future periods are subject to the risk that the internal financial control with reference to the financial statements of the company may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion:

In our opinion, the Company has, in all material respects, an adequate internal financial controls system with reference to the financial statements of the company and such internal financial controls with reference to the financial statements of the company were operating effectively as at 31 March 2024, based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls over Financial Reporting issued by the Institute of Chartered Accountants of India.

Place :Erode
Date : 22.05.2024

N.C. Rajagopal & Co.,
Chartered Accountants,
N.C.VIJAY KUMAR, PARTNER
Membership No : 208276
FRN : 003398S
UDIN : 24208276BKAJVA4584

**“ANNEXURE B”****TO THE INDEPENDENT AUDITOR’S REPORT ON THE STANDALONE INDAS FINANCIAL STATEMENTS OF SKM EGG PRODUCTS EXPORT (INDIA) LIMITED**

Referred to in Paragraph 2 under the Heading of “Report on Other Legal and Regulatory Requirements” section of our report of even date

1. a. A. The Company is maintaining proper records showing full particulars including quantitative details and situation of Property, Plant and Equipment:

B. The company does not have any intangible assets and hence the question of maintenance of records relating to intangible assets does not arise;
- b. The Property, Plant and Equipment have been physically verified by the management at reasonable intervals and no material discrepancies were noticed on such verifications.
- c. According to the information and explanations given to us and on the basis of our examination of the records of the company, the title deeds of immovable properties (other than properties where the company is the lessee and the lease agreements are duly executed in favour of the lessee) disclosed in the financial statements are held in the name of the Company.
- d. The company has not revalued its Property, Plant and Equipment (including Right of Use assets) during the year.
- e. No proceedings have been initiated or are pending against the company for holding any benami property under the Benami Transactions (Prohibition) Act, 1988 (45 of 1988) and rules made thereunder.
2. a. The Management has conducted physical verification of inventory at reasonable intervals. In our opinion the coverage and procedure of such verification by the management is appropriate and no discrepancies of 10% or more in the aggregate for each class of inventory were noticed on physical verification.
- b. According to the information and explanations given to us and on the basis of our examination of the records of the company, the company has been sanctioned working capital limits in excess of five crore rupees, in aggregate, from banks on the basis of security of current assets. In our opinion, the quarterly returns or statements filed by the Company with such banks are in agreement with the books of account of the Company.
3. The Company during the year has not made investments in, provided any guarantee or security or granted any secured or unsecured loans to companies, firms, Limited Liability Partnerships or other parties during the year and hence the requirement to report under sub clauses (a) to (f) of this clause do not arise for consideration.
4. According to the information and explanations given to us and on the basis of our examination of the records, the Company has not granted any loans, or provided any guarantee or security as specified under Section 185 and 186 of the Companies Act, 2013. Further, the company has complied with the provisions of Section 186 of the Companies Act, 2013 in relation to the investments made.
5. The Company has not accepted any deposits or any amounts which are deemed to be deposits from the public and hence this clause is inapplicable.
6. According to the information and explanations given to us, the Central Government has not prescribed the



maintenance of cost records under Section 148(1) of the Companies Act, 2013 for the products manufactured by it (and / or services provided by it). Accordingly, this clause is not applicable to the company.

7. a. According to the records of the company, the company is regular in depositing undisputed statutory dues including Goods and Services Tax, provident fund, employees state insurance, income-tax, sales-tax, service Tax, duty of customs, duty of excise, value added tax, cess and other statutory dues, to the extent applicable, with the appropriate authorities. According to the information and explanation given to us, no undisputed amounts payable in respect of the aforesaid dues were outstanding as at 31st March, 2024 for a period of more than six months from the date they became payable.

b. Statutory dues referred to in sub-clause (a) on account of dispute, if any, pending as at 31st March, 2024 are given below:

Nature of the Statute	Nature of dues	Forum where the dispute is pending	Period to which the amount relates	Amount (Rs in lakhs)
Income Tax Act, 1961	Income Tax	High Court, Chennai	AY 2014-15 (FY 2013-14)	80.66
Income Tax Act, 1961	Income Tax	Commissioner of Income Tax (Appeals) - 20, Chennai	AY 2021-22 (FY 2020-21)	169.22
Income Tax Act, 1961	Income Tax	Commissioner of Income Tax (Appeals) - 20, Chennai	AY 2022-23 (FY 2021-22)	114.77
Finance Act, 1994	Service Tax	CESTAT, Chennai	August, 2012 to March, 2015	43.97
		Deputy Commissioner of Central Excise, Salem	April, 2014 to September, 2014	7.36
		Assistant Commissioner of Central Excise & GST, Erode.	April, 2015 to March, 2017	39.64



According to the information and explanations given to us and on the basis of our examination of the relevant records of the company, there are no unrecorded transactions in the books of account which have been surrendered or disclosed as income during the year in the tax assessments under the Income Tax Act, 1961 (43 of 1961).

8. On the basis of our examination of books of account and other relevant documents and according to the information and explanations given to us we report that:
 - (a) the company has not defaulted in repayment of loans or other borrowings or in the payment of interest thereon to any lender during the year.
 - (b) the company has not been declared as a wilful defaulter by any bank or financial institution or other lender.
 - (c) the term loans were applied for the purpose for which the loans were obtained.
 - (d) the funds raised on short term basis have not been utilised for long term purposes.
 - (e) the company has not taken any funds from any entity or person on account of or to meet the obligations of its subsidiaries, associates or joint ventures.
 - (f) the company has not raised loans during the year on the pledge of securities held in its subsidiaries, joint ventures or associate companies.
9. (a) The company during the year has not raised any money by way of initial public offer or further public offer (including debt instruments) and hence this clause is inapplicable to the company.

(b) The company has not made any preferential allotment or private placement of shares or convertible debentures (fully, partially or optionally convertible) during the year and hence this clause is inapplicable to the company.
10. (a) According to the information and explanation given to us and from the audit procedures adopted by us, we are of opinion that, no fraud by the company or no fraud on the company has been noticed or reported during the year.

(b) Consequent to fraud not being noticed or reported during the year, no report under sub-section (12) of section 143 of the Companies Act has been filed by the auditors in Form ADT-4 as prescribed under rule 13 of Companies (Audit and Auditors) Rules, 2014 with the Central Government.

(c) There is no whistle-blower complaints received during the year by the company;
11. The Company is not a "Nidhi company" and hence sub clauses (a) to (c) of this clauses are inapplicable to the company.
12. According to the information and explanation given to us, and on the basis of verification of books of accounts & financial statements, we are of the opinion that all transactions with the related parties are in compliance with Section 177 and 188 of the Companies Act, 2013, and the details have been disclosed in the financial statements as required by the applicable accounting standards.
13. (a) The company has an internal audit system commensurate with the size and nature of its business.

(b) The reports of the Internal Auditors for the period under audit have been considered.

14. According to the information and explanation given to us and from our audit observation, we are of opinion that, the company has not entered into any non-cash transactions with its directors or persons connected with them and hence this clause is inapplicable to the company.
15. The company is not a Non-banking financial company and hence the company is not required to be registered under section 45-IA of the Reserve Bank of India Act, 1934 and hence the requirement to get registered under Reserve Bank of India Act, 1934 does not arise. The company is also not a Core Investment Company (CIC) as defined in the regulations made by the Reserve Bank of India. Hence sub clauses (a) to (d) of this clause is inapplicable to the company.
16. The company has not incurred any cash losses in the financial year and in the immediately preceding financial year.
17. There has not been any resignation of the statutory auditors during the year and hence this clause is inapplicable to the company.
18. On the basis of the financial ratios, ageing and expected dates of realisation of financial assets and payment of financial liabilities, other information accompanying the financial statements, the auditor's knowledge of the Board of Directors and management plans, we are of the opinion that no material uncertainty exists as on the date of the audit report and that the company is capable of meeting its liabilities existing at the date of balance sheet as and when they fall due within a period of one year from the balance sheet date.
19. On the basis of our examination of books of account and other relevant documents and according to the information and explanations given to us we report that there are no unspent amount relating to the Corporate Social Responsibility (CSR) provisions in accordance with Section 135 of the Act and hence the requirement to report under sub clauses (a) & (b) of this clause do not arise for consideration.

Place :Erode
Date : 22.05.2024

N.C. Rajagopal & Co.,
Chartered Accountants,
N.C.VIJAY KUMAR, PARTNER
Membership No : 208276
FRN : 003398S
UDIN : 24208276BKAJVA4584



STANDALONE BALANCE SHEET AS AT 31.03.2024

CIN : L01222TZ1995PLC006025

₹ Lakhs

Particulars	Note No.	As at 31.03.2024	As at 31.03.2023
I. Assets			
(1) Non-current assets			
(a) Property, Plant and Equipment			
(i) Own assets	3(a)	10,498.63	6,261.20
(ii) Right to Use Lease Assets	3(b)	878.24	1,250.69
(b) Capital work-in-progress	3(c)	3,439.21	2,365.96
(c) Financial Assets			
(i) Investments	4(a)	126.78	126.78
(ii) Loans	4(b)	16.38	13.98
(iii) Other Financial Assets	4(c)	267.72	230.04
(2) Current assets			
(a) Inventories	5	11,014.13	11,464.01
(b) Financial Assets			
(i) Investments	6(a)	572.99	403.62
(ii) Trade receivables	6(b)	2,589.61	3,592.26
(iii) Cash and cash equivalents	6©	14,019.25	5,826.82
(iv) Bank balances other than (iii) above	6(d)	89.24	67.64
(v) Other financial assets	6(e)	456.18	-
(c) Other current assets	7	2,153.75	1,756.64
Total Assets		46,122.11	33,359.63
II. EQUITY AND LIABILITIES			
Equity			
(a) Equity Share capital	8(a)	2,633.00	2,633.00
(b) Other Equity	8(b)	24,623.65	16,558.45
LIABILITIES			
(1) Non-current liabilities			
(a) Financial Liabilities			
(i) Borrowings	9(a)	4,815.98	1,346.72
(ia) Lease Liabilities - Non current	9(b)	586.58	938.68
(b) Provisions	10	51.81	24.71
(c) Deferred tax liabilities (Net)	11	731.26	541.50
(2) Current liabilities			
(a) Financial Liabilities			
(i) Borrowings	12(a)	8,736.60	7,289.26
(ia) Lease Liabilities	12(b)	408.00	432.08
(ii) Trade payables	12(c)		
(A) total outstanding dues of micro enterprises and small enterprises; and		129.69	23.57
(B) total outstanding dues of creditors other than micro enterprises and small enterprises.		2,061.86	2,422.58
(iii) Other financial liabilities	12(d)	89.24	67.64
(b) Other current liabilities	13	627.46	638.31
(c) Provisions	14	627.00	443.11
Total Equity and Liabilities		46,122.11	33,359.63

See accompanying Notes to the Financial Statements

FOR AND ON BEHALF OF THE BOARD

For N.C.Rajagopal & Co.,

Chartered Accountants

N.C.VIJAY KUMAR

Partner

Membership No. : 208276

Firm Reg. No.: 003398S

Place : Erode

Date : 22.05.2024

SKM MAELANANDAN

Executive Chairman & Whole Time Director

K.S.VENKATACHALAPATHY

Chief Financial Officer

Membership No. : 029064

SKM SHREE SHIVKUMAR

Managing Director

P. SEKAR

Company Secretary

Membership No.F10744

**STANDALONE STATEMENT OF PROFIT AND LOSS FOR THE PERIOD ENDED 31.03.2024**

CIN : L01222TZ1995PLC006025

₹ Lakhs

Particulars	Note No.	2023-24	2022-23
Revenue from operations	17	68,995.23	65,713.62
Other Income	18	1,157.69	125.43
Total Income		70,152.91	65,839.05
EXPENSES			
Cost of materials consumed	19	39,128.30	33,967.55
Purchases of Stock-in-Trade	20	3,436.68	5,685.98
Changes in inventories of finished goods, Stock-in -Trade and work-in-progress	21	(485.74)	(27.22)
Employee benefits expense	22	3,340.55	2,468.48
Finance costs	23	1,028.50	935.50
Depreciation and amortization expense	24	3,973.23	3,362.14
Other expenses	25	8,485.78	9,250.25
Total expenses		58,907.30	55,642.68
Profit/(loss) before tax		11,245.61	10,196.37
Tax expense:			
(1) Current tax	26(i)	2,776.67	2,655.92
(2) Deferred tax	26(ii)	77.95	(1.84)
Profit/(loss) for the period		8,390.99	7,542.29
Other Comprehensive Income			
(A) Items that will not be reclassified to Statement of Profit and loss			
(i) Re measurement of Defined Benefit Plans		(11.92)	1.63
(ii) Income tax relating to items that will not be reclassified to Statement of Profit and loss		(3.00)	0.41
(B) Items that will be reclassified to Statement of Profit and loss			
(i) Effective portions of cash flow edge on derivative instrument		456.18	-
(ii) Income tax relating to items that will be reclassified to Statement of Profit and loss		114.81	-
Total Comprehensive Income for the year		8,723.44	7,543.51
Earning per equity share of face value Rs.10 each	27		
Basic (in Rs)		31.87	28.65
Diluted (in Rs)		31.87	28.65

See accompanying Notes to the Financial Statements

For N.C.Rajagopal & Co.,

Chartered Accountants

N.C.VIJAY KUMAR

Partner

Membership No. : 208276

Firm Reg. No.: 003398S

SKM MAELANANDAN

Executive Chairman & Whole Time Director

K.S.VENKATACHALAPATHY

Chief Financial Officer

Membership No. : 029064

FOR AND ON BEHALF OF THE BOARD**SKM SHREE SHIVKUMAR**

Managing Director

P. SEKAR

Company Secretary

Membership No.F10744


STANDALONE STATEMENT OF CHANGES IN EQUITY
A. Equity Share Capital
₹ Lakhs

Balance at the beginning of the reporting period (i.e. 1st April, 2023)	Changes in equity share capital during the year 2023-24	Balance at the end of the reporting period (i.e. 31st March, 2024)
2,633.00	-	2,633.00
Balance at the beginning of the reporting period (i.e. 1st April, 2022)	Changes in equity share capital during the year 2022-23	Balance at the end of the reporting period (i.e. 31st March, 2023)
2,633.00	-	2,633.00

B. Other Equity
As on 31st March 2024
₹ Lakhs

Particulars	Reserves & Surplus				
	Securities Premium	General Reserve	Retained Earnings	Other Comprehensive Income	Total
Balance at the beginning of the reporting period (i.e. 1st April, 2023)	4.01	4.33	16,477.94	72.18	16,558.45
Total Comprehensive Income for the year	-	-	8,390.99	332.45	8,723.44
Dividends			(658.25)		(658.25)
Balance at the end of the reporting period (i.e. 31st March, 2024)	4.01	4.33	24,210.68	404.63	24,623.65

As on 31st March 2023
₹ Lakhs

Particulars	Reserves & Surplus				
	Securities Premium	General Reserve	Retained Earnings	Other Comprehensive Income	Total
Balance at the beginning of the reporting period (i.e. 1st April, 2022)	4.01	4.33	9,067.30	70.96	9,146.60
Total Comprehensive Income for the year	-	-	7,542.29	1.22	7,543.51
Dividends			(131.65)		(131.65)
Balance at the end of the reporting period (i.e. 31st March, 2023)	4.01	4.33	16,477.94	72.18	16,558.45

See accompanying Notes to the Financial Statements
FOR AND ON BEHALF OF THE BOARD

For N.C.Rajagopal & Co.,
Chartered Accountants
N.C.VIJAY KUMAR

Partner

Membership No. : 208276
Firm Reg. No.: 003398S

SKM MAEILANANDAN
Executive Chairman & Whole Time Director

K.S.VENKATACHALAPATHY
Chief Financial Officer
Membership No. : 029064

SKM SHREE SHIVKUMAR
Managing Director

P. SEKAR
Company Secretary
Membership No.F10744



STANDALONE CASH FLOW STATEMENT FOR THE PERIOD FROM 1ST APRIL, 2023 TO 31ST MARCH, 2024

₹ Lakhs

Particulars	2023-24	2022-23
CASH FLOW FROM OPERATING ACTIVITIES:		
Net Profit Before Tax as per Statement of Profit and Loss	11,245.61	10,196.37
Adjusted for:		
Depreciation	1,149.91	1,053.96
Financial Cost	1,028.50	935.50
(Profit) / Loss on Sale of Assets	(7.71)	-
(Profit) / Loss on Sale of Investments	(23.50)	2.28
Unrealised (Gain) / Loss on Sale of Investments	(63.52)	(9.47)
Asset Retirement by Scrapping (write-off)	104.87	-
Interest income	(810.38)	(87.49)
Operating profit before Working capital changes	12,623.78	12,091.16
Adjusted for:		
Trade & Other Receivables	109.27	(2,811.57)
Inventories	449.88	(2,186.66)
Trade & Other Payables	411.39	1,899.51
Cash Generated from Operations	13,594.32	8,992.44
Taxes Paid (Net)	(2,776.67)	(2,655.92)
Net Cash from / (used in) Operating Activities - A	10,817.65	6,336.52
CASH FLOW FROM INVESTING ACTIVITIES:		
Purchase of Fixed Assets	(6,175.56)	(2,825.08)
Purchase of Current Investments	(500.02)	(394.47)
Sale of Current Investments	417.67	1,545.09
Sale of Fixed Assets	41.59	-
Interest income	810.38	87.49
Net Cash from / (used in) Investing Activities - B	(5,405.94)	(1,586.97)
CASH FLOW FROM FINANCING ACTIVITIES:		
Long Term Borrowings	3,451.61	848.30
Financial Cost (excluding Interest on lease Liability)	(937.80)	(851.61)
Lease Liability paid	(518.22)	(410.41)
Dividend paid	(658.25)	(131.65)
Net Cash Flow from / (used in) Financing Activities - C	1,337.34	(545.37)
Net Increase / (Decrease) in Cash and Cash equivalents	6,749.04	4,204.18
Opening Cash & Cash Equivalents	(1,241.30)	(5,445.48)
Closing Cash & Cash Equivalents	5,507.75	(1,241.30)

- Cash and cash equivalents include cash on hand, in banks and demand deposits with banks, net of outstanding bank overdrafts that are repayable on demand and are considered part of the Company's cash management system. Also refer note number 6(c) & 6(d).
- The above cashflow statement has been prepared following the indirect method as set out in Ind AS-7.

as per our report of even date

FOR AND ON BEHALF OF THE BOARD

For N.C.Rajagopal & Co.,

Chartered Accountants

N.C.VIJAY KUMAR

Partner

Membership No. : 208276

Firm Reg. No.: 003398S

SKM MAEILANANDAN
Executive Chairman & Whole Time Director

K.S.VENKATACHALAPATHY

Chief Financial Officer

Membership No. : 029064

SKM SHREE SHIVKUMAR

Managing Director

P. SEKAR

Company Secretary

Membership No.F10744

Place : Erode

Date : 22.05.2024



NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2024

1. GENERAL INFORMATION & COMPANY BACKGROUND

SKM Egg Products Export India Limited ("the company") is a public listed company incorporated and domiciled in India.

The address of its registered office is No.133, 133/1, Gandhiji Street, Erode - 638001 and the address of the principal place of business is Cholangapalayam, Erode which addresses are also disclosed in the introduction to the annual report. The Company has its primary listing with Bombay Stock Exchange and National Stock Exchange in India.

The Company is an Export Oriented Undertaking engaged in the production and sale of eggs and manufacture and sale of Egg Products. The company's revenue is mainly on account of export of egg products.

SIGNIFICANT ACCOUNTING POLICIES:

BASIS OF PREPARATION AND PRESENTATION:

The financial statements have been prepared on the historical cost basis except for the following assets and liabilities which have been measured at fair value amount :

- i) Certain financial assets and liabilities (including derivative instruments)
- ii) Defined benefit plans - plan assets

Historical cost is generally based on the fair value of the consideration given in exchange for goods and services. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. All assets and liabilities have been classified as current and non-current as per the Company's normal operating cycle. Based on the nature of transactions involving sale of goods to customers and time elapsed between deployment of resources and the realisation in cash and cash equivalents, the Company has considered an operating cycle of 12 months.

STATEMENT OF COMPLIANCE:

These financial statements have been prepared in accordance with Indian Accounting Standards ('Ind AS'), notified under Section 133 of the Companies Act, 2013 (the Act), read with the Companies (Indian Accounting Standards) Rules, 2015 and other relevant provisions of the Act.

Effective April 1, 2017, the Company has adopted all the applicable Ind AS Standards and the adoption was carried out in accordance with Ind AS 101, First Time adoption of Indian Accounting Standards, with April 1, 2016 as the transition date. The transition was carried out from Indian Accounting Principles Generally Accepted in India (Indian GAAP), as prescribed under Section 133 of the Act, read with Rule 7 of the Companies (Accounts) Rules, 2014 (Indian GAAP), which was the previous GAAP.

Accounting Policies have been consistently applied except where a newly issued Accounting Standard is initially adopted or a revision to an existing Accounting Standard requires a change in the Accounting Policy hitherto adopted.

**NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2024****FUNCTIONAL AND PRESENTATION CURRENCY**

The financial statements are presented in Indian rupees, the national currency of India, which is the functional currency of the company.

Figures are rounded off to the nearest lakhs with two decimal places.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:**Inventories**

Inventories are valued in line with Ind AS 2 - Inventories. Items of inventories are measured at lower of cost and net realisable value after providing for obsolescence, if any, except in case of by-products which are valued at net realisable value. Cost of inventories comprises of cost of purchase, cost of conversion and other costs including manufacturing overheads net of recoverable taxes incurred in bringing them to their respective present location and condition. . The formula used for arriving at the cost for various items of inventories are as follows:

i)	Raw materials	Weighted Average Cost
ii)	Packing Materials	Weighted Average Cost
iii)	Additives	Weighted Average Cost
iv)	Stores & Spares	Weighted Average Cost
v)	Semi-finished goods	Weighted Average Cost
vi)	Finished goods	Weighted Average Cost
vii)	Livestock	Weighted Average Cost

Revenue Recognition

Revenue from sale of goods is recognised when the significant risks and rewards of ownership have been transferred to the buyer, recovery of the consideration is probable, the associated cost can be estimated reliably, there is no continuing effective control or managerial involvement with the goods, and the amount of revenue can be measured reliably.

Revenue from sale of goods is measured at the fair value of consideration received or receivable, taking into account contractually defined terms of payment and excluding taxes or duties collected on behalf of the government.

Revenue is recognised and expenditure is accounted for on their accrual

Sales of Finished goods, Eggs, Birds & Feeds are recognised on accrual basis and are accounted for in the books of accounts on the dates on which the goods are actually despatched from the Factory, Farm, Feedmill respectively.

Interest Income :

Interest income from a financial asset is recognised using effective interest rate method.



NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2024

Dividend Income :

Revenue on account of dividend income recognised when the Company's right to receive the payment has been established.

Government grants / assistance :

Revenue from grants, subsidies or government assistance in any form are recognised when the Company's right to receive the payment has been established.

Grants from the Government are recognized at their fair market value where there is a reasonable assurance that the grant will be received and the company will comply with all attached conditions. Government grants receivable as compensation for expenses or financial support are recognized in profit or loss of the period in which it becomes available.

Government grants relating to the purchase of property, plant and equipment are shown by way of reduction from the value of the Property, plant & equipment in accordance with the amended Ind AS 20 - Accounting for Government Grants and Disclosure of Government Assistance.

Finance Cost

Borrowing costs include exchange differences arising from foreign currency borrowings to the extent they are regarded as an adjustment to the interest cost. Borrowing costs that are directly attributable to the acquisition or construction of qualifying assets are capitalised as part of the cost of such assets. A qualifying asset is one that necessarily takes substantial period of time to get ready for its intended use.

Interest income earned on the temporary investment of specific borrowings pending their expenditure on qualifying assets is deducted from the borrowing costs eligible for capitalisation.

All other borrowing costs are charged to the Statement of Profit and Loss for the period for which they are incurred.

Leases

The Company, as a lessee, recognises a right of use asset and a lease liability for its leasing arrangements, if the contract conveys the right to control the use of an identified asset.

The contract conveys the right to control the use of an identified asset, if it involves the use of an identified asset and the Company has substantially all of the economic benefits from use of the asset and has right to direct the use of the identified asset. The cost of the right of use asset shall comprise of the amount of the initial measurement of the lease liability adjusted for any lease payments made at or before the commencement date plus any initial direct costs incurred. The right-of-use assets is subsequently measured at cost less any accumulated depreciation, accumulated impairment losses, if any and adjusted for any remeasurement of the lease liability. The right-of-use assets is depreciated using the straight-line method from the commencement date over the shorter of lease term or useful life of right-of-use asset.

The Company measures the lease liability at the present value of the lease payments that are not paid at the commencement date of the lease. The lease payments are discounted using the interest rate implicit in the lease, if that rate can be readily determined. If that rate cannot be readily determined, the Company uses incremental borrowing rate.



NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2024

Lease liability and ROU asset are separately presented in the Balance Sheet and lease payments are classified as financing cash flows. At the date of commencement of the lease, the Company recognizes a right-of-use ("ROU") asset representing its right to use the underlying asset for the lease term and a lease liability for all lease arrangements in which it is a lessee except for leases with a term of 12 months or less (short term leases) and leases for which the underlying assets is of low value. For short-term and low value leases, the Company recognises the lease payments as an operating expense on a straight-line basis over the lease term.

Earnings Per Share

Basic earnings per share is calculated by dividing the net profit after tax by the weighted average number of equity shares outstanding during the year. Diluted earnings per share adjusts the figures used in determination of basic earnings per share to take into account the conversion of all dilutive potential equity shares. Since the company does not have any potential equity shares, the basic earnings per share and diluted earnings per share are the same for the company.

Provisions

Provisions are recognised when the company has a present obligation (legal or constructive) as a result of a past event, if it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation.

If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, when appropriate, the risks specific to the liability. When discounting is used, the increase in the provision due to the passage of time is recognised as a finance cost.

Tax Expenses:

The tax expense for the period comprises current and deferred tax. Tax is recognised in Statement of Profit and Loss, except to the extent that it relates to items recognised in the comprehensive income or equity. In which case, the tax is also recognised in other comprehensive income or equity.

Current tax:

Current tax assets and liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities based on the tax rates that are enacted or substantively enacted at the Balance Sheet date.

The current income tax expense includes income taxes payable by the Company and its branch in overseas. The current tax payable by the Company in India is the Indian income tax payable on income earned in India and from overseas branch. Current income tax payable by overseas branch of the Company is computed in accordance with the tax laws applicable in the jurisdiction in which the respective branch operates. The taxes paid are generally available for set off against the Indian income tax liability of the Company's worldwide income.

Advance taxes and provisions for current income taxes are presented in the balance sheet after off-setting advance tax paid and income tax provision arising in the same tax jurisdiction and where the relevant tax paying unit intends to settle the asset and liability on a net basis.



NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2024

Deferred Tax:

Deferred tax is recognised on temporary differences between the carrying amounts of assets and liabilities in the financial statements and the corresponding tax bases used in the computation of taxable profit.

Deferred tax liabilities and assets are measured at the tax rates that are expected to apply in the period in which the liability is settled or the asset realised, based on tax rates (and tax laws) that have been enacted or substantively enacted by the end of the reporting period. The carrying amount of Deferred tax liabilities and assets are reviewed at the end of each reporting period.

Cash Flow Statements

Cash Flow Statement has been prepared under "Indirect Method". For the purposes of the cash flow statement, cash and cash equivalents include cash on hand, in banks and demand deposits with banks, net of outstanding bank overdrafts that are repayable on demand and are considered part of the Company's cash management system. In the balance sheet, bank overdrafts are presented under borrowings within current liabilities.

Property, plant & equipment:

Property, plant & equipment are stated at cost, net of recoverable taxes, trade discount and rebates less accumulated depreciation and impairment losses, if any. Such cost includes purchase price, borrowing cost and any cost directly attributable to bringing the assets to its working condition for its intended use, net changes on foreign exchange contracts and adjustments arising from exchange rate variations attributable to the assets.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the entity and the cost can be measured reliably.

Expenses incurred relating to project, net of income earned during the project development stage prior to its intended use are considered as pre-operative expenses and disclosed under Capital Work-in-progress

Depreciation on property, plant & equipment is provided on straight line method as per the useful life prescribed in Schedule II of the Companies Act 2013, except for imported plant & machinery for which the useful life has been taken based upon the technical evaluation by the expert committee on the useful life of the assets. In respect of assets added/adjusted during the year, depreciation is provided on pro-rata basis.

The residual values, useful lives and method of depreciation of property, plant & equipment are reviewed at each financial year end and adjusted prospectively, if appropriate.

Gains or losses arising from derecognition of a property, plant & equipment are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the Statement of Profit and Loss when the asset is derecognised.

**NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2024****Foreign currencies transactions and translation:**

Transactions in foreign currencies are recorded at the exchange rate prevailing on the dates of transaction. Monetary assets and liabilities denominated in foreign currencies are translated at the functional currency closing rates of exchange at the reporting rate.

Exchange differences arising on settlement or translation of monetary items are recognised in Statement of Profit and Loss except to the extent of exchange differences which are regarded as an adjustment to interest costs on foreign currency borrowings that are directly attributable to the acquisition or construction of qualifying assets, are capitalized as cost of assets.

Non-monetary items that are measured in terms of historical cost in a foreign currency are recorded using exchange rates at the date of transaction. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value was measured. The gain or loss arising on translation of non-monetary items measured at fair value is treated in line with recognition of the gain or loss on the change in fair value of the item (i.e., translation differences on items whose fair value gain or loss is recognised in OCI or Statement of Profit and Loss are also recognised in OCI or Statement of Profit and Loss, respectively.

Employee Benefits Expense:**Short Term Employment Benefits:**

The undiscounted amount of short term employee benefits expected to be paid in exchange for the services rendered by employees are recognised as an expense during the period when the employees render the services.

Post-Employment Benefits:**Defined Contribution Plans:**

The gratuity liability amount is contributed to the gratuity fund approved by the respective IT authorities. The present value of the obligation is determined based on actuarial valuation using the Projected Unit credit method, which recognizes each period of service as giving rise to additional unit of employee benefit entitlement and measures each unit separately to build up the final obligation.

Defined benefit plans:

The gratuity liability amount is contributed to the gratuity fund approved by the respective IT authorities. The present value of the obligation is determined based on actuarial valuation using the Projected Unit credit method, which recognizes each period of service as giving rise to additional unit of employee benefit entitlement and measures each unit separately to build up the final obligation.

The estimates of rate of escalation in salary considered in actuarial valuation, take into account inflation, seniority, promotion and other relevant factors including supply and demand in the employment market.



NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2024

Impairment of non-financial assets - property, plant and equipment:

The company assesses at each reporting date as to whether there is any indication that any property, plant and equipment or group of assets, called cash generating units (CGU) may be impaired. If any such indication exists, the recoverable amount of an asset or CGU is estimated to determine the extent of impairment, if any. When it is not possible to estimate the recoverable amount of an individual asset, the company estimates the recoverable amount of the CGU to which the asset belongs.

An impairment loss is recognised in the Statement of Profit and Loss to the extent, asset's carrying amount exceeds the recoverable amount. The recoverable amount is the higher of an asset's fair value less cost of disposal and value in use. Value in use is based on the estimated future cash flows, discounted to their present value using pre-tax discount rate that reflects current market assessments of the time value of money and risk specific to the assets. The impairment loss recognised in prior accounting period is reversed if there has been a change in the estimate of recoverable amount.

Events after the reporting period

Where events occurring after the Balance Sheet date provide evidence of conditions that existed at the end of the reporting period, the impact of such events is adjusted within the financial statements. Otherwise, events after the Balance Sheet date of material size and of nature are only disclosed.

CRITICAL ACCOUNTING JUDGMENTS AND KEY SOURCES OF ESTIMATION UNCERTAINTY

The preparation of the company's financial statement requires management to make judgement, estimates and assumptions that affect the reported amount of revenue, expenses, assets and liabilities and the accompanying disclosures. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of assets or liabilities affected in future periods.

Depreciation / amortisation and useful lives of property, plant and equipment and Livestock:

Property, plant and equipment / Livestock are depreciated / amortised over their estimated useful lives, after taking into account estimated residual value. Management reviews the estimated useful lives and residual values of the assets annually in order to determine the amount of depreciation / amortisation to be recorded during any reporting period. The useful lives and residual values are based on the company's historical experience with similar assets and take into account anticipated technological changes. The depreciation / amortisation for the future periods is revised if there are significant changes from previous estimates.

Recoverability of trade receivable:

Judgements are required in assessing the recoverability of overdue trade receivables and determining whether a provision against those receivables is required. Factors considered include the credit rating of the counterparty, the amount and timing of anticipated future payments and any possible actions that can be taken to mitigate the risk of non-payment.

Provisions:

Provisions and liabilities are recognized in the period when it becomes probable that there will be a future outflow of funds resulting from past operations or events and the amount of cash outflow can be reliably estimated. The timing of recognition and quantification of the liability requires the application of judgement to existing facts and circumstances, which can be

**NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2024**

subject to change. The carrying amounts of provisions and liabilities are reviewed regularly and revised to take account of changing facts and circumstances.

Impairment of non-financial assets:

The company assesses at each reporting date whether there is an indication that an asset may be impaired. If any indication exists, the company estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or Cash Generating Units (CGU's) fair value less costs of disposal and its value in use. It is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or a group of assets. Where the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

In assessing value in use, the estimated future cash flows are discounted to their present value using pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs of disposal, recent market transactions are taken into account, if no such transactions can be identified, an appropriate valuation model is used.

Impairment of financial assets:

The impairment provisions for financial assets are based on assumptions about risk of default and expected cash loss rates. The company uses judgement in making these assumptions and selecting the inputs to the impairment calculation, based on company's past history, existing market conditions as well as forward looking estimates at the end of each reporting period.

Accounting for Government Grants and Disclosure of Government Assistance:

The Government Grants are accounted in line with IND AS 20 - "Accounting for Government Grants and Disclosure of Government Assistance".

Unfulfilled conditions and other contingencies attaching to government assistance that has been recognised - Nil.

The grant was received towards the acquisition of PPE (Property, Plant & equipments) during the years spanning from 2018-19 to 2020-21 and accordingly treated as a capital grant and adjusted against the cost. The value of Property, Plant & Equipments is disclosed net of government grants received from MOFPI (Ministry of Food Processing Industries) of Rs.488.72 lakhs.

APPROVAL OF FINANCIAL STATEMENTS:

The Financial Statements were approved for issue by the board of directors at their meeting held on 22.05.2024.



NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2024

DETAILS OF LOANS GIVEN, INVESTMENTS MADE AND GUARANTEE GIVEN COVERED UNDER SECTION 186(4) OF THE COMPANIES ACT 2013

- i) Loans given - Nil
- ii) Investments made

Particulars	No of Shares	Face Value
SKM Europe BV Netherlands - Subsidiary Company	15,300	Euros 15,300
SKM Universal Marketing Company India Private Limited-Associate Company	7,89,700	Rs.78,70,000

- iii) Corporate Guarantees - Nil

Ind AS - 12 - Income Taxes

Consequent to the appeal preferred by the income tax department with the Honourable ITAT, Chennai for the Assessment Year 2014-15, the appeal hitherto allowed in favour of the company by CIT(Appeals) was dismissed by the Income Tax Appellate Tribunal and verdict was pronounced in favour of the income tax department. Hence, an amount of Rs.80.66 lakhs demand (net of refund receivable) had arisen. However, the company had filed an appeal against this ITAT order with the High Court of Chennai. Since the company is confident of coming out successful in the Appeals as per the advice taken from the legal experts, no provision have been made in the books for the said income tax liability and disclosed as a contingent liability.

In the earlier years, the carried forward losses under the Income Tax Act, 1961 of the earlier assessment years amounting to Rs.3.59 crores have been reduced by the Assessing Officer while completing the assessment for the A.Y.2013-14 by making some adjustments to the returned Loss and that the Company has preferred appeals before the immediate superior authority which appeals are pending for disposal as on the date of the financial reports and since the adjustments have resulted only in the reduction of carry forward losses, there is no immediate demand raised and hence, conservatively the said losses have not been considered while filing return of income for the relevant assessment years and that the tax impact on account of the said issue would be approximately Rs.1.20 crores. The matter is still pending before the Commissioner of Income Tax Appeals - NFAC, New Delhi for disposal.

During the financial year 2021-22, a search operation was carried out by the Investigation Wing, Chennai on the company. The search related assessment for the AY 2021-22 & AY 2022-23 was completed and a demand of Rs. 211.53 lakhs & 143.46 lakhs was raised in the said assessment. Out of this, 20% of the demand was paid and appeal has been preferred with Commissioner of Income Tax (Appeals) - 20, Chennai against the Assessment order passed by the Assessing Officer. Presently demand of Rs.169.22 lakhs (for AY 2021-22) & Rs.114.77 lakhs (for AY 2022-23) respectively is outstanding for the above cited years. Since the company is confident of coming out successful in the Appeals as per the advice taken from the legal experts, no provision have been made in the books for the said income tax liability and disclosed as a contingent liability.


NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2024
2. CONTINGENT LIABILITIES & COMMITMENTS:
₹ Lakhs

Particulars	As at 31.03.2024	As at 31.03.2023
(a) Claims against the company / disputed liabilities not acknowledged as debts:		
i) Income Tax Liability	364.65	80.66
ii) Service Tax Liability	90.97	90.97
iii) Excise Duty Liability	-	-
(b) Other money for which the Company is contingently liable:		
i) Liability in respect of bills discounted with banks	1,479.32	2,715.28

No provision has been made in respect of the above demand of Income Tax, Excise Duties and Service Tax, for which the company has filed appeals with various Higher Appellate Forums, against the orders of the Lower Authorities since the company is confident of coming out successful in the Appeals as per the advice taken from the legal experts.



NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2024

03. PROPERTY, PLANT & EQUIPMENT

₹ Lakhs

S. No.	Particulars	Gross Block			Depreciation			Net Block	
		01.04.2023	Addition during the year	Deduction during the year	31.03.2024	01.04.2023	Depreciation for the year	Deduction / Adjustment during the year	31.03.2024
(a)	Tangible Assets								
	(Own assets)								
	Land	373.67	120.30	-	493.97	-	-	-	493.97
	Building	4,583.04	1,229.38	199.68	5,612.74	2,171.25	146.91	102.25	3,396.83
	Plant & Machinery	9,914.57	2,913.50	148.81	12,679.26	7,134.70	391.48	141.37	5,294.45
	Electrical Installation and equipments	772.76	224.32	44.19	952.89	715.17	16.67	42.51	263.56
	Lab Equipment	409.88	22.70	-	432.58	333.16	25.55	-	73.87
	Office Equipment	179.11	33.22	-	212.33	162.75	6.59	-	42.99
	Computers	391.33	30.99	-	422.32	326.24	33.90	-	62.19
	Furniture & Fixtures	125.95	8.64	-	134.59	94.47	7.18	-	32.94
	Motor Vehicles	804.72	519.26	82.66	1,241.32	356.09	97.87	50.46	837.82
	SUB TOTAL (a)	17,555.03	5,102.32	475.33	22,182.01	11,293.83	726.13	336.58	10,498.63
(b)	Tangible Assets								
	(Right to Use Assets)								
	Plant & Machinery	2,102.66	51.33	-	2,153.98	851.97	423.77	-	878.24
	SUB TOTAL (b)	2,102.66	51.33	-	2,153.98	851.97	423.77	-	878.24
(c)	Capital Work-in-progress								
	Plant & Machinery	1,638.07	2,875.62	2,858.38	1,655.30	-	-	-	1,655.30
	Others	727.89	2,573.47	1,517.46	1,783.91	-	-	-	1,783.91
	SUB TOTAL (c)	2,365.96	5,449.09	4,375.84	3,439.21	-	-	-	3,439.21
	Total (a+b+c)	22,023.64	10,602.73	4,851.17	27,775.20	12,145.80	1,149.91	336.58	14,816.08
	(Current Year)	18,247.89	4,036.78	261.03	22,023.64	11,091.83	1,053.96	-	9,877.85
	(Previous Year)								7,156.06

NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2024

Depreciation:

Depreciation has been provided under Straight Line Method on the basis of useful lives prescribed under Schedule II of the Companies Act, 2013, except for the Imported Plant & Machinery, whose useful life is different from that prescribed in Schedule II of the Companies Act, 2013 and its useful life is adopted on the basis of engineering & other expert guidance and depreciated accordingly as follows:

Imported Plant & Machinery acquired upto 31.03.2007	Useful life - 25 years
Imported Plant & Machinery acquired from 01.04.2007 to 31.03.2015	Useful life - 20 years

Impairment of Assets :

The recoverable amount of the CGU is determined on the basis of Fair Value less Cost of Disposal (FVLCD). The FVLCD of the CGU is determined based on the market capitalization approach, using the turnover and earnings multiples derived from observable market data. The fair value measurement is categorized as a level 3 fair value based on the inputs in the valuation techniques used.

Based on the above, no impairment was identified as of March 31, 2024 and 2023 as the recoverable value of the CGUs exceeded the carrying value. Further, none of the CGU's tested for impairment as of March 31, 2024 and 2023 were at risk of impairment. An analysis of the calculation's sensitivity to a change in the key parameters (revenue growth, operating margin, discount rate and long-term growth rate) based on reasonably probable assumptions, did not identify any probable scenarios where the CGU's recoverable amount would fall below its carrying amount.

Mortgage / Charge on Property, plant & equipments:

Plant & Machinery are under the first charge on account of the Term Loan with banks.

The property, plant & equipments are under the second charge for short term borrowings with banks.

Government Grants:

The value of property, plant & equipments is disclosed net of government grants received from MOFPI (Ministry of Food Processing Industries) of Rs.488.72 Lakhs during 2018-19 to 2020-21.



NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2024

₹ Lakhs

Particulars	As at 31.03.2024	As at 31.03.2023
04 (a) INVESTMENTS		
Investment measured at cost:		
<u>In equity shares of subsidiary company:</u>		
SKM Europe BV , The Netharlands of Euro 1 each		
Number of Units (Absolute Numbers)	15,300	15,300
Value (Rs)	8.33	8.33
<u>In equity shares of associate company:</u>		
SKM Universal Marketing Company India Private Limited of Rs.10 each		
Number of Units (Absolute Numbers)	7,89,700	7,89,700
Value (Rs)	118.46	118.46
Aggregate amount of quoted investments	-	-
Aggregate amount of unquoted investments	126.78	126.78
Investment measured at cost	126.78	126.78
Investment measured at amortised cost	-	-
Total	126.78	126.78

The details of subsidiary & associate along with proportion of ownership interest held and country of incorporation are disclosed below:

Name of the subsidiary	Country of Incorporation	Proportion of ownership interest
SKM Europe BV	Netherlands	85%
SKM Universal Marketing Company India Private Limited	India	26%

Particulars	As at 31.03.2024	As at 31.03.2023
04 (b) LOANS (UNSECURED AND CONSIDERED GOOD)		
Advances	16.38	13.98
Total	16.38	13.98
04 (c) OTHER FINANCIAL ASSETS - NON CURRENT		
Security Deposits	143.15	103.02
Rental Caution Deposits	123.57	127.02
Corpus Fund	1.00	-
Total	267.72	230.04
05. INVENTORIES		
Raw Material,additives & packing materials	2,301.86	2,340.91
Finished Goods	5,901.26	5,162.12
Stock in Trade	42.30	295.70
Stores and spares & consumables	614.27	617.83
Livestock - Birds	2,154.44	3,047.44
Total	11,014.13	11,464.01



NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2024

₹ Lakhs

Particulars	As at 31.03.2024	As at 31.03.2023
06 (a) INVESTMENTS		
Investment measured at Fair value:		
In mutual funds		
Number of Units (Absolute Numbers)	6,08,392	11,456
Value (Rs)	572.99	403.62
Aggregate amount of quoted investments	572.99	403.62
Aggregate amount of unquoted investments	-	-
Investment measured at Fair value through P & L	572.99	403.62
Total	572.99	403.62
06 (b) TRADE RECEIVABLES		
(a) Trade Receivables considered good - Secured	-	-
(b) Trade Receivables considered good - Unsecured	2,589.61	3,592.26
(c) Trade Receivables which have significant increase in Credit Risk and	-	-
(d) Trade Receivables - credit impaired	-	-
Total	2,589.61	3,592.26

1. Trade receivables are netted with Bill discounting of Rs.1479.32 Lakhs (Previous year Rs.2715.28 Lakhs)

2. Trade receivables ageing schedule is given in Annexure no.6(b)(i)

06 (c) CASH AND CASH EQUIVALENTS		
Balances with banks		
Current Accounts	984.50	949.79
Demand deposits	13,004.69	4,848.56
Cash on hand	30.06	28.47
Sub Total	14,019.25	5,826.82

Demand deposits includes Bank Guarantee of Rs.70.10 Lakhs (Previous year Rs..00 Lakhs)

06 (d) BANK BALANCES OTHER THAN ABOVE		
Balances with banks - Unclaimed dividend		
Current Accounts	89.24	67.64
Sub Total	89.24	67.64
Total	14,108.49	5,894.46

The Company's cash and cash equivalents consist of cash on hand and in banks and demand deposits with banks, which can be withdrawn at any time, without prior notice and without penalty on the principle.

For the purposes of the cash flow statement, cash and cash equivalents include cash on hand, in banks, demand deposits with banks and net of outstanding bank overdrafts that are repayable on demand and are considered part of the Company's cash management system. In the balance sheet, bank overdrafts are presented under borrowings within current liabilities.



NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2024

₹ Lakhs

Particulars	As at 31.03.2024	As at 31.03.2023
Cash and Cash equivalents consists of the following for the purpose of cash flow statement:		
Cash and Cash equivalents	14,108.49	5,894.46
Bank Overdrafts	(8,600.74)	(7,135.76)
Total	5,507.75	(1,241.30)
06 (e) LOANS (UNSECURED AND CONSIDERED GOOD) - CURRENT		
Forward contracts - Asset/(Liability)	456.18	-
Total	456.18	-
07. OTHER CURRENT ASSETS		
Input Tax Credit and Tax Refund receivables	818.50	318.16
Staff Advances	13.94	17.19
Trade Advances	1,233.95	1,380.89
Prepaid Expenses	69.55	36.60
Others	17.82	3.80
Total	2,153.75	1,756.64
08 (a) EQUITY SHARE CAPITAL		
Authorised Capital:		
3,00,00,000 Equity Shares of Rs. 10/- Each	3,000.00	3,000.00
Issued, Subscribed & Paid-up:		
263,30,000 Equity Shares of Rs.10/- each fully paid-up	2,633.00	2,633.00
Total	2,633.00	2,633.00
Reconciliation of the number of shares outstanding is set out below:		
Equity Shares:	No. of Shares	No. of Shares
At the beginning of the year	2,63,30,000	2,63,30,000
Changes during the year	-	-
At the end of the year	2,63,30,000	2,63,30,000
Terms, Rights, preferences and restrictions:		
(i) The company has one class of equity shares having par value of Rs.10 each. Each share holder is eligible for one vote per share held and carry a right to dividend. In the event of liquidation, the equity share holders are eligible to receive the remaining assets of the company after distribution of all preferential amounts. The distribution will be in proportion to the number of equity shares held by the shareholders.		
(ii) There are no restrictions attached to equity shares		
Details of shareholders holding more than 5% shares:		
Name of the Share Holders		
SKM Shree Shivkumar	As at 31.03.2024	As at 31.03.2023
No of Equity Shares Held as on Balance sheet dt.	1,13,75,139	1,25,92,171
% of Holdings	43.20%	47.82%



NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2024

₹ Lakhs

Particulars	As at 31.03.2024	As at 31.03.2023
Tamilnadu Industrial Development Corporation Limited		
No of Equity Shares Held as on Balance sheet dt.	19,95,800	19,95,800
% of Holdings	7.58%	7.58%
Total No of Equity Shares	2,63,30,000	2,63,30,000
Face value of Equity shares	10	10
08 (b) OTHER EQUITY		
<u>Securities Premium Account :</u>		
Opening Balance	4.01	4.01
Add : Collected during the year	-	-
less: Written back	-	-
Closing Balance	4.01	4.01
<u>General Reserve:</u>		
Opening Balance (Revenue Reserve)	4.33	4.33
Add : Current year transfer	-	-
less: Written back	-	-
Closing Balance	4.33	4.33
<u>Retained Earnings:</u>		
Opening Balance	16,477.94	9,067.30
Add: Current Year Balance before appropriation	8,390.99	7,542.29
Less: Dividend Paid	658.25	131.65
Closing Balance	24,210.68	16,477.94
<u>Other Comprehensive Income:</u>		
Opening balance	72.18	70.96
Movement in OCI during the year	332.45	1.22
Closing balance	404.63	72.18
Total	24,623.65	16,558.45

Securities Premium:

This consists of premium realised on issue of shares and will be applied/ utilised in accordance with the provisions of the Companies Act, 2013.

General Reserve:

General Reserve is an accumulation of retained earnings of the Company, apart from the balance in the statement of profit and loss which can be utilised for meeting future obligations.



NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2024

₹ Lakhs

Particulars	As at 31.03.2024	As at 31.03.2023
09 (a) BORROWINGS - NON CURRENT		
Secured - At amortised cost		
Term Loan		
From Banks		
i) Machinery Term Loan - HDFC	-	28.34
Nature of loan - Rupee Term Loan		
Maturity date - June 2023		
Terms of repayment - 20 equal quarterly instalments		
Securities offered - Refer note *		
Interest rate - 9.50% p.a.		
Less: Current maturities of long term debt - included in note 12(c)	-	(28.34)
ii) Machinery Term Loan - HDFC	341.82	452.60
Nature of loan - Rupee Term Loan		
Maturity date - August 2026		
Terms of repayment - 20 equal quarterly instalments		
Securities offered - Refer note *		
Interest rate - 9.35% p.a.		
Less: Current maturities of long term debt - included in note 12(c)	(121.30)	(111.64)
iii) Term Loan - SBI	4,574.83	970.58
Nature of loan - Rupee Term Loan		
(Project is under construction)		
Interest rate - 9.25% p.a.		
iv) Vehicle Term Loan - HDFC	35.19	48.71
Nature of loan - Rupee Term Loan		
Maturity date - July 2026		
Terms of repayment - 48 equal monthly instalments		
Securities offered - Refer note *		
Interest rate - 7.25% p.a.		
Less: Current maturities of long term debt - included in note 12(c)	(14.55)	(13.52)
Total	4,815.98	1,346.72

Note : 9(a)(i) * - Machinery Term loans are secured against the first charge against Plant & Machineries & personal guarantee of the Managing Director. Vehicle Term loans are secured against the first charge against Vehicles & personal guarantee of the Managing Director.



NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH' 2024

₹ Lakhs

Particulars	As at 31.03.2024	As at 31.03.2023
09 (b) Lease Liabilities - Non current		
Lease Liabilities recognized on Lease Farms	586.58	938.68
Total	586.58	938.68
10. PROVISIONS - NON CURRENT		
Provision for Employee Benefits		
Earned Leave Encashment	64.26	51.22
Net Gratuity obligation	(12.45)	(26.50)
Total	51.81	24.71
11. Deferred Tax Liability(Net)		
At the start of the year	541.50	542.93
Charge / (credit) to Statement of Profit & Loss	77.95	(1.84)
Charge / (credit) to Other Comprehensive Income	111.81	0.41
At the end of the year	731.26	541.50
Deferred Tax (Assets) / Liabilities in relation to:		
Property, plant and equipment	603.41	547.72
Provisions	16.04	(6.63)
Actuarial Losses / Gains	(3.00)	0.41
Forward contracts Asset / Liability	114.81	-
Total	731.26	541.50
12 (a) BORROWINGS - CURRENT		
Secured - At amortised cost		
Working Capital Loans		
From Banks		
Foreign Currency Loans	8,600.74	6,587.70
Nature of loan - Packing Credit (Foreign Currency)		
Terms of repayment - On demand		
Interest rate - 6.30% p.a. (LIBOR 5.30% + Spread 1%)		
From Banks		
Rupee Loans	-	548.00
Nature of loan - Cash Credit		
Terms of repayment - On demand		
Interest rate - 9.50% p.a.		
Current Maturities of Long Term Debt		
i) From Banks		
i) Machinery Term Loan - HDFC	121.30	139.99
ii) Vehicle Term Loan - HDFC	14.55	13.52
Total	8,736.60	7,289.26

**NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2024**

₹ Lakhs

Working Capital from banks are primarily secured by Hypothecation of stocks of Raw materials, Work-in-progress, finished goods and stores and spares, book debts, receivables, material in transit, etc. Borrowings are secured by second charge on the entire fixed assets of the company and personal guarantees of Executive Chairman and Managing director.

Particulars	As at 31.03.2024	As at 31.03.2023
12 (b) LEASE LIABILITIES - CURRENT		
Lease liabilities - current	408.00	432.08
Total	408.00	432.08
12 (c) TRADE PAYABLES		
Trade Creditors *		
Due to MSME	129.69	23.57
Due to others	2,061.86	2,422.58
Creditors For Expenses & Others		
Due to MSME	-	-
Due to others	-	-
Total	2,191.55	2,446.16

Details relating to micro, small and medium enterprises:		
(a) the principal amount and the interest due thereon (to be shown separately) remaining unpaid to any supplier at the end of each accounting year;	129.69	23.57
(b) the amount of interest paid by the buyer in terms of section 16 of the Micro, Small and Medium Enterprises Development Act, 2006 (27 of 2006), along with the amount of the payment made to the supplier beyond the appointed day during each accounting year;	Nil	Nil
(c) the amount of interest due and payable for the period of delay in making payment (which has been paid but beyond the appointed day during the year) but without adding the interest specified under the Micro, Small and Medium Enterprises Development Act, 2006;	Nil	Nil
(d) the amount of interest accrued and remaining unpaid at the end of each accounting year; and	Nil	Nil
(e) the amount of further interest remaining due and payable even in the succeeding years, until such date when the interest dues above are actually paid to the small enterprise, for the purpose of disallowance of a deductible expenditure under section 23 of the Micro, Small and Medium Enterprises Development Act, 2006.	Nil	Nil

Trade payables ageing schedule is given in Annexure no.12(c)(i)

**NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2024**

₹ Lakhs

Particulars	As at 31.03.2024	As at 31.03.2023
12 (d) OTHER FINANCIAL LIABILITIES - CURRENT		
Unclaimed Dividends	89.24	67.64
Total	89.24	67.64

The amount outstanding in respect of unclaimed dividend represents amounts due and outstanding to Investor Education and Protection Fund to the extent of Rs.Nil (Previous year Nil).

13. OTHER CURRENT LIABILITIES		
Advances from customers	41.90	19.31
Statutory Dues	549.56	609.61
Salary & other payables	33.25	7.47
Other payables	2.75	1.92
Total	627.46	638.31
14. PROVISIONS		
Provisions for Employee Benefits		
Bonus Payable	221.80	177.98
Other Provisions	405.20	265.13
Total	627.00	443.11

**NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2024****Annexure - 3(c)(i) - Capital-Work-in Progress (CWIP) ageing schedule:**

₹ Lakhs

Particulars	Outstanding for following periods from due date of payment				
	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
(I) Projects in progress	3266.22	151.65	21.34	-	3439.21
(ii) Projects temporarily suspended	-	-	-	-	-
Total	3266.22	151.65	21.34	-	3439.21

Annexure - 6(b)(i) - Trade receivables ageing schedule:

₹ Lakhs

Particulars	Outstanding for following periods from due date of payment					
	Less than 6 months	6 months - 1 year	1-2 years	2-3 years	More than 3 years	Total
(I) Undisputed Trade receivables – considered good	2,589.21	0.40	-	-	-	2,589.61
(ii) Undisputed Trade Receivables – which have significant increase in credit risk						
(iii) Undisputed Trade Receivables – credit impaired						
(iv) Disputed Trade receivables – considered good						
(v) Disputed Trade Receivables – which have significant increase in credit risk						
(vi) Disputed Trade Receivables – credit impaired						
Total	2,589.21	0.40	-	-	-	2,589.61

Similar information shall be given where no due date of payment is specified in that case disclosure shall be from the date of the transaction.

Unbilled dues shall be disclosed separately.

Annexure - 8(a)(i) - Shareholding of promoters schedule:

Shares held by promoters at the end of the year				% Change during the year
S No	Promoter Name	No of shares	% to total shares	
1	SKM Shree Shivkumar	1,13,75,139	43.20%	-11%
2	S.Kumutaavalli	10,005	0.04%	0%
3	S K.Sharath Ram	11,30,000	4.29%	97%
4	Tamilnadu Industrial Development Corporation Ltd	19,95,800	7.58%	0%
	Total	1,45,10,944	55.11%	

**NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2024****Annexure - 12(c)(i) - Trade Payables ageing schedule:**

₹ Lakhs

Particulars	Outstanding for following periods from due date of payment				
	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
(i) MSME	129.69	-	-	-	129.69
(ii) Others	2,054.19	-	5.76	1.91	2,061.86
(iii) Disputed dues - MSME	-	-	-	-	-
(iv) Disputed dues - Others	-	-	-	-	-
Total	2,183.88	-	5.76	1.91	2,191.55

FINANCIAL RATIOS

S No	Particulars	FINANCIAL YEARS		Change	% Change
		2023 - 24	2022 - 23		
a	Current Ratio	2.44	2.04	0.39	19.31%
b	Debt Equity Ratio	0.53	0.52	0.01	2.36%
c	Debt Service Coverage Ratio	12.41	12.58	-0.18	-1.40%
d	Return on Equity Ratio	30.79%	39.30%	-0.09	-21.67%
e	Inventory Turnover Ratio (Times)	4.10	4.15	-0.05	-1.09%
	Inventory Turnover Ratio (Days)	88.93	87.96	0.97	1.10%
f	Trade Receivables Turnover Ratio (Times)	22.32	23.15	-0.83	-3.59%
	Trade Receivables Turnover Ratio (Days)	16.35	15.77	0.59	3.72%
g	Trade Payables Turnover Ratio (Times)	18.34	21.72	-3.38	-15.57%
	Trade Payables Turnover Ratio (Days)	19.90	16.80	3.10	18.44%
h	Net Capital Turnover Ratio (Times)	2.53	3.42	-0.89	-26.07%
i	Net Profit Ratio	16.30%	15.52%	0.01	5.04%
j	Return on Capital employed	25.09%	34.22%	-0.09	-26.67%
k	Return on investment	30.79%	39.30%	-0.09	-21.67%

**NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2024**

Ratio	Reasons for change of more than 25% as compared to the preceding year
Net Capital Turnover Ratio	The increase in net worth (net capital) is higher than the increase in turnover of the company. Net capital had increased approximately by 42%, whereas, turnover has increased only by 5% in comparison to the preceding year. Due to this, there is a considerable decrease in the net capital turnover ratio.
Return on Capital employed	The increase in capital employed is higher than the increase in profit of the company. Capital employed had increased approximately by 52%, whereas, net profit after tax has increased only by 11% in comparison to the preceding year. Due to this, there is a considerable decrease in the return on capital employed ratio.



NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2024

Annexure - Ratios:

₹ Lakhs

S No	Particulars	FINANCIAL YEARS	
		2023 - 24	2022 - 23
a	Current = (Current Assets / Current Liabilities)		
	Current Assets	30,895.15	23,110.98
	Current Liabilities	12,679.84	11,316.56
b	Debt Equity = (Debt / Equity)		
	Debt		
	Long Term borrowings & lease liability	5,402.56	2,285.40
	Short Term borrowings & lease liability	9,144.60	7,721.35
	Total Debt	14,547.15	10,006.75
	Equity		
	Share Capital	2,633.00	2,633.00
	Reserves and Surplus	24,623.65	16,558.45
	Total Equity	27,256.65	19,191.45
c	Debt Service Coverage = (Cash flows available for paying EMI / Instalment amount)		
	Cash flows available for paying EMI		
	Net Profit After Tax	8,390.99	7,542.29
	(+) Depreciation	1,149.91	1,053.96
	(+) Interest on Term Loans & lease liability	205.51	129.71
	Cash flows available for paying EMI	9,746.41	8,725.96
	Loan repayments during the year (term loan + lease liability)	785.67	693.60
d	Return on Equity = (Net Profit After Tax / Equity)		
	Return - Net Profit After Tax	8,390.99	7,542.29
	Equity	27,256.65	19,191.45
e	Inventory turnover = (Cost of goods sold / Average Stock)		
	Cost of goods sold		
	Cost of materials consumed	39,128.30	33,967.55
	Purchase of Stock-in-Trade	3,436.68	5,685.98
	Changes in inventories of finished goods, work-in-progress and Stock-in-Trade	(485.74)	(27.22)
	Direct Wages	1,228.57	1,099.60
	Amortised Value of Birds	2,823.32	2,308.17
	Total	46,131.13	43,034.08
	Average Stock		
	Opening Stock	11,464.01	9,277.35
	Closing Stock	11,014.13	11,464.01
	Average Stock	11,239.07	10,370.68



NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2024

₹ Lakhs

S No	Particulars	FINANCIAL YEARS	
		2023 - 24	2022 - 23
f	Trade Receivables turnover = (Revenue from Operations / Average Trade Receivables)		
	Sales		
	- Revenue from Operations	68,995.23	65,713.62
	Average Trade Receivables		
	Trade Receivables - Opening	3,592.26	2,084.47
g	Trade Receivables - Closing	2,589.61	3,592.26
	Average Trade receivables	3,090.93	2,838.36
	Trade Payables turnover = (Purchases / Average Trade Payables)		
	Purchases	42,525.92	40,416.35
	Average Trade Payables		
h	Trade Payables - Opening	2,446.16	1,275.17
	Trade Payables - Closing	2,191.55	2,446.16
	Average Trade payables	2,318.85	1,860.66
	Net capital turnover ratio = (Revenue from Operations / Net Capital)		
	Revenue from Operations	68,995.23	65,713.62
i	Net capital (Share Capital + Reserves and Surplus)	27,256.65	19,191.45
	Net Profit ratio = (Net Profit before tax / Revenue from Operations)		
	Net Profit before tax	11,245.61	10,196.37
	Revenue from Operations	68,995.23	65,713.62
	Return on Capital employed = (Net Profit after tax / Capital Employed)		
j	Net Profit after tax	8,390.99	7,542.29
	Capital Employed		
	Equity	27,256.65	19,191.45
	Non current liabilities	6,185.63	2,851.62
	Capital Employed	33,442.27	22,043.07
k	Return on Investment = (Net Profit after tax / Equity)		
	Net Profit after tax	8,390.99	7,542.29
	Total Equity	27,256.65	19,191.45



NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2024

15. FINANCIAL INSTRUMENTS:

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

Financial assets and financial liabilities are initially measured at fair value. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities (other than financial assets and financial liabilities at fair value through Statement of Profit and Loss ('FVTPL')) are added to or deducted from the fair value of the financial assets or financial liabilities, as appropriate, on initial recognition. Transaction costs directly attributable to the acquisition of financial assets or financial liabilities at fair value through profit and loss are recognised immediately in Statement of Profit and Loss.

Trade receivables are initially recognised when they are originated. Trade payables are in respect of the amount due on account of goods purchased or services availed in the normal course of business. They are recognised at their transaction and services availed value if the transaction do not contain significant financing component.

a) Financial Assets

(i) Recognition and initial measurement

All financial assets are recognized initially at fair value. Transaction costs that are directly attributable to the acquisition of financial assets (other than financial assets at fair value through Statement of Profit or Loss ('FVTPL')) are added to the fair value of the financial assets, on initial recognition. Transaction cost directly attributable to the acquisition of financial assets at FVTPL are recognized immediately in Statement of Profit and Loss.

(ii) Subsequent measurement

Debt instruments at amortised cost:

A 'debt instrument' is measured at the amortized cost if both the following conditions are met:

- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.
- The asset is held within a business model whose objective is to hold assets for collecting contractual cash flows, and
- Contractual terms of the asset give rise on specified dates to cash flows that are solely payments of principal and interest (SPPI) on the principal amount outstanding.

After initial measurement, such financial assets are subsequently measured at amortized cost using the effective interest rate (EIR) method. Amortized cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortization is included in finance income in the profit or loss. The losses arising from impairment are recognized in the profit or loss. This category generally applies to trade and other receivables.

Debt instrument at FVTOCI:

A 'debt instrument' is classified as FVTOCI if both of the following criteria are met:

- The objective of the business model is achieved both by collecting contractual cash flows and selling the financial assets, and
- The asset's contractual cash flows represent SPPI.



NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2024

- Debt instruments included within the FVTOCI category are measured initially as well as at each reporting date at fair value. Fair value movements are recognized in the other comprehensive income (OCI).

Debt instrument at FVTPL:

FVTPL is a residual category for debt instruments. Any debt instrument, which does not meet the criteria for categorization as amortized cost or as FVTOCI, is classified as FVTPL. Debt instruments included within the FVTPL category are measured at fair value with all changes recognized in the statement of profit and loss.

In addition, the Company may elect to designate a debt instrument, which otherwise meets amortized cost or FVTOCI criteria, as FVTPL. However, such election is chosen only if doing so reduces or eliminates a measurement or recognition inconsistency (referred to as 'accounting mismatch').

(iii) De-recognition of financial assets

A financial asset is de-recognised only when;

- a. The entity has transferred the rights to receive cash flows from the financial asset or
- b. The entity retains the contractual rights to receive the cash flows of the financial asset, but expects a contractual obligation to pay the cash flows to one or more recipients.

Where entity has transferred an asset, it examines and assesses whether it has transferred substantially all risk and rewards of ownership of financial asset. In such cases, financial asset is de-recognised. Where entity has not transferred substantially all risks and rewards of ownership of financial asset, such financial asset is not de-recognised.

Where the entity has neither transferred a financial asset nor retains substantially all risk and rewards of ownership of the financial asset, the financial asset is de-recognised, if the Group has not retained control of the financial asset. Where the entity retains control of the financial asset is continued to be recognised to the extent of continuing involvement in the financial asset.

(iv) Investments in Equity Instruments in Subsidiary and Associates:

The Company has elected to carry investment in Equity Instruments in Subsidiary and Associates at cost in accordance with Paragraphs 10 of 'Ind AS 27 – Separate Financial Statements'.

b) Financial liabilities and equity instruments

(i) Initial recognition and measurement

"All financial liabilities are recognized initially at fair value plus transaction cost (if any) that is attributable to the acquisition of the financial liabilities which is also adjusted."

(ii) Subsequent measurement

The measurement of financial liabilities depends on their classification, as described below:

Loans and borrowings:

After initial recognition, interest-bearing loans and borrowings are subsequently measured at amortised cost using the Effective Interest Rate (EIR) method. Gains and losses are recognized in profit or loss when the liabilities are de-recognised through the EIR amortization process. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortization is included as finance costs in the statement of profit and loss.

**NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2024****Trade and other payables:**

These amounts represent liabilities for goods or services provided to the Company which are unpaid at the end of the reporting period. Trade and other payables are presented as current liabilities when the payment is due within a period of 12 months from the end of the reporting period. For all trade and other payables classified as current, the carrying amounts approximate fair value due to the short maturity of these instruments. Other payables falling due after 12 months from the end of the reporting period are presented as non-current liabilities and are measured at amortised cost unless designated at fair value through profit and loss at the inception.

Other financial liabilities at fair value through profit or loss:

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss. Gains or losses on liabilities held for trading or designated as at FVTPL are recognized in the profit or loss

(iii) Derecognition of financial liabilities:

A financial liability is de-recognised when the obligation under the liability is discharged or cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or Modification is treated as the de-recognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognized in the statement of profit or loss.

c) Offsetting

Financial assets and financial liabilities are offset and the net amount is reported in the balance sheet if there is a currently enforceable legal right to offset the recognized amounts and there is an intention to settle on a net basis, to realize the assets and settle the liabilities simultaneously.

d) Impairment of Financial assets

The Company assesses at each date of balance sheet whether a financial asset or a group of financial assets is impaired. Ind AS 109 requires expected credit losses to be measured through a loss allowance. The Company recognizes lifetime expected losses for all contract assets and / or all trade receivables that do not constitute a financing transaction. For all other financial assets, expected credit losses are measured at an amount equal to the 12-month expected credit losses or at an amount equal to the life time expected credit losses, if the credit risk on the financial asset has increased significantly since initial recognition.

e) Fair value measurement

The Company measures financial instruments at fair value at each balance sheet date. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability which are accessible to the Company.

**NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2024**

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

Valuation:

The financial instruments are initially recognized and subsequently re-measured at fair value as described below :

- (a) The fair value of Forward Foreign Exchange contracts is determined using forward exchange rates and yield curves at the balance sheet date.
- (b) The fair value of the remaining financial instruments is determined using discounted cash flow analysis.
- (c) All foreign currency denominated assets and liabilities using exchange rate at the reporting date.

Fair Value measurement hierarchy:

The fair value of cash and cash equivalents, other bank balances, loans, trade receivables, trade payables and others approximates their carrying amount. The company uses the following hierarchy for determining and disclosing the fair value of financial instruments by valuation techniques. The fair valuation of current investment is done by Level 1 category valuation, as the investment is quoted and has active market and the various other financial assets and liabilities are done by adopting Level 3 category valuation, as there are no observable inputs for the same.

Level 1 :

Quoted prices (unadjusted) in active markets for identical assets and liabilities.

₹ Lakhs

Particulars	As at 31.03.2024	As at 31.03.2023
Financial Assets		
At fair value through P & L		
(i) Investments - Current	572.99	403.62

Level 2 :

Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e., as prices) or indirectly (derived from prices)

**NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2024****Level 3 :**

Inputs for the asset or liability that are not based on observable market data (unobservable inputs)

₹ Lakhs

Particulars	As at 31.03.2024	As at 31.03.2023
<u>Financial Assets</u>		
At amortised cost		
(i) Trade receivables	2,589.61	3,592.26
(ii) Cash and cash equivalents	14,019.25	5,826.82
(iii) Bank balances other than (ii) above	89.24	67.64
(iv) Loans	16.38	13.98
(v) Other Financial Assets	723.91	230.04
<u>Financial Liabilities</u>		
At amortised cost		
(i) Borrowings	13,552.58	8,635.99
(ii) Lease liabilities	994.58	1,370.76
(iii) Trade Payables	2,191.55	2,446.16
(iv) Other Financial Liabilities	89.24	67.64

f) Derivative financial instruments hedge accounting

Derivative financial instruments are accounted for at FVTPL except for derivatives designated as hedging instruments in cash flow hedge relationships, which require a specific accounting treatment. To qualify for hedge accounting, the hedging relationship must meet several strict conditions with respect to documentation, probability of occurrence of the hedged transaction and hedge effectiveness. These arrangements have been entered into to mitigate currency exchange risk arising on account of repayment of foreign currency term loan and interest thereon.

The Company uses derivative financial instrument i.e. forward contracts to mitigate the risk of foreign exchange exchange rates. At the inception of a hedge relationship, the Company formally designates and documents the hedge relationship to which the Company wishes to apply hedge accounting and the risk management objective and strategy for undertaking the hedge.

Any gains or losses arising from changes in the fair value of derivatives are taken directly to Statement of Profit and Loss, except for the effective portion of cash flow hedge which is recognised in Other Comprehensive Income and later to Statement of Profit and Loss when the hedged item affects profit or loss or is treated as basis adjustment if a hedged forecast transaction subsequently results in the recognition of a Non-Financial Assets or Non-Financial liability.

**NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2024**

Hedges that meet the criteria for hedge accounting are accounted for as follows:

A. Cash Flow Hedge

The Company designates derivative contracts or non-derivative Financial Assets/ Liabilities as hedging instruments to mitigate the risk of movement in interest rates and foreign exchange rates for foreign exchange exposure on highly probable future cash flows attributable to a recognised asset or liability or forecast cash transactions.

B. Fair Value Hedge

The Company designates derivative contracts or non-derivative Financial Assets/Liabilities as hedging instruments to mitigate the risk of change in fair value of hedged item due to movement in interest rates, foreign exchange rates and commodity prices.

16. CAPITAL MANAGEMENT - ADDITIONAL CAPITAL DISCLOSURES:

The Company adheres to the Capital Management framework which is underpinned by the following guiding principles:

- The key objective is to ensure that it maintains a stable capital structure with the focus on total equity to uphold investor, creditor, and customer confidence and to ensure future development of its business.
- Leverage optimally in order to maximize shareholder returns while maintaining strength and flexibility of the Balance Sheet.
- The Company also focusses on keeping strong total equity base to ensure independence, security, as well as a high financial flexibility for potential future borrowings, if required without impacting the risk profile of the Company.
- Proactively manage exposure in forex, interest and commodities to mitigate risk to earnings.
- The Company's goal is to continue to be able to return excess liquidity to shareholders to distribute annual dividends in future years.

This framework is adjusted based on underlying macro-economic factors affecting business environment, financial market conditions and interest rates environment.

The capital structure of the company is as follows:

₹ Lakhs

Particulars	As at 31.03.2024	As at 31.03.2023
Total Equity (A)	27,256.65	19,191.45
% Change 2024 - 23	42.02%	
Current Loans and borrowings	8,736.60	7,289.26
Non-current loans and borrowings	4,815.98	1,346.72
Total loans and borrowings (B)	13,552.58	8,635.99
% Change 2024 - 23	56.93%	
Loans & borrowings as a percentage of total equity	49.72%	45.00%
Total Capital (A) + (B)	40,809.22	27,827.44
% Change 2024 - 23	46.65%	



NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2024

₹ Lakhs

Particulars	2023-24	2022-23
17. REVENUE FROM OPERATIONS		
Sale of Products :		
Sale of Egg Powder & Egg Liquid - Export	41,086.59	49,844.01
Sale of Eggs - Export	11,466.40	2,431.80
Sale of Egg Powder & Egg Liquid - Domestic	4,743.00	6,699.05
Sale of Eggs & Poultry Feed - Domestic	10,959.17	6,175.61
Sale of Culling Birds, Litter & Egg Shell (Waste)	661.22	479.28
Sale of Declared Goods	69.69	75.28
Lab Analysis Charges Received	9.15	8.58
Total	68,995.23	65,713.62
18. OTHER INCOME		
Interest Income	810.38	87.49
Subsidies	25.91	28.31
Gain on Exchange Fluctuation - Net	223.04	-
Profit/(Loss) on sale of Assets	7.71	-
Profit/(Loss) on sale of Investments	23.50	(2.28)
Unrealized gain or loss on investments	63.52	9.47
Miscellaneous Income	3.63	2.44
Total	1,157.69	125.43
19. COST OF MATERIALS CONSUMED		
<u>Raw materials, additives, vaccines & medicines consumed:</u>		
Opening Stock	2,181.89	1,443.03
Add: Purchase during the year	37,856.83	33,860.96
Less: Closing Stock	(2,147.61)	(2,181.89)
Raw materials consumed: (a)	37,891.12	33,122.10
<u>Packing materials consumed:</u>		
Opening Stock	159.02	135.06
Add: Purchased during the year	1,232.41	869.41
Less: Closing Stock	(154.25)	(159.02)
Packing materials consumed (b)	1,237.18	845.45
Total (a + b)	39,128.30	33,967.55
20. PURCHASES OF STOCK-IN-TRADE		
Purchase of Egg Powder (Branch office Russia)	3,436.68	5,685.98
Total	3,436.68	5,685.98

The above amount of purchases is inclusive of duties & taxes for which credit is not admissible



NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2024

₹ Lakhs

Particulars	2023-24	2022-23
21. CHANGES IN INVENTORIES OF FINISHED GOODS, WORK-IN-PROGRESS AND STOCK-IN-TRADE		
Opening Stock	5,457.82	5,430.60
Closing Stock	(5,943.56)	(5,457.82)
(Increase)/Decrease in Stock	(485.74)	(27.22)
22. EMPLOYEE BENEFIT EXPENSES		
Salaries & Wages	3,109.00	2,263.05
Contribution to Provident & Other funds	98.09	84.85
Provision for Gratuity	11.48	14.56
Provision for Earned Leave	32.58	23.75
Staff Welfare Expenses	89.40	82.27
Total	3,340.55	2,468.48

Defined Contribution Plan:

Employer's contribution to Provident Fund	55.01	48.81
Employer's contribution to Pension Scheme	43.73	38.00

The above Employer's contribution to defined contribution plans are net of government contribution of Rs.0.00/- under PMRPY & PMPRPY Scheme for the year 2023-24 (Rs.0.00/- for the year 2022-23).

Defined Benefit Plan:

a. Reconciliation of Opening and Closing Balances of Defined Benefit Obligations: Particulars	Gratuity (Funded)	
	31-03-2024	31-03-2023
Present Value of obligation at the beginning of the year	134.97	123.74
Interest Cost	9.79	13.25
Current Service Cost	12.61	11.21
Benefits paid	(23.75)	(11.61)
Actuarial (gain) / loss	11.92	(1.63)
Present Value of obligation at year end	145.53	134.97

**NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2024****b. Reconciliation of Opening and Closing Balances of Fair Value of Plan Assets:**

₹ Lakhs

Particulars	Gratuity (Funded)	
	31-03-2024	31-03-2023
Fair Value of plan assets as at beginning of the year	161.47	142.81
Expected return on plan assets	10.91	9.90
Contribution made	9.34	20.36
Benefits Paid	(23.75)	(11.61)
Actuarial gain / (loss) on the plan assets	-	-
Fair Value of plan assets as at year end	157.97	161.47

c. Reconciliation of Fair Value of Assets and Obligations

Particulars	Gratuity (Funded)	
	31-03-2024	31-03-2023
Present value of the obligation	145.53	134.97
Fair Value of plan assets	157.97	161.47
Funded Status (Surplus / (Deficit))	12.45	26.50
Net asset / (liability) recognized in the balance sheet	12.45	26.50

d. Expenses recognized during the year

Particulars	Gratuity (Funded)	
	31-03-2024	31-03-2023
Current Service Cost	12.61	11.21
Interest Cost	9.79	13.25
Expected return on plan assets	(10.91)	(9.90)
Actuarial (gain) / loss	11.92	(1.63)
Net Cost	23.40	12.93

**NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2024****e. Actual return on the plan assets:**

₹ Lakhs

Particulars	Gratuity (Funded)	
	31-03-2024	31-03-2023
Expected return on plan assets	10.91	9.90
Actuarial gain / loss on plan assets	-	-
Actual return on plan assets	10.91	9.90

f. Actuarial Assumptions:

Particulars	Gratuity (Funded)	
	31-03-2024	31-03-2023
Discount rate (Per annum)	7.25%	7.25%
Expected rate of return on Plan Assets (Per annum)	7.25%	7.25%
Rate of escalation in salary (Per annum)	6.50%	6.50%

The data required for disclosing information with regard to sensitivity analysis is not made available by the Actuary despite the concerted attempts made by the company to gather the information in this regard and hence the information relating to sensitivity analysis in terms of the amount of responsiveness and the financial impact consequent to change in discount rate, change in rate of salary escalation and change in rate of employee turnover (while holding all the other factors constant), have not been provided for during the year.

These plans typically expose the company to actuarial risks such as:

Investment risk:

The present value of the defined benefit plan liability is calculated using a discount rate which is determined by reference to market yields at the end of the reporting period on government bonds.

Interest risk:

A decrease in the bond interest rate will increase the plan liability, however, this will be partially offset by an increase in the return on the plan debt investments.

Longevity risk:

The present value of the defined benefit plan liability is calculated by reference to the best estimate of the mortality of plan participants both during and after their employment. An increase in the life expectancy of the plan participants will increase the plan's liability.

Salary risk:

The present value of the defined benefit plan liability is calculated by reference to the future salaries of plan participants. As such, an increase in the salary of the plan participants will increase the plan's liability.

**NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2024****DISCLOSURE ON ACCOUNTING FOR REVENUE FROM CUSTOMERS IN ACCORDANCE WITH Ind AS 115:**

₹ Lakhs

A. Disaggregated revenue information

a. On the basis of type of goods and service:

Particulars	2023 - 24	2022 - 23
Sale of manufactured products	68,255.16	65,150.47
Sale of products	-	-
Sale of by-products & declared goods scrap	730.91	554.57
Service Income received	9.15	8.58
Total Operating Revenue	68,995.23	65,713.62

b. On the basis of geographical region:

In India	16,442.24	13,437.81
Outside India	52,552.99	52,275.81
Total Operating Revenue	68,995.23	65,713.62

c. On the basis of timing of revenue recognition:

At a point of time	68,995.23	65,713.62
Over a period of time	-	-
Total Operating Revenue	68,995.23	65,713.62

B. Contract Liabilities:

a. Contract Balances:

Contract Liabilities	41.90	19.31
----------------------	-------	-------

C. Revenue recognised during the year in relation to contract liabilities:

Revenue recognised	19.31	8.29
--------------------	-------	------

D. Reconciliation of revenue recognised in the statement of profit and loss with the contracted price

Revenue at contracted prices	68,995.23	65,713.62
Revenue from contract with customers	68,995.23	65,713.62
Difference	-	-

E. Unsatisfied or partially satisfied performance obligation

Unsatisfied or partially satisfied performance obligation	Nil	Nil
---	-----	-----



NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2024

₹ Lakhs

Particulars	2023-24	2022-23
23. FINANCIAL COSTS		
Interest Expenses on Working Capital Loan	678.72	526.79
Interest Expenses on Term Loans	114.81	45.82
Other borrowing costs - bank charges & bill discount	144.27	120.36
Exchange Fluctuation - Net	-	158.63
Interest recognized on Lease farm Assets	90.70	83.89
Total	1,028.50	935.50
24. DEPRECIATION & AMORTISATION		
Depreciation on Property, plant & equipment - Own assets	726.13	678.30
Depreciation on Property, plant & equipment - Leased assets	423.77	375.66
Amortisation of livestock - Birds	2,823.32	2,308.17
Total	3,973.23	3,362.14
25. OTHER EXPENSES		
Power & Fuel	1,729.82	1,992.20
Stores & Spares Consumption	496.46	757.02
Repairs and Maintenance:		
a) Building	124.92	86.65
b) Plant & Machinery	118.84	152.28
c) Vehicle - Fuel & Maintenance	412.97	323.39
d) Computer & Software Maintenance	29.08	26.32
e) Other Maintenance	154.96	164.07
Procurement & Direct expenses	879.79	666.84
Conversion Charges - Powder	138.65	210.00
Foreign Exchange Fluctuation Loss - Net	-	381.57
Asset Retirement by scarping (write- off)	104.87	-
Import Duty & Clearing charges (Branch office Russia)	517.34	856.42
Analysing Charges	57.11	10.31
Rates and Taxes, Registration and Renewal	40.84	44.79
Rent Expenses	63.17	26.06
Postage, Courier, Telephone & Internet Charges	23.59	19.68
Printing & Stationery	13.79	11.69
Insurance Premium	24.06	23.78
Advertisement and Publicity	14.24	5.85
Travelling Expenses	107.92	71.23
Foregin Travelling expenses	38.51	54.60



NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2024

₹ Lakhs

Particulars	2023-24	2022-23
Professional Charges	52.10	49.38
Subscription	0.00	0.06
Miscellaneous Expenses	9.43	6.28
Audit Fees	13.75	7.50
Corporate Social Responsibility (CSR) Expenses	89.00	39.00
Donation	10.21	6.74
Directors Sitting Fee	1.75	1.23
Stock Exchange Listing Fee & Secretarial Expenses	18.46	14.85
Sales Commission	913.14	800.06
Selling Expenses	254.35	296.64
Freight and Forwarding Charges	1,938.27	2,122.26
Total	8,485.78	9,250.25
25 (i) Payment to Auditors as:	Excluding Taxes	
(a) Auditor		
Statutory Audit Fees	7.75	3.25
Tax Audit Fees	5.00	4.00
(b) Certification Services - Included in Professional charges	1.04	1.26
(c) For Appeal Representation and Others	1.00	0.25
(d) Reimbursement of expenses	-	-
Total	14.79	8.76
<u>(ii) Corporate Social Responsibility (CSR) - as per Section 135 read with Schedule VII of the Companies Act, 2013</u>		
i) Amount required to be spent by the company during the year	88.54	25.99
ii) Amount of expenditure incurred	89.00	39.00
iii) Shortfall at the end of the year	-	-
iv) Total of previous year shortfall	-	-
v) Reason for shortfall	N A	N A
vi) Nature of CSR activities		
Eradicating hunger, poverty & malnutrition, promoting preventive health care and sanitation and making available safe drinking water.		
Promoting Education, including special education and employment enhancing vocation skills especially among children, women, elderly and the differently abled and livelihood enhancement project.		
vii) Details of related party transactions:		
Donation to SKM Health and Mind Welfare Charity Trust	35.00	24.00
Donation to Shree Foundation	38.00	-



NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2024

₹ Lakhs

Particulars	2023-24	2022-23
The trust has adopted two villages and takes care of around 228 families and provides education to children of the families and also provides medical care to their families and also helps the village to remain clean, green & healthy. The trust shall be to undertake and support activities that promote social welfare, community development, environmental sustainability, education, health care, and other initiatives that contribute to the betterment of society. viii) Where a provision is made with respect to a liability by entering into a contractual obligation, the movements in the provision during the year	N A	N A
26 (i) CURRENT TAX		
Income Tax - Normal Provisions	2,776.73	2,660.16
Income Tax - Relating to preceding years	(0.05)	(4.24)
Total	2,776.67	2,655.92
26(ii) DEFERRED TAX		
On account of variation of allowances for tax purpose in : Depreciation (DTA)/DTL	55.69	(1.59)
Provision for gratuity & earned leave - DTL / (DTA)	22.67	(0.49)
Actuarial Gains / Losses - DTL / (DTA)	(0.41)	0.24
Total	77.95	(1.84)
27. EARNINGS PER SHARE		
(i) Net Profit after Tax as per Statement of Profit and Loss attributable to Equity Shareholders (Rs in Lakhs)	8,391	7,542
(ii) Weighted Average number of Equity Shares used as denominator for calculating Basic EPS (In absolute numbers)	2,63,30,000	2,63,30,000
(iii) Weighted Average number Potential Equity Shares (Nos)	-	-
(iv) Total Weighted Average number of Equity Shares used as denominator for calculating Diluted EPS (In absolute numbers)	2,63,30,000	2,63,30,000
(v) Basic Earnings per Share (Rs - in absolute figures) (i) / (ii)	31.87	28.65
(vi) Diluted Earnings per Share (Rs - in absolute figures) (i) / (iv)	31.87	28.65
(vii) Face Value per Equity Share (Rs)	10.00	10.00

Since the company does not have any Potential Equity Shares, the denominator used for calculating Basic EPS and Diluted EPS are the same and consequently Basic EPS and Diluted EPS are the same.



NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2024

₹ Lakhs

28. INCOME TAXES:

The reconciliation between the provision of income tax and amounts computed by applying the Indian statutory income tax rate to profit before taxes is as follows:

Particulars	2024 - 24	2022 - 23
Profit / (Loss) before tax	11,245.61	10,196.37
Applicable Tax Rate	25.17%	25.17%
Computed Tax expense	2,830.30	2,566.22
Income Tax effect of :		
Expenses related to exempt Income	1.53	1.96
Expenses disallowed for tax purposes	(39.77)	38.33
Allowances for tax purposes	(15.99)	9.94
Income exempt from tax	(1.76)	(1.67)
Income taxed at higher / (lower) rates	-	-
Others	2.43	45.37
Current tax provision (A)	2,776.73	2,660.16
Income Tax / (Reversal) - Relating to preceding years (B)	(0.05)	(4.24)
Incremental / (Decremental) Deferred Tax Liability on account of Tangible Assets	55.69	(1.59)
Incremental / (Decremental) Deferred Tax Liability on account of Financial & Other Assets / Liabilities	-	-
(Incremental) / Decremental Deferred Tax Asset on account of Other Assets	22.26	(0.25)
Deferred tax provision (c)	77.95	(1.84)
Tax Expenses recognised in Statement of Profit & Loss	2,854.62	2,654.08
Effective Tax Rate	25.38%	26.03%

29. SEGMENT INFORMATION:

The Company's operating segments are established on the basis of those components that are evaluated regularly by the Executive Committee (the 'Chief Operating Decision Maker' as defined in Ind AS 108 - 'Operating Segments'), in deciding how to allocate resources and in assessing performance. These have been identified taking into account nature of products and services, the differing risks and returns and the internal business reporting systems.

i) Primary Segment Information:

The company had taken certain poultry farms and feed mills on lease and had started operating the said leased poultry farms and feedmills from the year 2020-21. Accordingly, the eggs and feeds which were purchased and sold was hitherto a trading activity. From the year 2020-21, the company uses the leased poultry farms and manufactures eggs and either sells it outside or uses the eggs as raw material for its own production. Also using the leased feedmills, the feeds are manufactured and it is either sold outside or used as raw material (food) for the birds in the poultry farm. Hence, there is no trading activity and the activity of feed manufacture and production of poultry eggs is an ancillary and supplemental activity and also a backward integration to the company's manufacture of various egg products. Accordingly, there are no reportable segments to be given under the primary segment information.



NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2024

₹ Lakhs

ii) **Secondary Segment Information:**

The Company has five geographic segments: India, Japan, Russia, Europe and Rest of the world. Revenues from the geographic segments based on domicile of the customer are as follows:

Particulars	2023 - 24	2022 - 23
1. Segment Revenue - External Turnover		
(a) Within India	16,442.24	13,437.81
(b) Outside India:		
(i) Japan	12,703.10	13,753.12
(ii) Russia	11,487.28	17,198.80
(iii) Europe	4,299.98	7,277.91
(iv) Rest of the World	24,062.62	14,045.98
Total	68,995.23	65,713.62
2. Non-Current Assets		
(a) Within India	15,218.64	10,240.32
(b) Outside India - Europe	8.33	8.33
Total	15,226.97	10,248.65

Revenues from Three customers of the company amount to more than 10% of the Company's total revenues and represent approximately Rs.24,269 lakhs (previous year Rs.17,495 lakhs) of the total revenue of the company.

**NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2024****30. RELATED PARTY DISCLOSURES:**

As required under Indian Accounting Standard (Ind AS) 24 - Related Party disclosures, disclosure of transactions with related parties are given below:

(a) Classification and name of the Related Parties:

(i) Subsidiary	SKM Europe BV, Utrecht, The Netherlands
(ii) Associate	SKM Universal Marketing Company India Private Limited
(iii) Key Management Personnel	SKM Shree Shivkumar
	S.K.Sharath Ram
	Sri.SKM Maeilanandhan
	K.S.Venkatachalapathy
	P. Sekar
(iv)Relative of Key Management Personnel	Ms.M.Kuttilakshmi
(v) Other Related Parties	SKM Animal Feeds and Foods India Private Limited
	SKM Siddha and Ayurvedha Company India Private Limited
	SKM Health and Mind Welfare Charity Trust
	Shree Foundation

(b) Description of relationship between the parties :

(i) Subsidiary	
(a) SKM Europe BV, Utrecht, The Netherlands	Foreign subsidiary company in which the company holds 85% voting power
(ii) Associate	
(a) SKM Universal Marketing Company India Private Limited	Domestic associate company in which the company holds 26% voting power
(iii) Key Management Personnel	
(a) SKM Shree Shivkumar (b) Sri.SKM Maeilanandhan (c) S.K.Sharath Ram (d) K.S.Venkatachalapathy (e) P.Sekar	Managing Director Whole time Director Whole time Director Chief Financial Officer Company Secretary
(iv) Relative of Key Management Personnel	
(a) Smt.M.Kuttilakshmi	Relative of Managing Director & Wholetime Director
(v) Other Related Parties	
(a) SKM Animal Feeds and Foods India Private Limited	Entity over which Key Management Personnel have significant influence
(b) SKM Siddha and Ayurvedha Company India Private Limited	Entity over which Key Management Personnel have significant influence

**NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2024**

(c) SKM Health and Mind Welfare Charity Trust	Entity over which Key Management Personnel is a trustee and have significant influence
(d) Shree Foundation	Entity over which Key Management Personnel is a trustee and have significant influence

(c) Transactions during the year and year end balances with related parties :

(c-i) The company has the following related party transactions for the years 2023-24 & 2022-23 :

₹ Lakhs

Nature of relationship	Nature of Transactions	2023 - 24	2022 - 23
(i) Subsidiary	Sale of goods	1,572.83	2,302.02
(ii) Associate	Sale of goods	1,315.57	1,672.98
	Rent Income	0.80	-
	Purchase of goods	267.78	1,016.36
	Purchase of Electricity	375.27	362.03
	Purchase of PPE	0.96	-
(iii) Key Management Personnel	Remuneration paid	963.33	412.47
	Rent paid	3.18	3.21
(iv) Relative of Key Management Personnel	Rent paid	0.45	-
(v) Other Related Parties	Sale of goods	12.89	9.77
	Purchase of goods	0.92	1.13
	Donation paid	73.00	24.00

(c-ii) The company has the following balances outstanding as of March 31, 2024 and March 31, 2023 :

₹ Lakhs

Nature of relationship	Nature of Balances outstanding	As at 31.03.2024	As at 31.03.2023
(i) Subsidiary	Investments	8.33	8.33
	Trade receivables	161.96	303.02
(ii) Associate	Investments	118.46	118.46
	Trade receivables	66.26	191.54
	Trade payables	-	76.63
(iii) Key Management Personnel	-	-	-
(iv) Relative of Key Management Personnel	Trade payables	-	-
(iv) Other Related Parties	Trade receivables	0.28	-
	Trade payables	-	0.75

**NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2024****(d) Disclosures in respect of major related party transactions during the year :**

The following are the significant related party transactions during the year ended March 31, 2024 and March 31, 2023 ₹ Lakhs

Particulars	Relationship	2023 - 24	2022 - 23
1) Purchase of goods			
(a) SKM Siddha and Ayurvedha Company India Private Limited	Other Related Party	0.92	1.13
(b) SKM Universal Marketing Company India Private Limited	Associate	267.78	1,016.36
2) Purchase of Electricity			
(a) SKM Universal Marketing Company India Private Limited	Associate	375.27	362.03
3) Purchase of Property, Plant & Equipment			
(a) SKM Universal Marketing Company India Private Limited	Associate	0.96	-
4) Rent paid			
(a) SKM Shree Shivkumar	Key Management Personnel	3.18	3.21
(b) Smt.M.Kuttilakshmi	Relative of Key Management Personnel	0.45	-
5) Remuneration paid			
(a) SKM Shree Shivkumar	Key Management Personnel	839.64	342.26
(b) Sri.SKM Maeilanandhan	Key Management Personnel	59.75	30.60
(c) S.K.Sharath Ram	Key Management Personnel	18.38	-
(d) K.S.Venkatachalapathy	Key Management Personnel	34.02	30.81
(e) P.Sekar	Key Management Personnel	11.54	8.79
6) Donation paid			
SKM Health and Mind Welfare Charity Trust	Other Related Party	35.00	24.00
Shree Foundation	Other Related Party	38.00	-
7) Sale of goods			
(a) SKM Europe BV, Utrecht, The Netherlands	Subsidiary	1,572.83	2,302.02
(b) SKM Animal Feeds and Foods India Private Limited	Other Related Party	12.89	9.77
(c) SKM Universal Marketing Company India Private Limited	Associate	1,315.57	1,672.98
8) Rent Income			
(a) SKM Universal Marketing Company India Private Limited	Associate	0.80	-

**NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2024**

The following are the significant related party balances outstanding as of March 31, 2024 and March 31, 2023

₹ Lakhs

Particulars	Relationship	As at 31.03.2024	As at 31.03.2023
1) Trade receivables			
(a) SKM Europe BV,Utrecht, The Netherlands	Subsidiary	161.96	303.02
(b) SKM Universal Marketing Company India Private Limited	Associate	66.26	191.54
(c) SKM Animal Feeds and Foods India Private Limited	Other Related Party	0.28	-
2) Trade payables			
(a) SKM Universal Marketing Company India Private Limited	Associate	-	76.63
(b) SKM Siddha and Ayurvedha Company India Private Limited	Other Related Party	-	0.75
(c) Smt.M.Kuttilakshmi	Relative of Key Management Personnel	-	-
3) Investments			
(a) SKM Europe BV, Utrecht, The Netherlands	Subsidiary	8.33	8.33
(b) SKM Universal Marketing Company India Private Limited	Associate	118.46	118.46

(e) Compensation of Key Management Personnel

Particulars	2023 - 24	2022 - 23
(i) Short-term employee benefits	919.37	368.80
(ii) Post-employment benefits *	43.96	43.67
(iii) Other long-term benefits	-	-
(iv) Termination benefits	-	-
(v) Share-based payment	-	-
	963.33	412.47

* - Post-employment benefit comprising gratuity, and compensated absences are not disclosed as these are determined for the Company as a whole.

**NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2024****Foreign currency risk:**

The company is essentially an Export Oriented Undertaking and makes significant exports and has availed Working Capital Loan (Packing Credit) in Foreign currency and also imports goods, stores & spares occasionally. The Company is exposed to foreign currency risk on these transactions. The Company follows a conservative and sound policy by entering into simple Forward Exchange Contracts to hedge the foreign currency risk whose maturity is coterminous with the maturity period of the foreign currency liabilities and receivables.

The following table shows the foreign currency exposure in USD and EUR on financial statements at the end of the reporting period. The exposure to foreign currency for all other currencies are not material.

₹ Lakhs

Particulars	As at 31.03.2024	As at 31.03.2023
(i) Borrowings:		
Euro	548.23	1,883.42
USD	8,052.51	4,704.28
(ii) Trade & other payables		
Euro	7.56	59.03
USD	342.77	9.67
(iii) Trade & other receivables		
Euro	(161.96)	(529.06)
USD	(2,133.31)	(2,857.28)
Net Exposure (i + ii - iii)	6,655.80	3,270.07

Sensitivity analysis of 1% change in exchange rate at the end of the reporting period net of hedges

Particulars	As at 31.03.2024 (₹ in Lakhs)		
	USD	Euro	Total
1% Depreciation in INR			
Impact on equity	-	-	-
Impact on P & L	(62.62)	(3.94)	(66.56)
Total	(62.62)	(3.94)	(66.56)
1% Appreciation in INR			
Impact on equity	-	-	-
Impact on P & L	62.62	3.94	66.56
Total	62.62	3.94	66.56
	As at 31.03.2023 (₹ in Lakhs)		
	USD	Euro	Total
1% Depreciation in INR			
Impact on equity	-	-	-
Impact on P & L	(18.57)	(14.13)	(32.70)
Total	(18.57)	(14.13)	(32.70)
1% Appreciation in INR			
Impact on equity	-	-	-
Impact on P & L	18.57	14.13	32.70
Total	18.57	14.13	32.70

**NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2024****Interest rate risk:**

The risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Company has availed significant Foreign Currency Working Capital Loan (In USD as well as Euro) by way of Packing Credit at floating interest rates. The interest rate is at 2% (spread) plus LIBOR rate of respective Bank and the interest rate is reset based on the LIBOR rate, as per the loan facility agreement. The Company has not entered into any of the interest rate swaps and hence, the Company is exposed to interest rate risk.

The Company considering the economic environment in which it operates has determined the interest rate sensitivity analysis (interest exposure) at the end of the reporting period. The interest rate for the Company are floating rates and hence, the analysis is prepared assuming the amount of the borrowings outstanding at the end of the reporting period was outstanding for the whole year. A 100 basis point +/- fluctuation in the interest rate is used for disclosing the sensitivity analysis.

The exposure of the company's borrowings to interest rate changes at the end of the reporting period are as follows

₹ Lakhs

Particulars	As at 31st March 2024	As at 31st March 2023
(i) Borrowings - Short term		
Borrowings in Euro	548.23	1,883.42
Borrowings in USD	8,052.51	4,704.28
Borrowings in INR	-	548.06
Borrowings in INR - Current maturity of Long Term loan	135.86	153.51
(ii) Borrowings - Long term		
Borrowings in INR	4,815.98	1,346.72
Net Exposure	13,552.58	8,635.99

Impact on interest expenses for the year on 1% change in interest rates

₹ Lakhs

Particulars	2023 - 24	2022 - 23
Up Move		
Impact on equity	-	-
Impact on P & L	(142.66)	(157.34)
Total	(142.66)	(157.34)
Down Move		
Impact on equity	-	-
Impact on P & L	142.66	157.34
Total	142.66	157.34

The interest rate sensitivity analysis is done holding on the assumption that all other variables remaining constant. The increase / decrease in interest expense is mainly attributable to the Company's exposure to interest rates on its variable rate of borrowings.

Commodity price risk:

Commodity price risk arises due to fluctuation in prices of eggs, feeds and other products. The company has a risk management framework aimed at prudently managing the risk by reducing the external dependability and enhancement of self reliance by manufacturing the commodities in house to the extent possible.

**NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2024****Credit risk:**

Credit risk is a risk that a customer or counterparty to a financial instrument fails to perform or pay the amounts due, causing financial loss to the company. Credit risk arises from Company's outstanding receivables from customers and other parties. The company has a prudent and conservative process for managing its credit risk arising in the course of its business activities. The Company ensures that sales of products are made to customers with appropriate creditworthiness. Credit risk is controlled by analysing credit limits and creditworthiness of customers on a continuous basis to whom the credit has been granted after obtaining necessary approvals for credit.

Geographic concentration of credit risk:

Geographic concentration of trade receivables is as follows:

₹ Lakhs

Particulars	As at 31st March 2024	As at 31st March 2023
(a) Within India	383.53	611.23
(b) Outside India:		
(i) Japan	79.77	118.07
(ii) Russia	1,588.82	1,616.88
(iii) Europe	161.96	303.02
(iv) Rest of the World	375.54	943.05
Total	2,589.61	3,592.26

Year ended 31-03-2024**Expected credit loss for trade receivables under simplified approach**

Ageing	Upto 180 days	More than 180 days	Total
Gross carrying amount - Trade receivables	2,589.21	0.40	2,589.61
Expected credit losses (Loss allowance provision) - trade receivables	-	-	-
Carrying amount of trade receivables (net of impairment)	2,589.21	0.40	2,589.61

Year ended 31-03-2023**Expected credit loss for trade receivables under simplified approach**

Ageing	Upto 180 days	More than 180 days	Total
Gross carrying amount - Trade receivables	3,462.74	129.52	3,592.26
Expected credit losses (Loss allowance provision) - trade receivables	-	-	-
Carrying amount of trade receivables (net of impairment)	3,462.74	129.52	3,592.26

The Company determines the allowance for credit losses based on historical loss experience adjusted to reflect current and estimated future economic conditions. The Company considered current and anticipated future economic conditions relating to industries the Company deals with and the countries where it operates. In calculating expected credit loss, the company has also considered credit reports and other related credit information for its customers to estimate the probability of default in future.

**NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2024****Liquidity risk:**

Liquidity risk arises from the company's inability to meet its cash flow commitments on time. Prudent liquidity risk management implies maintaining sufficient stock of cash and cash equivalents. This has been achieved by the company by maintaining cash & cash equivalents of Rs.14,019.25 lakhs as on 31st March 2024 and Rs.5,826.82 lakhs as on 31st March 2023. Liquidity risk is also mitigated by maintaining availability of standby funding through an adequate line up of committed credit facilities. This has been achieved by the company by availing the F120Packing Credit facility from the bank of Rs.8,600.74 lakhs as on 31st March 2024 and Rs.6,587.70 lakhs as on 31st March 2023

Liquidity Exposure as at 31.03.2024:

₹ Lakhs

Particulars	< 1 year	1 - 5 years	> 5 years	Total
Financial Assets:				
Investments	572.99	-	126.78	699.77
Loans	-	16.38	-	16.38
Trade receivables	2,589.61			2,589.61
Cash and cash equivalents	14,019.25			14,019.25
Bank balances other than above	89.24			89.24
Other Financial Assets	456.18		267.72	723.91
Total Financial Assets	17,727.27	16.38	394.51	18,138.16
Financial Liabilities:				
Borrowings	8,736.60	4,815.98	-	13,552.58
Lease Liabilities	408.00	586.58		994.58
Trade Payables	2,191.55			2,191.55
Other Financial Liabilities	89.24			89.24
Total Financial Liabilities	11,425.38	5,402.56	-	16,827.94

Liquidity Exposure as at 31.03.2023:

₹ Lakhs

Particulars	< 1 year	1 - 5 years	> 5 years	Total
Financial Assets:				
Investments	403.62		126.78	530.40
Loans	-	13.98	-	13.98
Trade receivables	3,592.26			3,592.26
Cash and cash equivalents	5,826.82			5,826.82
Bank balances other than above	67.64			67.64
Other Financial Assets	-		230.04	230.04
Total Financial Assets	9,890.33	13.98	356.82	10,261.14
Financial Liabilities:				
Borrowings	7,289.26	1,346.72		8,635.99
Lease Liabilities	432.08	938.68		1,370.76
Trade Payables	2,446.16			2,446.16
Other Financial Liabilities	67.64			67.64
Total Financial Liabilities	10,235.14	2,285.40	-	12,520.54



SKM EGG PRODUCTS EXPORT (INDIA) LIMITED
Balance Sheet of Subsidiary SKM Europe BV as at 31.03.2024

₹ Lakhs

Particulars	As at 31.03.2024	As at 31.03.2023
I. ASSETS		
(1) Non-Current Assets		
(a) Property, Plant & Equipments	1.11	1.79
(b) Capital work in Progress	-	-
(c) Financial Assets		
(i) Investments	-	-
(ii) Loans	-	-
(2) Current Assets		
(a) Inventories	407.02	414.11
(b) Financial Assets		
(i) Trade receivables	463.91	500.87
(ii) Cash and cash equivalents	0.48	0.31
(iii) Loans	3.16	(7.39)
(c) Other current assets	16.70	13.62
Total Assets	892.38	923.31
I. EQUITY AND LIABILITIES		
Equity		
(a) Equity Share Capital	9.80	9.80
(b) Other Equity	433.16	427.12
Liabilities		
(1) Non-Current Liabilities		
(a) Financial Liabilities		
(i) Borrowings	41.55	57.68
(2) Current Liabilities		
(a) Financial Liabilities		
(i) Borrowings	25.65	104.55
(ii) Trade Payables	328.47	288.97
(b) Other Current Liabilities	53.08	34.55
(c) Provisions	0.67	0.63
Total Equity & Liabilities	892.38	923.31

as per our report of even date

FOR AND ON BEHALF OF THE BOARD

For N.C.Rajagopal & Co.,
Chartered Accountants

SKM MAEILANANDAN
Executive Chairman & Whole Time Director

SKM SHREE SHIVKUMAR
Managing Director

N.C.VIJAY KUMAR
Partner
Membership No. : 208276
Firm Reg. No.: 003398S

K.S.VENKATACHALAPATHY
Chief Financial Officer
Membership No. : 029064

P. SEKAR
Company Secretary
Membership No..F10744

Place : Erode
Date : 22.05.2024



SKM EGG PRODUCTS EXPORT (INDIA) LIMITED

Statement of Profit and Loss Account of Subsidiary SKM Europe BV for the year ended 31.03.2024

₹ Lakhs

Particulars	2023-24	2022-23
Revenue from operations	2,394.60	2,765.44
Other Income	-	-
Total Income	2,394.60	2,765.44
Expenses:		
Cost of materials consumed	-	-
Purchase of Stock-in-Trade	2,478.74	2,854.16
Changes in inventories of finished goods, work-in-progress and Stock-in-Trade	(138.64)	(261.67)
Employee Benefit Expense	-	-
Financial Costs	3.26	5.50
Depreciation and Amortization Expense	0.68	-
Other Expenses	66.57	124.77
Total Expenses	2,410.60	2,722.76
Profit before tax	(16.00)	42.68
Tax expense:		
Current tax	-	-
Deferred tax	-	-
Profit/(Loss) for the Year	(16.00)	42.68
Other Comprehensive Income		
(i) Items that will not be reclassified to Statement of Profit and loss	22.03	5.36
(ii) Items that will be reclassified to Statement of Profit and loss	-	-
Total Comprehensive Income for the year	6.03	48.04
Earning per equity share of face value Rs.10 each		
Basic (in Rs)	(88.87)	237.12
Diluted (in Rs)	(88.87)	237.12

as per our report of even date

FOR AND ON BEHALF OF THE BOARD

For N.C.Rajagopal & Co.,
Chartered Accountants

SKM MAEILANANDAN
Executive Chairman & Whole Time Director

SKM SHREE SHIVKUMAR
Managing Director

N.C.VIJAY KUMAR
Partner
Membership No. : 208276
Firm Reg. No.: 003398S

K.S.VENKATACHALAPATHY
Chief Financial Officer
Membership No. : 029064

P. SEKAR
Company Secretary
Membership No..F10744

Place : Erode
Date : 22.05.2024



INDEPENDENT AUDITOR'S REPORT

TO THE MEMBERS OF SKM EGG PRODUCTS EXPORT (INDIA) LIMITED

Report on the Consolidated Financial Statements

Opinion:

We have audited the accompanying consolidated financial statements of M/s. **SKM EGG PRODUCTS EXPORT (INDIA) LIMITED**, (hereinafter referred to as “the Holding Company”) and its subsidiary (the Holding Company and its subsidiary together referred to as “the Group”) and its associate which comprise the Consolidated Balance Sheet as at March 31, 2024, the Consolidated Statement of Profit and Loss (Including Other Comprehensive Income), the Consolidated Statement of changes in equity and the Consolidated Statement of Cash Flows for the year then ended and notes to the consolidated financial statements, including a summary of the significant accounting policies and other explanatory information (hereinafter referred to as “the consolidated financial statements”).

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid consolidated financial statements give the information required by the Companies Act, 2013 (“the Act”) in the manner so required and give a true and fair view in conformity with the Indian Accounting Standards prescribed under section 133 of the Act read with the Companies (Indian Accounting Standards) Rules, 2015, as amended, (“Ind AS”) and other accounting principles generally accepted in India, of the consolidated state of affairs of the group as at 31st March, 2024; the consolidated profit and consolidated total comprehensive income, consolidated changes in equity and its consolidated cash flows for the year ended on that date.

Basis for Opinion:

We conducted our audit in accordance with the Standards on Auditing (SAs) specified under Section 143(10) of the Companies Act, 2013. Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are independent of the Group in accordance with the ethical requirements that are relevant to our audit of the consolidated financial statements in terms of Code of Ethics issued by the Institute of Chartered Accountants of India and the relevant provisions of the Companies Act, 2013 and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on the consolidated financial statements.

Key Audit Matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the Consolidated Financial Statements of the current period. These matters were addressed in the context of our audit of Consolidated Financial Statements as a whole, and in forming our opinion thereon and we do not provide a separate opinion on these matters. We have determined the matters described below to be the key audit matters to be communicated in our report.



S No	Key Audit Matter	How our audit addressed the key audit matter
1	Inventory Existence and Valuation: As on 31st March 2024, the group carries inventories to the tune of Rs.114.21 crores out of which the holding company carries inventories to the tune of Rs.110.14 crores. We considered the amount of inventories as a key audit matter given the relative size of the balance in the financial statements. Also there are complexities and manual process involved in determining inventory quantities on hand and valuation of the same due to the diverse & numerous inventory products and stocks held in overseas branch and price fluctuations of products. Therefore inventory quantities and valuation is identified as a key audit matter.	• We have attended inventory counts for certain products, which we have selected based on financial significance and risk, observed management's inventory count procedures to assess the effectiveness, selected a sample of inventory products and compared the quantities counted to the quantities recorded and ensured inventory adjustments, if any, are recorded in the books of accounts. • With regard to the stocks held in the overseas branch, we have received the certificate from the overseas branch auditor and obtained management representation and verified the relevant documents relating to goods sent from head office to the branch. • Reviewed the internal audit report regarding physical verification of inventories and traced adjustments on sample basis. • Comparative analysis of inventory as at the end of the year with the inventory at the beginning of the year. • We assessed whether the management's controls relating to inventory's valuation are appropriately designed and implemented and verified the correctness of valuation made by the management on a sample basis, with regard to the cost and net realizable value of inventory.
2	Amortisation of livestock: For the holding company, the primary raw material is the egg, which was used to be acquired from outside in large quantities and was also produced in-house in small quantities by the poultry farm owned by the company in earlier years. However, for the past 3 years, the company has started operating certain additional poultry farms and feed mills by taking the same on lease.	• Examined the method used to amortize the livestock expenses with reference to the company's historical experience and technical evaluation by internal experts (doctors) appointed by management. • Evaluated the rationale in arriving at the amortization rate with regard to the number of eggs expected from birds during the laying stage, residual value of culled birds, manner and timing of amortization.



S No	Key Audit Matter	Auditor's Response
	The amortization of livestock during the year amounts to 28.23 crores. Also there are complexities and manual process involved in arriving at the amortization rate considering a variety of factors such as age, productivity of the birds, life of birds, residual value, if any, etc., Therefore amortization of livestock is identified as a key audit matter.	• Analyzed the flow of transactions starting from accumulating the various expenditure incurred for raising the birds such as feeds, medicines, vaccines, growing and supervision charges, etc., till the birds attain laying stage. After the birds starts laying eggs, the expenses so accumulated are amortized over the useful life of the birds in proportion to the eggs laid after adjusting for the residual value of culled birds on the basis of past experiences and estimation. • Assessed the objectivity and competence of the Company's internal experts involved in the process.
3	Evaluation of Contingent liabilities: The holding company has an uncertain direct & indirect tax position and other contingent liabilities in respect of bills discounted which involve significant judgment to determine the possible outcome of these matters.	• Obtained the details of completed direct & indirect tax assessments and demands as on 31.03.2024 from the management. • We have also reviewed the company's correspondences and appellate documents and considered legal precedence and other rulings in evaluating management's position on these uncertain tax positions • In respect of bills discounted, analyzed the history of the business transactions of the company with the debtors whose bills were discounted and the trend of payments made by the debtors in the past and also had taken into account the transactions occurring after the balance sheet date in assessing the recoverability of debtors for the bills discounted. • Ascertained the chances of crystallization of liability are probable / possible / remote and ensured appropriate disclosure under Notes on accounts.

**Information Other than the Financial Statements and Auditor's Report Thereon**

The Holding Company's Board of Directors is responsible for the other information. The other information comprises the information included in the holding company's annual report, but does not include the consolidated financial statements and our auditor's report thereon.

Our opinion on the consolidated financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this 'other information'; we are required to report that fact. We have nothing to report in this regard.

Management's Responsibility for the Consolidated financial statements:

The Holding Company's Board of Directors is responsible for the preparation and presentation of these Consolidated Financial Statements in term of the requirements of the Companies Act, 2013 ("the Act") that give a true and fair view of the consolidated financial position, consolidated financial performance, consolidated total comprehensive income, consolidated statement of changes in equity and consolidated cash flows of the Group including its associates, in accordance with the accounting principles generally accepted in India, including the Accounting Standards specified under Section 133 of the Act. The respective Board of Directors of the Companies included in the Group and of its associate are responsible for maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Group and its associate and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the consolidated financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error which have been used for the purpose of preparation of consolidated financial statements by the Directors of the Holding Company, as aforesaid.

In preparing the consolidated financial statements, the respective Management and Board of Directors of the companies included in the Group and its associate are responsible for assessing the ability of the group and of its associate to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the respective Board of Directors either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

The respective board of directors of the companies included in the group and of its associate are responsible for overseeing the financial reporting process of the group and of its associate.

**Auditor's Responsibility for the Audit of Consolidated financial statements:**

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal financial controls relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Act, we are also responsible for expressing our opinion on the internal financial controls with reference to the consolidated financial statements and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the ability of the group and its associate to continue as a going concern. If we conclude that material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the group and its associate to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group and its associate to express an opinion on the Consolidated Financial statements. For the foreign subsidiary included in the Consolidated Financial statements, which is unaudited as on the date of furnishing this report, the management of the holding company remain responsible for the direction, supervision and performance of the audit of the subsidiary company and for the associate included in the Consolidated



Financial statements, which is yet to be audited by other Independent auditors and remaining unaudited as on the date of furnishing this report, such other auditors remain responsible for the direction, supervision and performance of the audit carried out by them. We remain solely responsible for our audit opinion.

We communicate with those charged with governance of the Holding Company regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Other Matters

We did not audit the financial statements / information of 1 branch (Foreign branch) (In Russia) included in the standalone financial statements of the Company whose financial statements / financial information reflect total assets of Rs.10,26,57,218/- as at 31st March, 2024 and total revenues of Rs.85,28,91,152/- for the year ended on that date, as considered in the standalone financial statements. The financial statements/information of this branch have not been audited by us and has been audited by Russian Auditor whose audit report has been furnished to us and our opinion is based on those Financial Statements received from the Branch Office and certified by the Russian Auditor. Our opinion is not qualified / modified in respect of this matter.

The consolidated financial results includes the unaudited financial statements / financial information of 1 subsidiary whose financial statements / financial information reflect total assets of Rs.7,30,42,707/- as at 31st March, 2024, total income of Rs.11,17,37,579/-, total net loss after tax of Rs.13,59,691/-, total comprehensive income of Rs.5,12,956/- and cash inflows (net) of Rs.79,07,026/-for the year ended on that date, as considered in the consolidated financial statements, whose financial statements / financial information have not been audited by us. These financial statements / financial information are unaudited and have been furnished to us by the Management. Our opinion is not modified in respect of this matter.

The consolidated financial results also includes the Group's share of net profit after tax of Rs.1,64,25,474/- and total comprehensive income of Rs.1,60,98,847/- for the year ended 31st March, 2024, as considered in the consolidated financial statements, in respect of 1 associate, whose financial statements / financial information have not been audited as on the date of furnishing this report. These financial statements/ financial information are unaudited and have been furnished to us by the Management and our opinion on the Statement, in so far as it relates to the amounts and disclosures included in respect of these subsidiary and associate, is based solely on such unaudited financial statements/financial information. Our opinion is not modified in respect of this matter.

**Report on Other Legal and Regulatory Requirements:**

As required by section 143(3) of the Act, we report, to the extent applicable, that:

- a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purpose of our audit of the aforesaid consolidated financial statements.
- b) In our opinion proper books of account as required by law relating to the preparation of aforesaid consolidated financial statements have been kept so far as it appears from our examination of those books.
- c) The Consolidated Balance Sheet, the Consolidated Statement of Profit and Loss (including Other Comprehensive Income), Consolidated Statement of Changes in Equity and the Consolidated Statement of Cash Flows dealt with by this Report are in agreement with the relevant books of account maintained for the purpose of preparation of the Consolidated Financial Statements.
- d) In our opinion, the aforesaid consolidated financial statements comply with the Indian Accounting Standards specified under Section 133 of the Act read with relevant rules issued thereunder.
- e) On the basis of written representations received from the directors of the holding company as on March 31, 2024 taken on record by the Board of Directors of the holding company, none of the directors is disqualified as on March 31, 2024, from being appointed as a director in terms of Section 164(2) of the Act.
- f) With respect to the adequacy of the internal financial controls with reference to consolidated financial statements, the holding company has only one foreign subsidiary (*SKM Europe BV, Utrecht, The Netherlands*) and one Indian associate (*SKM Universal Marketing Company India Private Limited*). As regards the foreign subsidiary, it is a company incorporated outside India and has business operations outside India and hence the company is not a company under the Companies Act, 2013 and reporting on the adequacy of the internal financial controls over financial reporting regarding subsidiary is not warranted as the provisions are applicable only to Indian subsidiaries. As regards the Indian associate, as the financial statements of the associate have not been audited as on the date of furnishing the report, we are not in a position to report on the Internal Financial Controls over Financial Reporting on Consolidated Financial Statements.
- g) With respect to the other matters to be included in the Auditor's Report in accordance with the requirements of section 197(16) of the Act, as amended, in our opinion and according to the information and the explanations given to us, the remuneration paid / provided by the holding company during the year to its directors is in accordance with the provisions of section 197 of the Act.
- h) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:



- I. The Consolidated Financial Statements disclose the impact of pending litigations on the consolidated financial position of the Group. – Also Refer Note No 2(ii) of Notes on Accounts to the Consolidated financial statements;
- ii. The Group did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses and hence provisions are not warranted in consolidated financial statements.
- iii. There has been no delay in transferring amounts, required to be transferred, to the Investor Education and Protection Fund by the holding company.
- iv. a) The management has represented that, to the best of its knowledge and belief, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the holding company to or in any other persons or entities, including foreign entities (“Intermediaries”), with the understanding, whether recorded in writing or otherwise, that the intermediary shall:
 - directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever (“Ultimate Beneficiaries”) by or on behalf of the holding company or
 - provide any guarantee, security or the like to or on behalf of the Ultimate Beneficiaries.b) The management has represented, that, to the best of its knowledge and belief, no funds have been received by the holding company from any persons or entities, including foreign entities (“Funding Parties”), with the understanding, whether recorded in writing or otherwise, that the holding company shall:
 - directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever (“Ultimate Beneficiaries”) by or on behalf of the Funding Party or
 - provide any guarantee, security or the like from or on behalf of the Ultimate Beneficiaries; andc) Based on such audit procedures as considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the representations under sub-clause (iv) (a) and (iv) (b) contain any material mis-statement.
- v. The final dividend proposed, declared and paid by the company during the year is in compliance with Section 123 of the Act, as applicable.
- vi. The reporting under Rule 11 (g) of the Companies (Audit and Auditors) Rules, 2014 is applicable from 1st April 2023.

Based on our examination which included test checks, the holding company has used accounting softwares for maintaining its books of account, which have a feature of recording audit trail (edit log) facility and the same has operated throughout the year for all relevant transactions recorded in the respective software.



Further, for the periods where audit trail (edit log) facility was enabled and operated throughout the year for the respective accounting software, we did not come across any instance of the audit trail feature being tampered with.

- 2) As required by the Companies (Auditor's Report) Order, 2020 ("the Order"), issued by the Central Government of India in terms of sub-section (11) of section 143 of the Companies Act, 2013, we give in the "**Annexure - A**" a statement on the matters specified in paragraphs 3 and 4 of the Order, to the extent applicable.

Date : 22.05.2024

Place :Erode

For N.C. Rajagopal & Co.,
Chartered Accountants,
N.C.Vijay Kumar, Partner
Membership No : 208276
FRN : 003398S
UDIN: 24208276BKAJVB4696



“ANNEXURE A”

TO THE INDEPENDENT AUDITOR'S REPORT ON THE CONSOLIDATED INDAS FINANCIAL STATEMENTS OF SKM EGG PRODUCTS EXPORT (INDIA) LIMITED

Referred to in Paragraph 2 under the Heading of “Report on Other Legal and Regulatory Requirements” section of our report of even date

- 21) The company has only one foreign subsidiary (SKM Europe BV, Utrecht, The Netherlands) and one Indian associate (SKM Universal Marketing Company India Private Limited).
- a) As regards the foreign subsidiary, it is a company incorporated outside India and has business operations outside India and hence the company is not a company under the Companies Act, 2013 and hence is not required to furnish Companies (Auditor's Report) Order (CARO) report.
 - b) As regards the Indian associate, as the financial statements of the associate have not been audited as on the date of furnishing the report, and consequently the CARO report for the associate is not available on the date of this report.

Hence no qualifications or adverse remarks by the respective auditors in the Companies (Auditor's Report) Order (CARO) reports of the companies included in the consolidated financial statements were received as on the date of furnishing this report.

Date : 22.05.2024
Place :Erode

For N.C. Rajagopal & Co.,
Chartered Accountants,
N.C.Vijay Kumar, Partner
Membership No : 208276
FRN : 003398S
UDIN: 24208276BKAJVB4696

**CONSOLIDATED BALANCE SHEET AS AT 31.03.2024**

CIN : L01222TZ1995PLC006025

₹ Lakhs

Particulars	Note No.	As at 31.03.2024	As at 31.03.2023
I. Assets			
(1) Non-current assets			
(a) Property, Plant and Equipment			
(i) Own assets	3(a)	10,499.74	6,262.99
(ii) Right to Use Lease Assets	3(b)	878.24	1,250.69
(b) Capital work-in-progress	3(c)	3,439.21	2,365.96
(c) Financial Assets			
(i) Investments	4(a)	191.13	30.15
(ii) Loans	4(b)	16.38	13.98
(iii) Other Financial Assets	4(c)	267.72	230.04
(d) Deferred tax assets (net)		-	-
(e) Other non-current assets		-	-
(2) Current assets			
(a) Inventories	5	11,421.15	11,878.12
(b) Financial Assets			
(i) Investments	6(a)	572.99	403.62
(ii) Trade receivables	6(b)	2,891.56	3,790.11
(iii) Cash and cash equivalents	6(c)	14,019.73	5,827.13
(iv) Bank balances other than (iii) above	6(d)	89.24	67.64
(v) Other Financial Assets	6(e)	456.18	-
(c) Other current assets	7	2,173.61	1,762.86
Total Assets		46,916.89	33,883.28
II. EQUITY AND LIABILITIES			
<u>Equity</u>			
(a) Equity Share capital	8(a)	2,633.00	2,633.00
(b) Other Equity	8(b)	25,064.51	16,833.20
LIABILITIES			
(1) Non-current liabilities			
(a) Financial Liabilities			
(i) Borrowings	9(a)	4,857.53	1,404.40
(ia) Lease Liabilities - Non current	9(b)	586.58	938.68
(b) Provisions	10	51.81	24.71
(c) Deferred tax liabilities (Net)	11	731.26	541.50
(d) Minority Interest	12	66.44	65.54
(2) Current liabilities			
(a) Financial Liabilities			
(i) Borrowings	13(a)	8,762.25	7,393.82
(ia) Lease Liabilities	13(b)	408.00	432.08
(ii) Trade payables	13(c)		
(A) total outstanding dues of micro enterprises and small enterprises; and		129.69	23.57
(B) total outstanding dues of creditors other than micro enterprises and small enterprises.		2,228.38	2,408.54
(iii) Other Financial Liabilities	13(d)	89.24	67.64
(b) Other current liabilities	14	680.54	672.86
(c) Provisions	15	627.67	443.74
Total Equity and Liabilities		46,916.89	33,883.28

See accompanying Notes to the Financial Statements

FOR AND ON BEHALF OF THE BOARD

For **N.C.RAJAGOPAL & CO.,**
Chartered Accountant
N.C.VIJAY KUMAR (Partner)
Membership No. : 208276
Firm Reg. No.: 003398S

SKM MAEILANANDAN
Executive Chairman & Whole Time Director

SKM SHREE SHIVKUMAR
Managing Director

K.S.VENKATACHALAPATHY
Chief Financial Officer
Membership No. : 029064

P. SEKAR
Company Secretary
Membership No.F10744

Place : Erode
Date : 22.05.2024

**CONSOLIDATED STATEMENT OF PROFIT & LOSS FOR THE PERIOD ENDED 31.03.2024**

CIN : L01222TZ1995PLC006025

₹ Lakhs

Particulars	Note No.	2023-24	2022-23
Revenue from operations	18	70,112.60	66,177.04
Other Income	19	1,157.69	125.43
Total Income		71,270.29	66,302.46
EXPENSES			
Cost of materials consumed	20	39,128.30	33,967.55
Purchases of Stock-in-Trade	21	4,638.19	6,238.12
Changes in inventories of finished goods, Stock-in -Trade and work-in-progress	22	(624.38)	(288.89)
Employee benefits expense	23	3,340.55	2,468.48
Finance costs	24	1,031.76	941.00
Depreciation and amortization expense	25	3,973.90	3,362.14
Other expenses	26	8,552.35	9,375.02
Total Expenses		60,040.67	56,063.41
Profit before Share of Profit / (Loss) of Associates		11,229.62	10,239.05
Share of Profit / (Loss) of Associates		164.25	13.91
Profit / (loss) before tax		11,393.87	10,252.97
<u>Tax expense:</u>			
(1) Current tax	27 (i)	2,776.67	2,655.92
(2) Deferred tax	27 (ii)	77.95	(1.84)
Profit / (Loss) for the Year		8,539.25	7,598.88
Other Comprehensive Income			
(A) Items that will not be reclassified to Statement of Profit and loss			
i) Remeasurement of Defined Benefit Plans & Others		(11.92)	1.63
ii) translating the financial statements of a foreign operation		22.03	5.36
iii) Share in OCI of Associate		(3.27)	0.23
iv) Income tax relating to items that will not be reclassified to Statement of Profit and loss		(3.00)	0.41

**CONSOLIDATED STATEMENT OF PROFIT & LOSS FOR THE PERIOD ENDED 31.03.2024**

CIN : L01222TZ1995PLC006025

₹ Lakhs

Particulars	Note No.	2023-24	2022-23
(B) Items that will be reclassified to Statement of Profit and loss			
(i) Effective portion of cash flow hedge on derivative instruments		456.18	-
(ii) Income tax relating to items that will be reclassified to Statement of Profit and loss		114.81	-
Total Comprehensive Income for the year		8,890.47	7,605.68
Net Profit attributable to :			
(i) Owners of the Company		8,541.65	7,592.48
(ii) Non controlling Interest		(2.40)	6.40
Other Comprehensive Income attributable to :			
(i) Owners of the Company		347.91	6.00
(ii) Non controlling Interest		3.30	0.80
Total Comprehensive Income attributable to :			
(i) Owners of the Company		8,889.56	7,598.48
(ii) Non controlling Interest		0.91	7.21
Earning per equity share of face value Rs.10 each	28		
Basic (in Rs.)		32.44	28.84
Diluted (in Rs.)		32.44	28.84

See accompanying Notes to the Financial Statements

FOR AND ON BEHALF OF THE BOARD

For N.C.RAJAGOPAL & CO.,

Chartered Accountant

N.C.VIJAY KUMAR

Partner

Membership No. : 208276

Firm Reg. No.: 003398S

SKM MAEILANANDAN

Executive Chairman & Whole Time Director

SKM SHREE SHIVKUMAR

Managing Director

K.S.VENKATACHALAPATHY

Chief Financial Officer

Membership No. : 029064

P. SEKAR

Company Secretary

Membership No.F10744

Place : Erode

Date :22.05.2024



SKM EGG PRODUCTS EXPORT (INDIA) LIMITED

Consolidated Statement Of Changes In Equity

A. Equity Share Capital

₹ Lakhs

Balance at the beginning of the reporting period (i.e. 1st April, 2023)	Changes in equity share capital during the year 2023-24	Balance at the end of the reporting period (i.e. 31st March, 2024)
2,633.00	-	2,633.00
Balance at the beginning of the reporting period (i.e. 1st April, 2022)	Changes in equity share capital during the year 2022-23	Balance at the end of the reporting period (i.e. 31st March, 2023)
2,633.00	-	2,633.00

B. Other Equity

As on 31st March 2024

₹ Lakhs

Particulars	Reserves & Surplus				
	Securities Premium	General Reserve	Retained Earnings	Other Comprehensive Income	Total
Balance at the beginning of the reporting period (i.e. 1st April, 2023)	13.37	4.33	16,764.66	50.84	16,833.20
Total Comprehensive Income for the year	-	-	8,541.65	347.91	8,889.56
Dividends	-	-	(658.25)	-	(658.25)
Balance at the end of the reporting period (i.e. 31st March, 2024)	13.37	4.33	24,648.06	398.75	25,064.51



SKM EGG PRODUCTS EXPORT (INDIA) LIMITED

Consolidated Statement Of Changes In Equity

As on 31st March 2023

₹ Lakhs

Particulars	Reserves & Surplus				
	Securities Premium	General Reserve	Retained Earnings	Other Comprehensive Income	Total
Balance at the beginning of the reporting period (i.e. 1st April, 2022)	13.37	4.33	9,303.82	44.84	9,366.37
Total Comprehensive Income for the year	-	-	7,592.48	6.00	7,598.48
Dividends	-	-	(131.65)	-	(131.65)
Balance at the end of the reporting period (i.e. 31st March, 2023)	13.37	4.33	16,764.66	50.84	16,833.20

as per our report of even date

FOR AND ON BEHALF OF THE BOARD

For N.C.RAJAGOPAL & CO.,

Chartered Accountant

N.C.VIJAY KUMAR

Partner

Membership No. : 208276

Firm Reg. No.: 003398S

SKM MAEILANANDAN

Executive Chairman & Whole Time Director

SKM SHREE SHIVKUMAR

Managing Director

K.S.VENKATACHALAPATHY

Chief Financial Officer

Membership No. : 029064

P SEKAR

Company Secretary

Membership No.F10744

Place : Erode

Date : 22.05.2024



CONSOLIDATED CASH FLOW STATEMENT FOR THE PERIOD FROM 1ST APRIL, 2023 TO 31ST MARCH, 2024

₹ Lakhs

Particulars	2023-24	2022-23
CASH FLOW FROM OPERATING ACTIVITIES:		
Net Profit Before Tax as per Statement of Profit and Loss	11,393.87	10,252.97
<u>Adjusted for:</u>		
Depreciation	1,150.58	1,053.96
Financial Cost	1,031.76	941.00
(Profit) / Loss on Sale of Assets	(7.71)	-
(Profit) / Loss on Sale of Investments	(23.50)	2.28
Unrealised (Gain) / Loss on Investments	(63.52)	(9.47)
Asset Retirement by Scrapping (write-off)	104.87	-
Share of (Profit) / Loss of Associate	(164.25)	(13.91)
Interest income	(810.38)	(87.49)
Operating profit before Working capital changes	12,611.72	12,139.34
<u>Adjusted for:</u>		
Trade & Other Receivables	(8.47)	(2,535.12)
Inventories	456.97	(2,594.06)
Trade & Other Payables	632.56	1,661.11
Cash Generated from Operations	13,692.78	8,671.27
Taxes Paid (Net)	(2,776.67)	(2,655.92)
Net Cash from / (used in) Operating Activities - A	10,916.11	6,015.35
CASH FLOW FROM INVESTING ACTIVITIES:		
Purchase of Fixed Assets	(6,175.56)	(2,825.08)
Purchase of Current Investments	(500.02)	(394.47)
Sale of Current Investments	417.67	1,545.09
Sale of Fixed Assets	41.59	-
Interest income	810.38	87.49
Net Cash from / (used in) Investing Activities - B	(5,405.94)	(1,586.97)
CASH FLOW FROM FINANCING ACTIVITIES:		
Long Term Borrowings	3,435.47	905.98
Financial Cost (excluding Interest on lease Liability)	(941.05)	(857.11)
Lease Liability paid	(518.22)	(410.41)
Dividend paid	(658.25)	(131.65)
Net Cash Flow from / (used in) Financing Activities - C	1,317.95	(493.19)
Net Increase / (Decrease) in Cash and Cash equivalents	6,828.11	3,935.19
Opening Cash & Cash Equivalents	(1,345.54)	(5,280.73)
Closing Cash & Cash Equivalents	5,482.57	(1,345.54)

1. Cash and cash equivalents include cash on hand, in banks and demand deposits with banks, net of outstanding bank overdrafts that are repayable on demand and are considered part of the Company's cash management system. Also refer note number 6(c) & 6(d).

2. The above cashflow statement has been prepared following the indirect method as set out in Ind AS-7.
as per our report of even date

FOR AND ON BEHALF OF THE BOARD

For N.C.RAJAGOPAL & CO.,
Chartered Accountant
N.C.VIJAY KUMAR
Partner
Membership No. : 208276
Firm Reg. No.: 003398S

SKM MAELANANDAN
Executive Chairman & Whole Time Director

SKM SHREE SHIVKUMAR
Managing Director

K.S.VENKATACHALAPATHY
Chief Financial Officer
Membership No. : 029064

P. SEKAR
Company Secretary
Membership No.F10744

Place : Erode
Date : 22.05.2024

**NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2024****1. GENERAL INFORMATION & COMPANY BACKGROUND**

SKM Egg Products Export India Limited ("the company") is a public listed company incorporated and domiciled in India.

The address of its registered office is No.133, 133/1, Gandhiji Street, Erode - 638001 and the address of the principal place of business is Cholangapalayam, Erode which addresses are also disclosed in the introduction to the annual report. The Company has its primary listing with Bombay Stock Exchange and National Stock Exchange in India.

The Company is an Export Oriented Undertaking engaged in the production and sale of eggs and manufacture and sale of Egg Products. The company's revenue is mainly on account of export of egg products.

SIGNIFICANT ACCOUNTING POLICIES:**BASIS OF PREPARATION AND PRESENTATION:**

The financial statements have been prepared on the historical cost basis except for the following assets and liabilities which have been measured at fair value amount :

- i) Certain financial assets and liabilities (including derivative instruments)
- ii) Defined benefit plans - plan assets

Historical cost is generally based on the fair value of the consideration given in exchange for goods and services. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. All assets and liabilities have been classified as current and non-current as per the Company's normal operating cycle. Based on the nature of transactions involving sale of goods to customers and time elapsed between deployment of resources and the realisation in cash and cash equivalents, the Company has considered an operating cycle of 12 months.

STATEMENT OF COMPLIANCE:

These financial statements have been prepared in accordance with Indian Accounting Standards ('Ind AS'), notified under Section 133 of the Companies Act, 2013 (the Act), read with the Companies (Indian Accounting Standards) Rules, 2015 and other relevant provisions of the Act.

Effective April 1, 2017, the Company has adopted all the applicable Ind AS Standards and the adoption was carried out in accordance with Ind AS 101, First Time adoption of Indian Accounting Standards, with April 1, 2016 as the transition date. The transition was carried out from Indian Accounting Principles Generally Accepted in India (Indian GAAP), as prescribed under Section 133 of the Act, read with Rule 7 of the Companies (Accounts) Rules, 2014 (Indian GAAP), which was the previous GAAP.

Accounting Policies have been consistently applied except where a newly issued Accounting Standard is initially adopted or a revision to an existing Accounting Standard requires a change in the Accounting Policy hitherto adopted.

**NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2024****FUNCTIONAL AND PRESENTATION CURRENCY**

The Financial statement are presented in indian rupees, the national currency of India which is the functional currency of the company.

Figures are rounded off to the nearest lakhs with two decimal places.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:**Inventories**

Inventories are valued in line with Ind AS 2 - Inventories. Items of inventories are measured at lower of cost and net realisable value after providing for obsolescence, if any, except in case of by-products which are valued at net realisable value. Cost of inventories comprises of cost of purchase, cost of conversion and other costs including manufacturing overheads net of recoverable taxes incurred in bringing them to their respective present location and condition. . The formula used for arriving at the cost for various items of inventories are as follows:

- | | |
|------------------------|-------------------------|
| i) Raw materials | - Weighted Average Cost |
| ii) Packing Materials | - Weighted Average Cost |
| iii) Additives | - Weighted Average Cost |
| iv) Stores & Spares | - Weighted Average Cost |
| v) Semi-finished goods | - Weighted Average Cost |
| vi) Finished goods | - Weighted Average Cost |
| vii) Livestock | - Weighted Average Cost |

Revenue Recognition

Revenue from sale of goods is recognised when the significant risks and rewards of ownership have been transferred to the buyer, recovery of the consideration is probable, the associated cost can be estimated reliably, there is no continuing effective control or managerial involvement with the goods, and the amount of revenue can be measured reliably.

Revenue from sale of goods is measured at the fair value of consideration received or receivable, taking into account contractually defined terms of payment and excluding taxes or duties collected on behalf of the government.

Revenue is recognised and expenditure is accounted for on their accrual

Sales of Finished goods, Eggs, Birds & Feeds are recognised on accrual basis and are accounted for in the books of accounts on the dates on which the goods are actually despatched from the Factory, Farm, Feedmill respectively.

Interest Income :

Interest income from a financial asset is recognised using effective interest rate method.

Dividend Income :

Revenue on account of dividend income recognised when the Company's right to receive the payment has been established.

**NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2024****Government grants / assistance :**

Revenue from grants, subsidies or government assistance in any form are recognised when the Company's right to receive the payment has been established.

Grants from the Government are recognized at their fair market value where there is a reasonable assurance that the grant will be received and the company will comply with all attached conditions. Government grants receivable as compensation for expenses or financial support are recognized in profit or loss of the period in which it becomes available.

Government grants relating to the purchase of property, plant and equipment are shown by way of reduction from the value of the Property, plant & equipment in accordance with the amended Ind AS 20 - Accounting for Government Grants and Disclosure of Government Assistance.

Finance Cost

Borrowing costs include exchange differences arising from foreign currency borrowings to the extent they are regarded as an adjustment to the interest cost. Borrowing costs that are directly attributable to the acquisition or construction of qualifying assets are capitalised as part of the cost of such assets. A qualifying asset is one that necessarily takes substantial period of time to get ready for its intended use.

Interest income earned on the temporary investment of specific borrowings pending their expenditure on qualifying assets is deducted from the borrowing costs eligible for capitalisation.

All other borrowing costs are charged to the Statement of Profit and Loss for the period for which they are incurred.

Leases

The Company, as a lessee, recognises a right of use asset and a lease liability for its leasing arrangements, if the contract conveys the right to control the use of an identified asset.

The contract conveys the right to control the use of an identified asset, if it involves the use of an identified asset and the Company has substantially all of the economic benefits from use of the asset and has right to direct the use of the identified asset. The cost of the right of use asset shall comprise of the amount of the initial measurement of the lease liability adjusted for any lease payments made at or before the commencement date plus any initial direct costs incurred. The right-of-use assets is subsequently measured at cost less any accumulated depreciation, accumulated impairment losses, if any and adjusted for any remeasurement of the lease liability. The right-of-use assets is depreciated using the straight-line method from the commencement date over the shorter of lease term or useful life of right-of-use asset.

The Company measures the lease liability at the present value of the lease payments that are not paid at the commencement date of the lease. The lease payments are discounted using the interest rate implicit in the lease, if that rate can be readily determined. If that rate cannot be readily determined, the Company uses incremental borrowing rate.

Lease liability and ROU asset are separately presented in the Balance Sheet and lease payments are classified as financing cash flows. At the date of commencement of the lease, the Company recognizes a right-of-use ("ROU") asset representing its right to use the underlying asset for the lease term and a lease liability for all lease arrangements in which it is a lessee

**NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2024**

except for leases with a term of 12 months or less (short term leases) and leases for which the underlying assets is of low value. For short-term and low value leases, the Company recognises the lease payments as an operating expense on a straight-line basis over the lease term.

Earnings Per Share

Basic earnings per share is calculated by dividing the net profit after tax by the weighted average number of equity shares outstanding during the year. Diluted earnings per share adjusts the figures used in determination of basic earnings per share to take into account the conversion of all dilutive potential equity shares. Since the company does not have any potential equity shares, the basic earnings per share and diluted earnings per share are the same for the company.

Provisions

Provisions are recognised when the company has a present obligation (legal or constructive) as a result of a past event, if it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation.

If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, when appropriate, the risks specific to the liability. When discounting is used, the increase in the provision due to the passage of time is recognised as a finance cost.

Tax Expenses:

The tax expense for the period comprises current and deferred tax. Tax is recognised in Statement of Profit and Loss, except to the extent that it relates to items recognised in the comprehensive income or equity. In which case, the tax is also recognised in other comprehensive income or equity.

Current tax:

Current tax assets and liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities based on the tax rates that are enacted or substantively enacted at the Balance Sheet date.

The current income tax expense includes income taxes payable by the Company and its branch in overseas. The current tax payable by the Company in India is the Indian income tax payable on income earned in India and from overseas branch. Current income tax payable by overseas branch of the Company is computed in accordance with the tax laws applicable in the jurisdiction in which the respective branch operates. The taxes paid are generally available for set off against the Indian income tax liability of the Company's worldwide income.

Advance taxes and provisions for current income taxes are presented in the balance sheet after off-setting advance tax paid and income tax provision arising in the same tax jurisdiction and where the relevant tax paying unit intends to settle the asset and liability on a net basis.

**NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2024****Deferred Tax:**

Deferred tax is recognised on temporary differences between the carrying amounts of assets and liabilities in the financial statements and the corresponding tax bases used in the computation of taxable profit.

Deferred tax liabilities and assets are measured at the tax rates that are expected to apply in the period in which the liability is settled or the asset realised, based on tax rates (and tax laws) that have been enacted or substantively enacted by the end of the reporting period. The carrying amount of Deferred tax liabilities and assets are reviewed at the end of each reporting period.

Cash Flow Statements

Cash Flow Statement has been prepared under "Indirect Method". For the purposes of the cash flow statement, cash and cash equivalents include cash on hand, in banks and demand deposits with banks, net of outstanding bank overdrafts that are repayable on demand and are considered part of the Company's cash management system. In the balance sheet, bank overdrafts are presented under borrowings within current liabilities.

Property, plant & equipment:

Property, plant & equipment are stated at cost, net of recoverable taxes, trade discount and rebates less accumulated depreciation and impairment losses, if any. Such cost includes purchase price, borrowing cost and any cost directly attributable to bringing the assets to its working condition for its intended use, net changes on foreign exchange contracts and adjustments arising from exchange rate variations attributable to the assets.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the entity and the cost can be measured reliably.

Expenses incurred relating to project, net of income earned during the project development stage prior to its intended use are considered as pre-operative expenses and disclosed under Capital Work-in-progress

Depreciation on property, plant & equipment is provided on straight line method as per the useful life prescribed in Schedule II of the Companies Act 2013, except for imported plant & machinery for which the useful life has been taken based upon the technical evaluation by the expert committee on the useful life of the assets. In respect of assets added/adjusted during the year, depreciation is provided on pro-rata basis.

The residual values, useful lives and method of depreciation of property, plant & equipment are reviewed at each financial year end and adjusted prospectively, if appropriate.

Gains or losses arising from derecognition of a property, plant & equipment are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the Statement of Profit and Loss when the asset is derecognised.

Foreign currencies transactions and translation:

Transactions in foreign currencies are recorded at the exchange rate prevailing on the dates of transaction. Monetary assets and liabilities denominated in foreign currencies are translated at the functional currency closing rates of exchange at the reporting rate.

**NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2024**

Exchange differences arising on settlement or translation of monetary items are recognised in Statement of Profit and Loss except to the extent of exchange differences which are regarded as an adjustment to interest costs on foreign currency borrowings that are directly attributable to the acquisition or construction of qualifying assets, are capitalized as cost of assets.

Non-monetary items that are measured in terms of historical cost in a foreign currency are recorded using exchange rates at the date of transaction. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value was measured. The gain or loss arising on translation of non-monetary items measured at fair value is treated in line with recognition of the gain or loss on the change in fair value of the item (i.e., translation differences on items whose fair value gain or loss is recognised in OCI or Statement of Profit and Loss are also recognised in OCI or Statement of Profit and Loss, respectively.

Employee Benefits Expense:**Short Term Employment Benefits:**

The undiscounted amount of short term employee benefits expected to be paid in exchange for the services rendered by employees are recognised as an expense during the period when the employees render the services.

Post-Employment Benefits:**Defined Contribution Plans:**

A defined contribution plan is a post-employment benefit plan under which the company pays specified contributions to the specific entity. The company makes specified monthly contributions towards Provident Fund and Pension Scheme. The company's contribution is recognised as an expense in the Statement of Profit and Loss during the period in which the employee renders the related service.

Defined benefit plans:

The gratuity liability amount is contributed to the gratuity fund approved by the respective IT authorities. The present value of the obligation is determined based on actuarial valuation using the Projected Unit credit method, which recognizes each period of service as giving rise to additional unit of employee benefit entitlement and measures each unit separately to build up the final obligation.

The estimates of rate of escalation in salary considered in actuarial valuation, take into account inflation, seniority, promotion and other relevant factors including supply and demand in the employment market.

Impairment of non-financial assets - property, plant and equipment:

The company assesses at each reporting date as to whether there is any indication that any property, plant and equipment or group of assets, called cash generating units (CGU) may be impaired. If any such indication exists, the recoverable amount of an asset or CGU is estimated to determine the extent of impairment, if any. When it is not possible to estimate the recoverable amount of an individual asset, the company estimates the recoverable amount of the CGU to which the asset belongs.

**NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2024**

An impairment loss is recognised in the Statement of Profit and Loss to the extent, asset's carrying amount exceeds the recoverable amount. The recoverable amount is the higher of an asset's fair value less cost of disposal and value in use. Value in use is based on the estimated future cash flows, discounted to their present value using pre-tax discount rate that reflects current market assessments of the time value of money and risk specific to the assets. The impairment loss recognised in prior accounting period is reversed if there has been a change in the estimate of recoverable amount.

Events after the reporting period

Where events occurring after the Balance Sheet date provide evidence of conditions that existed at the end of the reporting period, the impact of such events is adjusted within the financial statements. Otherwise, events after the Balance Sheet date of material size and of nature are only disclosed.

CRITICAL ACCOUNTING JUDGMENTS AND KEY SOURCES OF ESTIMATION UNCERTAINTY

The preparation of the company's financial statement requires management to make judgement, estimates and assumptions that affect the reported amount of revenue, expenses, assets and liabilities and the accompanying disclosures. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of assets or liabilities affected in future periods.

Depreciation / amortisation and useful lives of property, plant and equipment and Livestock:

Property, plant and equipment / Livestock are depreciated / amortised over their estimated useful lives, after taking into account estimated residual value. Management reviews the estimated useful lives and residual values of the assets annually in order to determine the amount of depreciation / amortisation to be recorded during any reporting period. The useful lives and residual values are based on the company's historical experience with similar assets and take into account anticipated technological changes. The depreciation / amortisation for the future periods is revised if there are significant changes from previous estimates.

Recoverability of trade receivable:

Judgements are required in assessing the recoverability of overdue trade receivables and determining whether a provision against those receivables is required. Factors considered include the credit rating of the counterparty, the amount and timing of anticipated future payments and any possible actions that can be taken to mitigate the risk of non-payment.

Provisions:

Provisions and liabilities are recognized in the period when it becomes probable that there will be a future outflow of funds resulting from past operations or events and the amount of cash outflow can be reliably estimated. The timing of recognition and quantification of the liability requires the application of judgement to existing facts and circumstances, which can be subject to change. The carrying amounts of provisions and liabilities are reviewed regularly and revised to take account of changing facts and circumstances.

Impairment of non-financial assets:

The company assesses at each reporting date whether there is an indication that an asset may be impaired. If any indication exists, the company estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or


NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2024

Cash Generating Units (CGU's) fair value less costs of disposal and its value in use. It is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or a group of assets. Where the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

In assessing value in use, the estimated future cash flows are discounted to their present value using pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs of disposal, recent market transactions are taken into account, if no such transactions can be identified, an appropriate valuation model is used.

Impairment of financial assets:

The impairment provisions for financial assets are based on assumptions about risk of default and expected cash loss rates. The company uses judgement in making these assumptions and selecting the inputs to the impairment calculation, based on company's past history, existing market conditions as well as forward looking estimates at the end of each reporting period.

Accounting for Government Grants and Disclosure of Government Assistance:

The Government Grants are accounted in line with IND AS 20 - "Accounting for Government Grants and Disclosure of Government Assistance".

Unfulfilled conditions and other contingencies attaching to government assistance that has been recognised - Nil.

The grant was received towards the acquisition of PPE (Property, Plant & equipments) during the years spanning from 2018-19 to 2020-21 and accordingly treated as a capital grant and adjusted against the cost. The value of Property, Plant & Equipments is disclosed net of government grants received from MOFPI (Ministry of Food Processing Industries) of Rs.488.72 lakhs.

APPROVAL OF FINANCIAL STATEMENTS:

The Financial Statements were approved for issue by the board of directors at their meeting held on 22.05.2024.

DETAILS OF LOANS GIVEN, INVESTMENTS MADE AND GUARANTEE GIVEN COVERED UNDER SECTION 186(4) OF THE COMPANIES ACT 2013

i) Loans given - Nil

ii) Investments made

Particulars	No of Shares	Face Value
SKM Universal Marketing Company India Private Limited - Associate Company	7,89,700	Rs.78,70,000

iii) Corporate Guarantees - Nil

**NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2024****Ind AS - 12 - Income Taxes**

Consequent to the appeal preferred by the income tax department with the Honourable ITAT, Chennai for the Assessment Year 2014-15, the appeal hitherto allowed in favour of the company by CIT (Appeals) was dismissed by the Income Tax Appellate Tribunal and verdict was pronounced in favour of the income tax department. Hence, an amount of Rs.80.66 lakhs demand (net of refund receivable) had arisen. However, the company had filed an appeal against this ITAT order with the High Court of Chennai. Since the company is confident of coming out successful in the Appeals as per the advice taken from the legal experts, no provision have been made in the books for the said income tax liability and disclosed as a contingent liability.

In the earlier years, the carried forward losses under the Income Tax Act, 1961 of the earlier assessment years amounting to Rs.3.59 crores have been reduced by the Assessing Officer while completing the assessment for the A.Y.2013-14 by making some adjustments to the returned Loss and that the Company has preferred appeals before the immediate superior authority which appeals are pending for disposal as on the date of the financial reports and since the adjustments have resulted only in the reduction of carry forward losses, there is no immediate demand raised and hence, conservatively the said losses have not been considered while filing return of income for the relevant assessment years and that the tax impact on account of the said issue would be approximately Rs.1.20 crores. The matter is still pending before the Commissioner of Income Tax Appeals - NFAC, New Delhi for disposal.

During the financial year 2021-22, a search operation was carried out by the Investigation Wing, Chennai on the company. The search related assessment for the AY 2021-22 & AY 2022-23 was completed and a demand of Rs. 211.53 lakhs & 143.46 lakhs was raised in the said assessment. Out of this, 20% of the demand was paid and appeal has been preferred with Commissioner of Income Tax (Appeals) - 20, Chennai against the Assessment order passed by the Assessing Officer. Presently demand of Rs.169.22 lakhs (for AY 2021-22) & Rs.114.77 lakhs (for AY 2022-23) respectively is outstanding for the above cited years. Since the company is confident of coming out successful in the Appeals as per the advice taken from the legal experts, no provision have been made in the books for the said income tax liability and disclosed as a contingent liability.

2. CONTINGENT LIABILITIES & COMMITMENTS:

₹ Lakhs

Particulars	As at 31.03.2024	As at 31.03.2023
a) Claims against the company / disputed liabilities not acknowledged as debts:		
i) Income Tax Liability	364.65	80.66
ii) Service Tax Liability	90.97	90.97
iii) Excise Duty Liability	-	-
b) Other money for which the Company is contingently liable:		
i) Liability in respect of bills discounted with banks	1,180.73	2,406.59

No provision has been made in respect of the above demand of Excise Duties and Service Tax, for which the company has filed appeals with various Higher Appellate Forums, against the orders of the Lower Authorities since the company is confident of coming out successful in the Appeals as per the advice taken from the legal experts.



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2024

03. CONSOLIDATED PROPERTY, PLANT & EQUIPMENT

₹ Lakhs

S. No.	Particulars	Gross Block			Depreciation			Net Block	
		01.04.2023	Addition during the year	Deduction during the year	31.03.2024	01.04.2023	Depreciation for the year	31.03.2024	31.03.2023
(a)	Tangible Assets								
	(Own assets)								
	Land	373.67	120.30	-	493.97	-	-	493.97	373.67
	Building	4,583.04	1,229.38	199.68	5,612.74	2,171.25	146.91	3,396.83	2,411.79
	Plant & Machinery	9,914.57	2,913.50	148.81	12,679.26	7,134.70	391.48	5,294.45	2,779.86
	Electrical Installation and equipments	772.76	224.32	44.19	952.89	715.17	16.67	263.56	57.58
	Lab Equipment	409.88	22.70	-	432.58	333.16	25.55	73.87	76.72
	Office Equipment	184.19	33.22	-	217.40	166.03	7.26	44.11	18.15
	Computers	391.33	30.99	-	422.32	326.24	33.90	62.19	65.10
	Furniture & Fixtures	125.95	8.64	-	134.59	94.47	7.18	32.94	31.49
(b)	Motor Vehicles	804.72	519.26	82.66	1,241.32	356.09	97.87	837.82	448.63
	SUB TOTAL (a)	17,560.10	5,102.32	475.33	22,187.08	11,297.11	726.81	10,499.74	6,262.99
	Tangible Assets								
	(Right to Use Assets)								
	Plant & Machinery	2,102.66	51.33	-	2,153.98	851.97	423.77	878.24	1,250.69
	SUB TOTAL (b)	2,102.66	51.33	-	2,153.98	851.97	423.77	878.24	1,250.69
(c)	Capital Work-in-progress								
	Plant & Machinery	1,638.07	2,875.62	2,858.38	1,655.30	-	-	1,655.30	1,638.07
	Others	727.89	2,573.47	1,517.46	1,783.91	-	-	1,783.91	727.89
	SUB TOTAL (c)	2,365.96	5,449.09	4,375.84	3,439.21	-	-	3,439.21	2,365.96
	Total (a+b+c)	22,028.72	10,602.73	4,851.17	27,780.27	12,149.08	1,150.58	14,817.19	9,879.64
	(Current Year)	18,252.97	4,036.78	261.03	22,028.72	11,095.12	1,053.96	9,879.64	7,157.85
	(Previous Year)								

**NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2024****Depreciation:**

Depreciation has been provided under Straight Line Method on the basis of useful lives prescribed under Schedule II of the Companies Act, 2013, except for the Imported Plant & Machinery, whose useful life is different from that prescribed in Schedule II of the Companies Act, 2013 and its useful life is adopted on the basis of engineering & other expert guidance and depreciated accordingly as follows:

Imported Plant & Machinery acquired upto 31.03.2007	Useful life - 25 years
---	------------------------

Imported Plant & Machinery acquired from 01.04.2007 to 31.03.2015	Useful life - 20 years
---	------------------------

Impairment of Assets :

The recoverable amount of the CGU is determined on the basis of Fair Value less Cost of Disposal (FVLCD). The FVLCD of the CGU is determined based on the market capitalization approach, using the turnover and earnings multiples derived from observable market data. The fair value measurement is categorized as a level 3 fair value based on the inputs in the valuation techniques used.

Based on the above, no impairment was identified as of March 31, 2024 and 2023 as the recoverable value of the CGUs exceeded the carrying value. Further, none of the CGU's tested for impairment as of March 31, 2024 and 2023 were at risk of impairment. An analysis of the calculation's sensitivity to a change in the key parameters (revenue growth, operating margin, discount rate and long-term growth rate) based on reasonably probable assumptions, did not identify any probable scenarios where the CGU's recoverable amount would fall below its carrying amount.

Mortgage / Charge on Property, plant & equipments:

Plant & Machinery are under the first charge on account of the Term Loan with banks.

The property, plant & equipments are under the second charge for short term borrowings with banks.

Government Grants:

The value of property, plant & equipments is disclosed net of government grants received from MOFPI (Ministry of Food Processing Industries) of Rs.488.72 Lakhs during 2018-19 to 2020-21.



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2024

₹ Lakhs

Particulars	As at 31.03.2024	As at 31.03.2023
04(a) INVESTMENTS		
Investment measured at cost: (Accounted using equity method)		
<u>In equity shares of associate company:</u>		
SKM Universal Marketing Company India Private Limited of Rs.10 each		
Number of Units (Absolute Numbers)	7,89,700	7,89,700
Value (Rs)	118.46	118.46
Intrinsic value of investment	78.56	78.56
Add: Goodwill	39.90	39.90
	118.46	118.46
Add: Share in Securities Premium	9.37	9.37
	127.82	127.82
Add: Share in Other Equity upto previous year	(97.68)	(111.82)
	30.15	16.00
Add: Share in Other Equity for the year	160.99	14.14
Value (Rs)	191.13	30.15
Aggregate amount of quoted investments	-	-
Aggregate amount of unquoted investments	191.13	30.15
Investment measured at cost	191.13	30.15
Total	191.13	30.15

The details of associate along with proportion of ownership interest held is disclosed below:

Name of the Enterprise / Nature of relationship	Country of Incorporation	Proportion of ownership interest
SKM Universal Marketing Company India Private Limited - Associate	India	26%
04(b) LOANS (UNSECURED AND CONSIDERED GOOD)		
Advances	16.38	13.98
Total	16.38	13.98
04(c) OTHER FINANCIAL ASSETS - NON CURRENT		
Security Deposits	143.15	103.02
Rental Caution Deposits	123.57	127.02
Corpus Fund	1.00	-
Total	267.72	230.04



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2024

₹ Lakhs

Particulars	As at 31.03.2024	As at 31.03.2023
05. INVENTORIES		
Raw Material, additives & packing materials	2,301.86	2,340.91
Finished Goods	5,901.26	5,162.12
Stock in Trade	449.32	709.82
Stores and spares & consumables	614.27	617.83
Livestock - Birds	2,154.44	3,047.44
Total	11,421.15	11,878.12
06(a) INVESTMENSTS		
Investment measured at Fair value:		
In mutual funds		
Number of Units (Absolute Numbers)	6,08,392	11,456
Value (Rs)	572.99	403.62
Aggregate amount of quoted investments	572.99	403.62
Aggregate amount of unquoted investments	-	-
Investment measured at Fair value through P & L	572.99	403.62
Total	572.99	403.62
06(b) TRADE RECEIVABLES		
(a) Trade Receivables considered good - Secured	-	-
(b) Trade Receivables considered good - Unsecured	2,891.56	3,790.11
(c) Trade Receivables which have significant increase in Credit Risk and	-	-
(d) Trade Receivables - credit impaired	-	-
Total	2,891.56	3,790.11
1. Trade receivables are netted with Bill discounting of Rs.1180.73 Laksh (Previous year Rs.2406.59 Lakhs)		
2. Trade receivables ageing schedule is given in Annexure no.6(b)(i)		
06(c) CASH AND CASH EQUIVALENTS		
Balances with banks		
Current Accounts	984.98	950.10
Demand deposits	13,004.69	4,848.56
Cash on hand	30.06	28.47
Sub Total	14,019.73	5,827.13
Demand deposits includes Bank Guarantee of Rs.70.10 Lakhs (Previous year Rs..00 Lakhs)		
06(d) BANK BALANCES OTHER THAN ABOVE		
Balances with banks - Unclaimed dividend	-	-
Current Accounts	89.24	67.64
Sub Total	89.24	67.64
Total	14,108.97	5,894.77



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2024

The Company's cash and cash equivalents consist of cash on hand and in banks and demand deposits with banks, which can be withdrawn at any time, without prior notice and without penalty on the principal.

For the purposes of the cash flow statement, cash and cash equivalents include cash on hand, in banks and demand deposits with banks and net of outstanding bank overdrafts that are repayable on demand and are considered part of the Company's cash management system. In the balance sheet, bank overdrafts are presented under borrowings within current liabilities.

Cash and Cash equivalents consists of the following for the purpose of cash flow statement:

₹ Lakhs

Particulars	As at 31.03.2024	As at 31.03.2023
Cash and Cash equivalents	14,108.97	5,894.77
Bank Overdrafts	(8,626.39)	(7,240.31)
Total	5,482.57	(1,345.54)
06(e) OTHER FINANCIAL ASSETS - CURRENT		
Forward contracts - Asset/(Liability)	456.18	-
Total	456.18	-
07. OTHER CURRENT ASSETS		
Input Tax Credit and Tax Refund receivables	835.20	331.77
Staff Advances	13.94	17.19
Trade Advances	1,237.10	1,373.50
Prepaid Expenses	69.55	36.60
Others	17.82	3.80
Total	2,173.61	1,762.86
08 (a) EQUITY SHARE CAPITAL		
<u>Authorised Capital:</u>		
3,00,00,000 Equity Shares of Rs. 10/- Each	3,000.00	3,000.00
<u>Issued, Subscribed & Paid-up:</u>		
263,30,000 Equity Shares of Rs.10/- each fully paid-up	2,633.00	2,633.00
Total	2,633.00	2,633.00
<u>Reconciliation of the number of shares outstanding is set out below:</u>	No. of Shares	No. of Shares
Equity Shares:		
At the beginning of the year	2,63,30,000	2,63,30,000
Changes during the year	-	-
At the end of the year	2,63,30,000	2,63,30,000



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2024

Terms, Rights, preferences and restrictions:

- (i) The company has one class of equity shares having par value of Rs.10 each. Each share holder is eligible for one vote per share held and carry a right to dividend. In the event of liquidation, the equity share holders are eligible to receive the remaining assets of the company after distribution of all preferential amounts. The distribution will be in proportion to the number of equity shares held by the shareholders.
- (ii) There are no restrictions attached to equity shares

₹ Lakhs

Particulars	As at 31.03.2024	As at 31.03.2023
<u>Details of shareholders holding more than 5% shares:</u>		
Name of the Share Holders		
SKM SHREE SHIVKUMAR		
No of Equity Shares Held as on Balance sheet dt.	1,13,75,139	1,25,92,171
% of Holdings	43.20%	47.82%
TAMILNADU INDUSTRIAL DEVELOPMENTCORPLTD		
No of Equity Shares Held as on Balance sheet dt.	19,95,800	19,95,800
% of Holdings	7.58%	7.58%
Total No of Equity Shares	2,63,30,000	2,63,30,000
Face value of Equity shares	10	10
<u>08(b) OTHER EQUITY</u>		
<u>Securities Premium Account :</u>		
Opening Balance	13.37	13.37
Add : Collected during the year	-	-
Add: Share in Securities Premium of associate	-	-
less: Written back	-	-
Closing Balance	13.37	13.37
<u>General Reserve:</u>		
Opening Balance (Revenue Reserve)	4.33	4.33
Add : Current year transfer	-	-
less : Written back	-	-
Closing Balance	4.33	4.33
<u>Profit & Loss Account:</u>		
Opening Balance	16,764.66	9,303.82
Add : Current Year Balance after appropriation	8,541.65	7,592.48
Less : Dividend Paid	658.25	131.65
Closing Balance	24,648.06	16,764.66
<u>Other Comprehensive Income:</u>		
Opening balance	50.84	44.84
Movement in OCI during the year	347.91	6.00
Closing balance	398.75	50.84
Total	25,064.51	16,833.20

Securities Premium:

This consists of premium realised on issue of shares and will be applied/ utilised in accordance with the provisions of the Companies Act, 2013.



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2024

General Reserve:

General Reserve is an accumulation of retained earnings of the Company, apart from the balance in the statement of profit and loss which can be utilised for meeting future obligations.

₹ Lakhs

Particulars	As at 31.03.2024	As at 31.03.2023
09.(a) BORROWINGS - NON CURRENT		
Secured - At amortised cost		
Term Loan		
From Banks		
i) Machinery Term Loan - HDFC	-	28.34
Nature of loan - Rupee Term Loan		
Maturity date - June 2023		
Terms of repayment - 20 equal quarterly instalments		
Securities offered - Refer note *		
Interest rate - 9.50% p.a.		
Less: Current maturities of long term debt - included in note 12(c)	-	28.34
ii) Machinery Term Loan - HDFC	341.82	452.60
Nature of loan - Rupee Term Loan		
Maturity date - August 2026		
Terms of repayment - 20 equal quarterly instalments		
Securities offered - Refer note *		
Interest rate - 9.35% p.a.		
Less: Current maturities of long term debt - included in note 12(c)	(121.30)	(111.64)
iii) Term Loan - SBI	4,574.83	970.58
Nature of loan - Rupee Term Loan		
Interest rate - 9.25% p.a.		
iv) Vehicle Term Loan - HDFC	35.19	48.71
Nature of loan - Rupee Term Loan		
Maturity date - July 2026		
Terms of repayment - 48 equal monthly instalments		
Securities offered - Refer note *		
Interest rate - 7.25% p.a.		
Less: Current maturities of long term debt - included in note 12(c)	(14.55)	(13.52)
UnSecured		
Loan and Advances from Related Parties		
i) BK Ingredients BV	41.55	57.68
Nature of Loan - Euro Term Loan		
Total	4,857.53	1,404.40

Note : 9(a)(i)* - Machinery Term loans are secured against the first charge against Plant & Machineries & personal guarantee of the Managing Director. Vehicle Term loans are secured against the first charge against Vehicles & personal guarantee of the Managing Director.



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2024

₹ Lakhs

Particulars	As at 31.03.2024	As at 31.03.2023
09 (b) Lease Liabilities - Non current		
Lease Liabilities recognized on Lease Farms	586.58	938.68
Total	586.58	938.68
10. PROVISIONS - NON CURRENT		
Provision for Employee Benefits		
a) Earned Leave Encashment	64.26	51.22
b) Net Gratuity obligation	(12.45)	(26.50)
Total	51.81	24.71
11. Deferred Tax Liability(Net)		
At the start of the year	541.50	542.93
Charge / (credit) to Statement of Profit & Loss	77.95	(1.84)
Charge / (credit) to Other Comprehensive Income	111.81	0.41
At the end of the year	731.26	541.50
Deferred Tax (Assets) / Liabilities in relation to:		
Property, plant and equipment	603.41	547.72
Provisions	16.04	(6.63)
Actuarial Losses / Gains	(3.00)	0.41
Forward contracts Asset / Liability	114.81	-
Total	731.26	541.50
12. MINORITY INTEREST		
Share Capital	1.47	1.47
<u>Retained Earnings:</u>		
Opening Balance	68.57	62.17
Current year Profit/Loss transfer	(2.40)	6.40
Closing Balance	66.17	68.57
<u>Other Comprehensive Income:</u>		
Opening balance	(4.50)	(5.30)
Movement in OCI during the year	3.30	0.80
Closing balance	(1.19)	(4.50)
Total	66.44	65.54



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2024

₹ Lakhs

Particulars	As at 31.03.2024	As at 31.03.2023
13(a) BORROWINGS - CURRENT		
Secured - At amortised cost		
Working Capital Loans		
From Banks		
Foreign Currency Loans	8,600.74	6,587.70
Nature of loan - Packing Credit (Foreign Currency)		
Terms of repayment - On demand		
Interest rate - 6.30% p.a. (LIBOR 5.30% + Spread 1%)		
From Banks		
Rupee Loans	-	548.06
Nature of loan - Cash Credit		
Terms of repayment - On demand		
Interest rate - 9.50% p.a.		
Rabo Bank CC A/c. (Foreign Currency Loans)	25.65	104.55
Nature of loan - Cash Credit (Foreign Currency)		
Terms of repayment - On demand		
Interest rate - 5.50% p.a.		
Current Maturities of Long Term Debt:		
(I) From Banks		
i) Machinery Term Loan - HDFC	121.30	139.99
ii) Vehicle Term Loan - HDFC	14.55	13.52
Total	8,762.25	7,393.82

Working Capital from banks are primarily secured by Hypothecation of stocks of Raw materials, Work-in-progress, finished goods and stores and spares, book debts, receivables, material in transit, etc. Borrowings are secured by second charge on the entire fixed assets of the company and personal guarantees of Executive Chairman and Managing director.

13(b) LEASE LIABILITIES - CURRENT		
Lease Liabilities recognized on Lease Farms	408.00	432.08
Total	408.00	432.08
13(c) TRADE PAYABLES		
Trade Creditors *		
Due to MSME	129.69	23.57
Due to others	2,228.38	2,408.54
Creditors For Expenses & Others		
Due to MSME	-	-
Due to others	-	-
Total	2,358.07	2,432.11



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2024

₹ Lakhs

Particulars	As at 31.03.2024	As at 31.03.2023
Details relating to micro, small and medium enterprises:		
(a) the principal amount and the interest due thereon (to be shown separately) remaining unpaid to any supplier at the end of each accounting year;	129.69	23.57
(b) the amount of interest paid by the buyer in terms of section 16 of the Micro, Small and Medium Enterprises Development Act, 2006 (27 of 2006), along with the amount of the payment made to the supplier beyond the appointed day during each accounting year;	Nil	Nil
(c) the amount of interest due and payable for the period of delay in making payment (which has been paid but beyond the appointed day during the year) but without adding the interest specified under the Micro, Small and Medium Enterprises Development Act, 2006;	Nil	Nil
(d) the amount of interest accrued and remaining unpaid at the end of each accounting year; and	Nil	Nil
(e) the amount of further interest remaining due and payable even in the succeeding years, until such date when the interest dues above are actually paid to the small enterprise, for the purpose of disallowance of a deductible expenditure under section 23 of the Micro, Small and Medium Enterprises Development Act, 2006.	Nil	Nil

Trade payables ageing schedule is given in Annexure no.13(c)(i)

13(c) OTHER FINANCIAL LIABILITIES - CURRENT		
Unclaimed Dividends	89.24	67.64
Total	89.24	67.64

The amount outstanding in respect of unclaimed dividend represents amounts due and outstanding to Investor Education and Protection Fund to the extent of Rs.Nil (Previous year Nil).

14. OTHER CURRENT LIABILITIES		
Advances from customers	41.90	19.31
Statutory Dues	602.64	644.16
Salary & other payables	33.25	7.47
Other payables	2.75	1.92
Total	680.54	672.86
15. PROVISIONS		
Provisions for Employee Benefits		
Bonus Payable	221.80	177.98
Other Provisions	405.87	265.76
Total	627.67	443.74

**NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2024****Annexure - 3(c)(i) - Capital-Work-in Progress (CWIP) ageing schedule:**

₹ Lakhs

Particulars	Outstanding for following periods from due date of payment				
	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
(i) Projects in progress	3266.22	151.65	21.34	-	3439.21
(ii) Projects temporarily suspended	-	-	-	-	-
Total	3266.22	151.65	21.34	-	3439.21

Annexure - 6(b)(i) - Trade receivables ageing schedule:

(₹ in Lakhs)

Particulars	Outstanding for following periods from due date of payment					
	Less than 6 months	6 months - 1 year	1-2 years	2-3 years	More than 3 years	Total
(i) Undisputed Trade receivables – considered good	2,891.16	0.40	-	-	-	2,891.56
(ii) Undisputed Trade Receivables – which have significant increase in credit risk						
(iii) Undisputed Trade Receivables – credit impaired						
(iv) Disputed Trade receivables – considered good						
(v) Disputed Trade Receivables – which have significant increase in credit risk						
(vi) Disputed Trade Receivables – credit impaired						
Total	2,891.16	0.40	-	-	-	2,891.56

Similar information shall be given where no due date of payment is specified in that case disclosure shall be from the date of the transaction.

Unbilled dues shall be disclosed separately.

Annexure - 8(a)(i) - Shareholding of promoters schedule:

Shares held by promoters at the end of the year				% Change during the year
S No	Promoter Name	No of shares	% to total shares	
1	SKM Shree Shivkumar	1,13,75,139	43.20%	-11%
2	S.Kumutaavalli	10,005	0.04%	0%
3	S K.Sharath Ram	11,30,000	4.29%	97%
4	Tamilnadu Industrial Development Corporation Ltd	19,95,800	7.58%	0%
	Total	1,45,10,944	55.11%	



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2024

Annexure - 13(c)(i) - Trade Payables ageing schedule:

₹ Lakhs

Particulars	Outstanding for following periods from due date of payment				
	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
(i) MSME	129.69	-	-	-	129.69
(ii) Others	2,220.71	-	5.76	1.91	2,228.38
(iii) Disputed dues - MSME	-	-	-	-	-
(iv) Disputed dues - Others	-	-	-	-	-
Total	2,350.40	-	5.76	1.91	2,358.07

FINANCIAL RATIOS

S No	Particulars	FINANCIAL YEARS		Change	% Change
		2023 - 24	2022 - 23		
a	Current Ratio	2.45	2.07	0.37	17.98%
b	Debt Equity Ratio	0.53	0.52	0.01	1.00%
c	Debt Service Coverage Ratio	12.59	12.66	-0.07	-0.53%
d	Return on Equity Ratio	30.83%	39.04%	-0.08	-21.02%
e	Inventory Turnover Ratio (Times)	4.05	4.09	-0.04	-1.06%
	Inventory Turnover Ratio (Days)	90.10	89.14	0.96	1.07%
f	Trade Receivables Turnover Ratio (Times)	20.99	20.91	0.08	0.38%
	Trade Receivables Turnover Ratio (Days)	17.39	17.46	-0.07	-0.38%
g	Trade Payables Turnover Ratio (Times)	18.26	20.98	-2.73	-12.99%
	Trade Payables Turnover Ratio (Days)	19.99	17.40	2.60	14.93%
h	Net Capital Turnover Ratio (Times)	2.53	3.40	-0.87	-25.54%
l	Net Profit Ratio	16.25%	15.49%	0.01	4.89%
j	Return on Capital employed	25.12%	33.86%	-0.09	-25.81%
k	Return on investment	30.83%	39.04%	-0.08	-21.02%

**NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2024**

Ratio	Reasons for change of more than 25% as compared to the preceding year
Net Capital Turnover Ratio	The increase in net worth (net capital) is higher than the increase in turnover of the company. Net capital had increased approximately by 42%, whereas, turnover has increased only by 5% in comparison to the preceding year. Due to this, there is a considerable decrease in the net capital turnover ratio.
Return on Capital employed	The increase in capital employed is higher than the increase in profit of the company. Capital employed had increased approximately by 52%, whereas, net profit after tax has increased only by 11% in comparison to the preceding year. Due to this, there is a considerable decrease in the return on capital employed ratio.



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2024

Annexure - Ratios:

₹ Lakhs

S No	Particulars	FINANCIAL YEARS	
		2023 - 24	2022 - 23
a	Current = (Current Assets / Current Liabilities)		
	Current Assets	31,624.46	23,729.48
	Current Liabilities	12,925.76	11,442.25
b	Debt Equity = (Debt / Equity)		
	Debt		
	Long Term borrowings & lease liability	5,444.10	2,343.08
	Short Term borrowings & lease liability	9,170.25	7,825.90
	Total Debt	14,614.35	10,168.98
	Equity		
	Share Capital	2,633.00	2,633.00
	Reserves and Surplus	25,064.51	16,833.20
	Total Equity	27,697.51	19,466.20
c	Debt Service Coverage = (Cash flows available for paying EMI / Instalment amount)		
	Cash flows available for paying EMI		
	Net Profit After Tax	8,539.25	7,598.88
	(+) Depreciation	1,150.58	1,053.96
	(+) Interest on Term Loans & lease liability	205.51	129.71
	Cash flows available for paying EMI	9,895.35	8,782.56
	Loan repayments during the year (term loan + lease liability)	785.67	693.60
d	Return on Equity = (Net Profit After Tax / Equity)		
	Return - Net Profit After Tax	8,539.25	7,598.88
	Equity	27,697.51	19,466.20
e	Inventory turnover = (Cost of goods sold / Average Stock)		
	Cost of goods sold		
	Cost of materials consumed	39,128.30	33,967.55
	Purchase of Stock-in-Trade	4,638.19	6,238.12
	Changes in inventories of finished goods, work-in-progress and Stock-in-Trade	(624.38)	(288.89)
	Direct Wages	1,228.57	1,099.60
	Amortised Value of Birds	2,823.32	2,308.17
	Total	47,194.00	43,324.55
	Average Stock		
	Opening Stock	11,878.12	9,284.06
	Closing Stock	11,421.15	11,878.12
	Average Stock	11,649.64	10,581.09



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2024

₹ Lakhs

S No	Particulars	FINANCIAL YEARS	
		2023 - 24	2022 - 23
f	Trade Receivables turnover = (Revenue from Operations / Average Trade Receivables)		
	Sales - Revenue from Operations	70,112.60	66,177.04
	Average Trade Receivables		
	Trade Receivables - Opening	3,790.11	2,540.76
	Trade Receivables - Closing	2,891.56	3,790.11
	Average Trade receivables	3,340.84	3,165.43
g	Trade Payables turnover = (Purchases / Average Trade Payables)		
	Purchases	43,727.44	40,968.49
	Average Trade Payables		
	Trade Payables - Opening	2,432.11	1,472.96
	Trade Payables - Closing	2,358.07	2,432.11
	Average Trade payables	2,395.09	1,952.54
h	Net capital turnover ratio = (Revenue from Operations / Net Capital)		
	Revenue from Operations	70,112.60	66,177.04
	Net capital (Share Capital + Reserves and Surplus)	27,697.51	19,466.20
i	Net Profit ratio = (Net Profit before tax / Revenue from Operations)		
	Net Profit before tax	11,393.87	10,252.97
	Revenue from Operations	70,112.60	66,177.04
j	Return on Capital employed = (Net Profit after tax / Capital Employed)		
	Net Profit after tax	8,539.25	7,598.88
	Capital Employed		
	Equity	27,697.51	19,466.20
	Non current liabilities	6,293.62	2,974.84
	Capital Employed	33,991.13	22,441.03
k	Return on Investment = (Net Profit after tax / Equity)		
	Net Profit after tax	8,539.25	7,598.88
	Total Equity	27,697.51	19,466.20

**NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2024****16. FINANCIAL INSTRUMENTS:**

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

Financial assets and financial liabilities are initially measured at fair value. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities (other than financial assets and financial liabilities at fair value through Statement of Profit and Loss ('FVTPL')) are added to or deducted from the fair value of the financial assets or financial liabilities, as appropriate, on initial recognition. Transaction costs directly attributable to the acquisition of financial assets or financial liabilities at fair value through profit and loss are recognised immediately in Statement of Profit and Loss.

Trade receivables are initially recognised when they are originated. Trade payables are in respect of the amount due on account of goods purchased or services availed in the normal course of business. They are recognised at their transaction and services availed value if the transaction do not contain significant financing component.

a) Financial Assets**(i) Recognition and initial measurement**

All financial assets are recognized initially at fair value. Transaction costs that are directly attributable to the acquisition of financial assets (other than financial assets at fair value through Statement of Profit or Loss ('FVTPL')) are added to the fair value of the financial assets, on initial recognition. Transaction cost directly attributable to the acquisition of financial assets at FVTPL are recognized immediately in Statement of Profit and Loss.

(ii) Subsequent measurement**Debt instruments at amortised cost:**

A 'debt instrument' is measured at the amortized cost if both the following conditions are met:

- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.
- The asset is held within a business model whose objective is to hold assets for collecting contractual cash flows, and
- Contractual terms of the asset give rise on specified dates to cash flows that are solely payments of principal and interest (SPPI) on the principal amount outstanding.

After initial measurement, such financial assets are subsequently measured at amortized cost using the effective interest rate (EIR) method. Amortized cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortization is included in finance income in the profit or loss. The losses arising from impairment are recognized in the profit or loss. This category generally applies to trade and other receivables.

Debt instrument at FVTOCI:

A 'debt instrument' is classified as FVTOCI if both of the following criteria are met:

- The objective of the business model is achieved both by collecting contractual cash flows and selling the financial assets, and
- The asset's contractual cash flows represent SPPI.

Debt instruments included within the FVTOCI category are measured initially as well as at each reporting date at fair value. Fair value movements are recognized in the other comprehensive income (OCI).

Debt instrument at FVTPL:

FVTPL is a residual category for debt instruments. Any debt instrument, which does not meet the criteria for categorization as amortized cost or as FVTOCI, is classified as FVTPL. Debt instruments included within the FVTPL category are measured at fair value with all changes recognized in the statement of profit and loss.

**NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2024**

In addition, the Company may elect to designate a debt instrument, which otherwise meets amortized cost or FVTOCI criteria, as FVTPL. However, such election is chosen only if doing so reduces or eliminates a measurement or recognition inconsistency (referred to as 'accounting mismatch').

(iii) De-recognition of financial assets

A financial asset is de-recognised only when;

- a. The entity has transferred the rights to receive cash flows from the financial asset or
- b. The entity retains the contractual rights to receive the cash flows of the financial asset, but expects a contractual obligation to pay the cash flows to one or more recipients.

Where entity has transferred an asset, it examines and assesses whether it has transferred substantially all risk and rewards of ownership of financial asset. In such cases, financial asset is de-recognised. Where entity has not transferred substantially all risks and rewards of ownership of financial asset, such financial asset is not de-recognised.

Where the entity has neither transferred a financial asset nor retains substantially all risk and rewards of ownership of the financial asset, the financial asset is de-recognised, if the Group has not retained control of the financial asset. Where the entity retains control of the financial asset is continued to be recognised to the extent of continuing involvement in the financial asset.

(iv) Investments in Equity Instruments in Subsidiary and Associates:

The Company has elected to carry investment in Equity Instruments in Subsidiary and Associates at cost in accordance with Paragraphs 10 of 'Ind AS 27 – Separate Financial Statements'.

b) Financial liabilities and equity instruments**(i) Initial recognition and measurement**

All financial liabilities are recognized initially at fair value plus transaction cost (if any) that is attributable to the acquisition of the financial liabilities which is also adjusted.

(ii) Subsequent measurement

The measurement of financial liabilities depends on their classification, as described below:

Loans and borrowings:

After initial recognition, interest-bearing loans and borrowings are subsequently measured at amortised cost using the Effective Interest Rate (EIR) method. Gains and losses are recognized in profit or loss when the liabilities are de-recognised through the EIR amortization process. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortization is included as finance costs in the statement of profit and loss.

Trade and other payables:

These amounts represent liabilities for goods or services provided to the Company which are unpaid at the end of the reporting period. Trade and other payables are presented as current liabilities when the payment is due within a period of 12 months from the end of the reporting period. For all trade and other payables classified as current, the carrying amounts approximate fair value due to the short maturity of these instruments. Other payables falling due after 12 months from the end of the reporting period are presented as non-current liabilities and are measured at amortised cost unless designated at fair value through profit and loss at the inception.

Other financial liabilities at fair value through profit or loss:

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss. Gains or losses on liabilities held for trading or designated as at FVTPL are recognized in the profit or loss.

**NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2024****(iii) Derecognition of financial liabilities:**

A financial liability is de-recognised when the obligation under the liability is discharged or cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or Modification is treated as the de-recognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognized in the statement of profit or loss.

c) Offsetting

Financial assets and financial liabilities are offset and the net amount is reported in the balance sheet if there is a currently enforceable legal right to offset the recognized amounts and there is an intention to settle on a net basis, to realize the assets and settle the liabilities simultaneously.

d) Impairment of Financial assets

The Company assesses at each date of balance sheet whether a financial asset or a group of financial assets is impaired. Ind AS 109 requires expected credit losses to be measured through a loss allowance. The Company recognizes lifetime expected losses for all contract assets and / or all trade receivables that do not constitute a financing transaction. For all other financial assets, expected credit losses are measured at an amount equal to the 12-month expected credit losses or at an amount equal to the life time expected credit losses, if the credit risk on the financial asset has increased significantly since initial recognition.

e) Fair value measurement

The Company measures financial instruments at fair value at each balance sheet date. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability which are accessible to the Company.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

Valuation:

The financial instruments are initially recognized and subsequently re-measured at fair value as described below :

- (a) The fair value of Forward Foreign Exchange contracts is determined using forward exchange rates and yield curves at the balance sheet date.
- (b) The fair value of the remaining financial instruments is determined using discounted cash flow analysis.
- (c) All foreign currency denominated assets and liabilities using exchange rate at the reporting date.



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2024

Fair Value measurement hierarchy:

The fair value of cash and cash equivalents, other bank balances, loans, trade receivables, trade payables and others approximates their carrying amount. The company uses the following hierarchy for determining and disclosing the fair value of financial instruments by valuation techniques. The fair valuation of current investment is done by Level 1 category valuation, as the investment is quoted and has active market and the various other financial assets and liabilities are done by adopting Level 3 category valuation, as there are no observable inputs for the same.

Level 1 :

Quoted prices (unadjusted) in active markets for identical assets and liabilities.

₹ Lakhs

Particulars	As at 31.03.2024	As at 31.03.2023
Financial Assets		
At fair value through P & L		
(I) Investments - Current	572.99	403.62

Level 2 :

Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e., as prices) or indirectly (derived from prices)

Level 3 :

Inputs for the asset or liability that are not based on observable market data (unobservable inputs)

₹ Lakhs

Particulars	As at 31.03.2024	As at 31.03.2023
Financial Assets		
At amortised cost		
(i) Trade receivables	2,891.56	3,790.11
(ii) Cash and cash equivalents	14,019.73	5,827.13
(iii) Bank balances other than (ii) above	89.24	67.64
(iv) Loans	16.38	13.98
(v) Other Financial Assets	723.91	230.04
Financial Liabilities		
At amortised cost		
(i) Borrowings	13,619.78	8,798.22
(ii) Lease liabilities	994.58	1,370.76
(iii) Trade Payables	2,358.07	2,432.11
(iv) Other Financial Liabilities	89.24	67.64

**NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2024****f) Derivative financial instruments hedge accounting**

Derivative financial instruments are accounted for at FVTPL except for derivatives designated as hedging instruments in cash flow hedge relationships, which require a specific accounting treatment. To qualify for hedge accounting, the hedging relationship must meet several strict conditions with respect to documentation, probability of occurrence of the hedged transaction and hedge effectiveness. These arrangements have been entered into to mitigate currency exchange risk arising on account of repayment of foreign currency term loan and interest thereon.

The Company uses derivative financial instrument i.e. forward contracts to mitigate the risk of foreign exchange exchange rates. At the inception of a hedge relationship, the Company formally designates and documents the hedge relationship to which the Company wishes to apply hedge accounting and the risk management objective and strategy for undertaking the hedge.

Any gains or losses arising from changes in the fair value of derivatives are taken directly to Statement of Profit and Loss, except for the effective portion of cash flow hedge which is recognised in Other Comprehensive Income and later to Statement of Profit and Loss when the hedged item affects profit or loss or is treated as basis adjustment if a hedged forecast transaction subsequently results in the recognition of a Non-Financial Assets or Non-Financial liability.

Hedges that meet the criteria for hedge accounting are accounted for as follows:

A. Cash Flow Hedge

The Company designates derivative contracts or non-derivative Financial Assets/ Liabilities as hedging instruments to mitigate the risk of movement in interest rates and foreign exchange rates for foreign exchange exposure on highly probable future cash flows attributable to a recognised asset or liability or forecast cash transactions.

B. Fair Value Hedge

The Company designates derivative contracts or non-derivative Financial Assets/Liabilities as hedging instruments to mitigate the risk of change in fair value of hedged item due to movement in interest rates, foreign exchange rates and commodity prices.



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2024

17. CAPITAL MANAGEMENT - ADDITIONAL CAPITAL DISCLOSURES:

The Company adheres to the Capital Management framework which is underpinned by the following guiding principles:

- (a) The key objective is to ensure that it maintains a stable capital structure with the focus on total equity to uphold investor, creditor, and customer confidence and to ensure future development of its business.
- (b) Leverage optimally in order to maximize shareholder returns while maintaining strength and flexibility of the Balance Sheet.
- (c) The Company also focusses on keeping strong total equity base to ensure independence, security, as well as a high financial flexibility for potential future borrowings, if required without impacting the risk profile of the Company.
- (d) Proactively manage exposure in forex, interest and commodities to mitigate risk to earnings.
- (e) The Company's goal is to continue to be able to return excess liquidity to shareholders to distribute annual dividends in future years.

This framework is adjusted based on underlying macro-economic factors affecting business environment, financial market conditions and interest rates environment.

The capital structure of the company is as follows:

₹ Lakhs		
Particulars	As at 31.03.2024	As at 31.03.2023
Total Equity (A)	27,697.51	19,466.20
% Change 2024 - 23	42.29%	
Current Loans and borrowings	8,762.25	7,393.82
Non-current loans and borrowings	4,857.53	1,404.40
Total loans and borrowings (B)	13,619.78	8,798.22
% Change 2024 - 23	54.80%	
Loans & borrowings as a percentage of total equity	49.17%	45.20%
Total Capital (A) + (B)	41,317.29	28,264.42
% Change 2024 - 23	46.18%	



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2024

₹ Lakhs

Particulars	2023 - 24	2022 - 23
18. REVENUE FROM OPERATIONS		
Sale of Products :		
Sale of Egg Powder & Egg Liquid - Export	42,203.96	50,307.42
Sale of Eggs - Export	11,466.40	2,431.80
Sale of Egg Powder & Egg Liquid - Domestic	4,743.00	6,699.05
Sale of Eggs & Poultry Feed - Domestic	10,959.17	6,175.61
Sale of Culling Birds, Litter & Egg Shell (Waste)	661.22	479.28
Sale of Declared Goods	69.69	75.28
Lab Analysis Charges Received	9.15	8.58
Total	70,112.60	66,177.04
19. OTHER INCOME		
Interest Income	810.38	87.49
Subsidies	25.91	28.31
Gain on Exchange Fluctuation - Net	223.04	-
Profit/(Loss) on sale of Assets	7.71	-
Profit/(Loss) on sale of Investments	23.50	(2.28)
Unrealized gain or loss on investments	63.52	9.47
Miscellaneous Income	3.63	2.44
Total	1,157.69	125.43
20. COST OF MATERIALS CONSUMED		
<u>Raw materials, additives, consumables, vaccines & medicines consumed:</u>		
Opening Stock	2,181.89	1,443.03
Add: Purchased during the year	37,856.83	33,860.96
Less: Closing Stock	(2,147.61)	(2,181.89)
Raw materials consumed: (a)	37,891.12	33,122.10
<u>Packing materials consumed:</u>		
Opening Stock	159.02	135.06
Add: Purchased during the year	1,232.41	869.41
Less: Closing Stock	(154.25)	(159.02)
Packing materials consumed: (b)	1,237.18	845.45
Total (a + b)	39,128.30	33,967.55



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2024

₹ Lakhs

Particulars	2023 - 24	2022 - 23
21. PURCHASES OF STOCK-IN-TRADE		
Purchase of Egg Powder (Russia & Europe)	4,638.19	6,238.12
Total	4,638.19	6,238.12

The above amount of purchases is inclusive of duties & taxes for which credit is not admissible

22. CHANGES IN INVENTORIES OF FINISHED GOODS, WORK-IN-PROGRESS AND STOCK-IN-TRADE		
Opening Stock	5,726.21	5,437.32
Closing Stock	(6,350.58)	(5,726.21)
(Increase)/Decrease in Stock	(624.38)	(288.89)
23. EMPLOYEE BENEFIT EXPENSES		
Salaries & Wages	3,109.00	2,263.05
Contribution to Provident & Other funds	98.09	84.85
Provision for Gratuity	11.48	14.56
Provision for Earned Leave	32.58	23.75
Staff Welfare Expenses	89.40	82.27
Total	3,340.55	2,468.48

Defined Contribution Plan:

Particulars	2023-24	2022-23
Employer's contribution to Provident Fund	55.01	48.81
Employer's contribution to Pension Scheme	43.73	38.00

The above Employer's contribution to defined contribution plans are net of government contribution of Rs.0.00/- under PMRPY & PMPRPY Scheme for the year 2023-24 (Rs.0.00/- for the year 2022-23).

Defined Benefit Plan:

a. Reconciliation of Opening and Closing Balances of Defined Benefit Obligations:

Particulars	Gratuity (Funded)	
	31-03-2024	31-03-2023
Present Value of obligation at the beginning of the year	134.97	123.74
Interest Cost	9.79	13.25
Current Service Cost	12.61	11.21
Benefits paid	(23.75)	(11.61)
Actuarial (gain) / loss	11.92	(1.63)
Present Value of obligation at year end	145.53	134.97

**NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2024****b. Reconciliation of Opening and Closing Balances of Fair Value of Plan Assets:****₹ Lakhs**

Particulars	Gratuity (Funded)	
	31-03-2024	31-03-2023
Fair Value of plan assets as at beginning of the year	161.47	142.81
Expected return on plan assets	10.91	9.90
Contribution made	9.34	20.36
Benefits Paid	(23.75)	(11.61)
Actuarial gain / (loss) on the plan assets	-	-
Fair Value of plan assets as at year end	157.97	161.47

c. Reconciliation of Fair Value of Assets and Obligations

Particulars	Gratuity (Funded)	
	31-03-2024	31-03-2023
Present value of the obligation	145.53	134.97
Fair Value of plan assets	157.97	161.47
Funded Status (Surplus / (Deficit))	12.45	26.50
Net asset / (liability) recognized in the balance sheet	12.45	26.50

d. Expenses recognized during the year

Particulars	Gratuity (Funded)	
	31-03-2024	31-03-2023
Current Service Cost	12.61	11.21
Interest Cost	9.79	13.25
Expected return on plan assets	(10.91)	(9.90)
Actuarial (gain) / loss	11.92	(1.63)
Net Cost	23.40	12.93

e. Actual return on the plan assets:

Particulars	Gratuity (Funded)	
	31-03-2024	31-03-2023
Expected return on plan assets	10.91	9.90
Actuarial gain / loss on plan assets	-	-
Actual return on plan assets	10.91	9.90



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2024

f. Actuarial Assumptions:

₹ Lakhs

Particulars	Gratuity (Funded)	
	31-03-2024	31-03-2023
Discount rate (Per annum)	7.25%	7.25%
Expected rate of return on Plan Assets (Per annum)	7.25%	7.25%
Rate of escalation in salary (Per annum)	6.50%	6.50%

The data required for disclosing information with regard to sensitivity analysis is not made available by the Actuary despite the concerted attempts made by the company to gather the information in this regard and hence the information relating to sensitivity analysis in terms of the amount of responsiveness and the financial impact consequent to change in discount rate, change in rate of salary escalation and change in rate of employee turnover (while holding all the other factors constant), have not been provided for during the year.

These plans typically expose the company to actuarial risks such as:

Investment risk:

The present value of the defined benefit plan liability is calculated using a discount rate which is determined by reference to market yields at the end of the reporting period on government bonds.

Interest risk:

A decrease in the bond interest rate will increase the plan liability, however, this will be partially offset by an increase in the return on the plan debt investments.

Longevity risk:

The present value of the defined benefit plan liability is calculated by reference to the best estimate of the mortality of plan participants both during and after their employment. An increase in the life expectancy of the plan participants will increase the plan's liability.

Salary risk:

The present value of the defined benefit plan liability is calculated by reference to the future salaries of plan participants. As such, an increase in the salary of the plan participants will increase the plan's liability.



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2024

DISCLOSURE ON ACCOUNTING FOR REVENUE FROM CUSTOMERS IN ACCORDANCE WITH Ind AS 115: ₹ Lakhs

Particulars	2023 - 24	2022 - 23
A. Disaggregated revenue information		
a. On the basis of type of goods and service:		
Sale of manufactured products	69,372.54	65,613.88
Sale of products	-	-
Sale of by-products & declared goods scrap	730.91	554.57
Service Income received	9.15	8.58
Total Operating Revenue	70,112.60	66,177.04
b. On the basis of geographical region:		
In India	16,442.24	13,437.81
Outside India	53,670.36	52,739.22
Total Operating Revenue	70,112.60	66,177.04
c. On the basis of timing of revenue recognition:		
At a point of time	70,112.60	66,177.04
Over a period of time	-	-
Total Operating Revenue	70,112.60	66,177.04
B. Contract Liabilities:		
a. Contract Balances:		
Contract Liabilities	41.90	19.31
C. Revenue recognised during the year in relation to contract liabilities:		
Revenue recognised	19.31	8.29
D. Reconciliation of revenue recognised in the statement of profit and loss with the contracted price		
Revenue at contracted prices	70,112.60	66,177.04
Revenue from contract with customers	70,112.60	66,177.04
Difference	-	-
E. Unsatisfied or partially satisfied performance obligation		
Unsatisfied or partially satisfied performance obligation	Nil	Nil



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2024

₹ Lakhs

Particulars	2023 - 24	2022 - 23
24. FINANCIAL COSTS		
Interest Expenses on Working Capital Loan	678.72	526.79
Interest Expenses on Term Loans	114.81	45.82
Other borrowing costs - bank charges & bill discount	147.53	125.86
Exchange Fluctuation - Net	-	158.63
Interest recognized on Lease farm Assets	90.70	83.89
Total	1,031.76	941.00
25. DEPRECIATION & AMORTISATION		
Depreciation on Property, plant & equipment - Own assets	726.81	678.30
Depreciation on Property, plant & equipment - Leased assets	423.77	375.66
Amortisation of livestock - Birds	2,823.32	2,308.17
Total	3,973.90	3,362.14
26. OTHER EXPENSES		
Power & Fuel	1,729.82	1,992.20
Stores & Spares Consumption	496.46	757.02
Repairs and Maintenance:		
a) Building	124.92	86.65
b) Plant & Machinery	118.84	152.28
c) Vehicle - Fuel & Maintenance	412.97	323.39
d) Computer & Software Maintenance	29.08	26.32
e) Other Maintenance	154.96	164.07
Procurement & Direct expenses	879.79	666.84
Conversion Charges - Powder	138.65	210.00
Foreign Exchange Fluctuation Loss - Net	0.16	381.60
Asset Retirement by Scrapping (write off)	104.87	-
Import Duty & Clearing charges (Branch office Russia)	530.15	856.47
Analysing Charges	57.11	10.31
Rates and Taxes, Registration and Renewal	40.84	44.79
Rent Expenses	63.17	26.06
Postage, Courier, Telephone & Internet Charges	23.93	20.06
Printing & Stationery	13.79	11.69
Insurance Premium	27.84	28.26
Advertisement and Publicity	14.24	5.85
Travelling Expenses	107.92	71.23
Foregin Travelling expenses	38.51	54.60



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2024

₹ Lakhs

Particulars	2023 - 24	2022 - 23
Professional Charges	54.67	52.12
Subscription	4.36	6.37
Miscellaneous Expenses	10.25	8.13
Audit Fees	13.75	7.58
Corporate Social Responsibility (CSR) Expenses	89.00	39.00
Donation	10.21	6.74
Directors Sitting Fee	1.75	1.23
Stock Exchange Listing Fee & Secretarial Expenses	18.46	14.85
Sales Commission	913.14	800.06
Selling Expenses	254.35	296.64
Freight and Forwarding Charges	1,979.98	2,231.11
Total	8,552.35	9,375.02
26(i) PAYMENT TO AUDITORS AS:	Excluded Tax	
(a) Auditor		
Statutory Audit Fees	7.75	3.25
Tax Audit Fees	5.00	4.00
(b) Certification Services - Included in Professional charges	1.04	1.26
(c) For Appeal Representation and Others - Included in Prof charges	1.00	0.25
(d) Reimbursement of expenses	-	-
Total	14.79	8.76
26 (ii) CORPORATE SOCIAL RESPONSIBILITY (CSR):		
as per Section 135 read with Schedule VII of the Companies Act, 2013		
i) Amount required to be spent by the company during the year	88.54	25.99
ii) Amount of expenditure incurred	89.00	39.00
iii) Shortfall at the end of the year	-	-
iv) Total of previous year shortfall	-	-
v) Reason for shortfall	NA	NA
vi) Nature of CSR activities		
Eradicating hunger, poverty & malnutrition, promoting preventive health care and sanitation and making available safe drinking water.		
Promoting Education, including special education and employment enhancing vocation skills especially among children, women, elderly and the differently abled and livelihood enhancement project.		
vii) Details of related party transactions:		
Donation to SKM Health and Mind Welfare Charity Trust	35.00	24.00
Donation to Shree Foundation	38.00	
The trust has adopted two villages and takes care of around 228 families and provides education to children of the families and also provides medical care to their families and also helps the village to remain clean, green & healthy.		

**NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2024**

₹ Lakhs

Particulars	2023 - 24	2022 - 23
The trust shall be to undertake and support activities that promote social welfare, community development, environment sustain ability , education, health care & other initiative that contribute to the betterment of society.		
viii) Where a provision is made with respect to a liability by entering into a contractual obligation, the movements in the provision during the year	NA	NA
27 (i) CURRENT TAX		
Income Tax - Normal Provisions	2,776.73	2,660.16
Income Tax - Relating to preceding years	(0.05)	(4.24)
Total	2,776.67	2,655.92
27. (ii) DEFERRED TAX		
On account of variation of allowances for tax purpose in :		
Depreciation (DTA)/DTL	55.69	(1.59)
Provision for gratuity & earned leave - DTL / (DTA)	22.67	(0.49)
Actuarial Gains / Losses - DTL / (DTA)	(0.41)	0.24
Total	77.95	(1.84)
28. EARNINGS PER SHARE		
(I) Net Profit after Tax as per Statement of Profit and Loss attributable to Equity Shareholders (Rs in Lakhs)	8,542	7,592
(ii) Weighted Average number of Equity Shares used as denominator for calculating Basic EPS (Nos) (In absolute numbers)	2,63,30,000	2,63,30,000
(iii) Weighted Average number Potential Equity Shares (Nos)	-	-
(iv) Total Weighted Average number of Equity Shares used as denominator for calculating Diluted EPS (Nos) (In absolute numbers)	2,63,30,000	2,63,30,000
(v) Basic Earnings per Share (Rs- in absolute figures) (i) / (ii)	32.44	28.84
(vi) Diluted Earnings per Share (Rs- in absolute figures) (i) / (iv)	32.44	28.84
(vii) Face Value per Equity Share (Rs)	10	10

Since the company does not have any Potential Equity Shares, the denominator used for calculating Basic EPS and Diluted EPS are the same and consequently Basic EPS and Diluted EPS are the same.



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2024

₹ Lakhs

29. INCOME TAXES:

The reconciliation between the provision of income tax and amounts computed by applying the Indian statutory income tax rate to profit before taxes is as follows:

Particulars	2023 - 24	2022 - 23
Profit / (Loss) before tax	11,245.61	10,196.37
Applicable Tax Rate	25.17%	25.17%
Computed Tax expense	2,830.30	2,566.22
Income Tax effect of :		
Expenses related to exempt Income	1.53	1.96
Expenses disallowed for tax purposes	(39.77)	38.33
Allowances for tax purposes	(15.99)	9.94
Income exempt from tax	(1.76)	(1.67)
Income taxed at higher / (lower) rates	-	-
Others	2.43	45.37
Current tax provision (A)	2,776.73	2,660.16
Income Tax / (Reversal) - Relating to preceding years (B)	(0.05)	(4.24)
Incremental / (Decremental) Deferred Tax Liability on account of Tangible Assets	55.69	(1.59)
Incremental / (Decremental) Deferred Tax Liability on account of Financial & Other Assets / Liabilities	-	-
(Incremental) / Decremental Deferred Tax Asset on account of Other Assets	22.26	(0.25)
Deferred tax provision (c)	77.95	(1.84)
Tax Expenses recognised in Statement of Profit & Loss	2,854.62	2,654.08
Effective Tax Rate	25.38%	26.03%

**NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2024****30. SEGMENT INFORMATION:**

The Group's operating segments are established on the basis of those components that are evaluated regularly by the Executive Committee (the 'Chief Operating Decision Maker' as defined in Ind AS 108 - 'Operating Segments'), in deciding how to allocate resources and in assessing performance. These have been identified taking into account nature of products and services, the differing risks and returns and the internal business reporting systems.

i) Primary Segment Information:

The company had taken certain poultry farms and feed mills on lease and had started operating the said leased poultry farms and feedmills from the year 2020-21. Accordingly, the eggs and feeds which were purchased and sold was hitherto a trading activity. From the year 2020-21, the company uses the leased poultry farms and manufactures eggs and either sells it outside or uses the eggs as raw material for its own production. Also using the leased feedmills, the feeds are manufactured and it is either sold outside or used as raw material (food) for the birds in the poultry farm. Hence, there is no trading activity and the activity of feed manufacture and production of poultry eggs is an ancillary and supplemental activity and also a backward integration to the company's manufacture of various egg products. Accordingly, there are no reportable segments to be given under the primary segment information.

ii) Secondary Segment Information:

The Company has five geographic segments: India, Japan, Russia, Europe and Rest of the world. Revenues from the geographic segments based on domicile of the customer are as follows:

₹ Lakhs

Particulars	2023 - 24	2022 - 23
1. Segment Revenue - External Turnover		
(a) Within India	16,442.24	13,437.81
(b) Outside India:		
(i) Japan	12,703.10	13,753.12
(ii) Russia	11,487.28	17,198.80
(iii) Europe	5,417.36	7,741.32
(iv) Rest of the World	24,062.62	14,045.98
Total	70,112.60	66,177.04
2. Non-Current Assets		
(a) Within India	15,023.59	9,921.97
(b) Outside India - Europe	1.11	1.79
Total	15,024.71	9,923.77

Revenues from Three customers of the company amount to more than 10% of the Company's total revenues and represent approximately Rs.24,269 lakhs (previous year Rs.17,495 lakhs) of the total revenue of the company.


NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2024
31. RELATED PARTY DISCLOSURES:

As required under Indian Accounting Standard (Ind AS) 24 - Related Party disclosures, disclosure of transactions with related parties are given below:

(a) Classification and name of the Related Parties

(i) Associate	SKM Universal Marketing Company India Private Ltd
(ii) Key Management Personnel	SKM Shree Shivkumar
	SKM Maeilanandhan
	SK Sharath Ram
	K.S.Venkatachalapathy
	P. Sekar
(iii) Relative of Key Management Personnel	Smt.M.Kuttilakshmi
(iv) Other Related Parties	SKM Animal Feeds and Foods India Private Limited
	SKM Siddha and Ayurvedha Company India Private Limited
	SKM Health and Mind Welfare Charity Trust
	Shree Foundation

(b) Description of relationship between the parties :

(i) Associate	
(a) SKM Universal Marketing Company India Private Limited	Domestic associate company in which the company holds 26% voting power
(ii) Key Management Personnel	
(a) SKM Shree Shivkumar	Managing Director
(b) Sri.SK Maeilanandhan	Whole time Director
(c) S.K.Sharath Ram	Whole time Director
(d) K.S.Venkatachalapathy	Chief Financial Officer
(d) P. Sekar	Company Secretary
(iii) Relative of Key Management Personnel	
(a) Smt.M.Kuttilakshmi	Relative of Managing Director & Wholetime Director
(iii) Other Related Parties	
(a) SKM Animal Feeds and Foods India Private Limited	Entity over which Key Management Personnel have significant influence
(b) SKM Siddha and Ayurvedha Company India Private Limited	Entity over which Key Management Personnel have significant influence
(c) SKM Health and Mind Welfare Charity Trust	Entity over which Key Management Personnel is a trustee and have significant influence
(d) Shree Foundation	Entity over which Key Management Personnel is a trustee and have significant influence

**(c) Transactions during the year and year end balances with related parties :**

(c-i) The company has the following related party transactions for the years 2023-24 & 2022-23 :

₹ Lakhs

Nature of relationship	Nature of Transactions	2023 - 24	2022 - 23
(i) Associate	Sale of goods	1,315.57	1,672.98
	Rent Income	0.80	-
	Purchase of goods	267.78	1,016.36
	Purchase of Electricity	375.27	362.03
	Purchase of PPE	0.96	-
(ii) Key Management Personnel	Remuneration paid	963.33	412.47
	Rent paid	3.18	3.21
(iii) Relative of Key Management Personnel	Rent paid	0.45	-
(iv) Other Related Parties	Sale of goods	12.89	9.77
	Purchase of goods	0.92	1.13
	Donation paid	73.00	24.00

(c-ii) The company has the following balances outstanding as of March 31, 2024 and March 31, 2023 :

₹ Lakhs

Nature of relationship	Nature of Balances outstanding	As at 31.03.2023	As at 31.03.2022
(i) Associate	Investments	191.13	30.15
	Trade receivables	66.26	191.54
	Trade payables	-	76.63
(ii) Key Management Personnel	-	-	-
(iii) Relative of Key Management Personnel	Trade payables	-	-
(iv) Other Related Parties	Trade receivables	0.28	-
	Trade payables	-	0.75



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2024

(d) Disclosures in respect of major related party transactions during the year :

The following are the significant related party transactions during the year ended March 31, 2024 and March 31, 2023 ₹ Lakhs

Particulars	Relationship	2023 - 24	2022 - 23
1) Purchase of goods			
(a) SKM Siddha and Ayurvedha Company India Private Limited	Other Related Party	0.92	1.13
(b) SKM Universal Marketing Company India Private Limited	Associate	267.78	1,016.36
2) Purchase of Electricity			
(a) SKM Universal Marketing Company India Private Limited	Associate	375.27	362.03
3) Purchase of Property, Plant & Equipment			
(a) SKM Universal Marketing Company India Private Limited	Associate	0.96	-
4) Rent paid			
(a) SKM Shree Shivkumar	Key Management Personnel	3.18	3.21
(b) Smt.M.Kuttilakshmi	Relative of Key Management Personnel	0.45	-
5) Remuneration paid			
(a) SKM Shree Shivkumar	Key Management Personnel	839.64	342.26
(b) Sri.SK Maelanandhan	Key Management Personnel	59.75	30.60
(c) S.K.Sharath Ram	Key Management Personnel	18.38	-
(d) K.S.Venkatachalapathy	Key Management Personnel	34.02	30.81
(e) P.Sekar	Key Management Personnel	11.54	8.79
6) Donation paid			
SKM Health and Mind Welfare Charity Trust	Other Related Party	35.00	24.00
Shree Foundation	Other Related Party	38.00	-
7) Sale of goods			
(a) SKM Animal Feeds and Foods India Private Limited	Other Related Party	12.89	9.77
(b) SKM Universal Marketing Company India Private Limited	Associate	1,315.57	1,672.98
8) Rent Income			
(a) SKM Universal Marketing Company India Private Limited	Associate	0.80	-



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2024

₹ Lakhs

The following are the significant related party balances outstanding as of March 31, 2024 and March 31, 2023

Particulars	Relationship	As at 31.03.2024	As at 31.03.2023
1) Trade receivables			
(a) SKM Universal Marketing Company India Private Limited	Associate	66.26	191.54
(b) SKM Animal Feeds and Foods India Private Limited	Other Related Party	0.28	-
2) Trade payables			
(a) SKM Universal Marketing Company India Private Limited	Associate	-	76.63
(b) SKM Siddha and Ayurvedha Company India Private Limited	Other Related Party	-	0.75
(c) Smt.M.Kuttilakshmi	Relative of Key Management Personnel	-	-
3) Investments			
(a) SKM Universal Marketing Company India Private Limited	Associate	191.13	30.15

(e) Compensation of Key Management Personnel

Particulars	2023 - 24	2022 - 23
(i) Short-term employee benefits	919.37	368.80
(ii) Post-employment benefits *	43.96	43.67
(iii) Other long-term benefits	-	-
(iv) Termination benefits	-	-
(v) Share-based payment	-	-
	963.33	412.47

* - Post-employment benefit comprising gratuity, and compensated absences are not disclosed as these are determined for the Company as a whole.



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2024

Foreign currency risk:

The company is essentially an Export Oriented Undertaking and makes significant exports and has availed Working Capital Loan (Packing Credit) in Foreign currency and also imports goods, stores & spares occasionally. The Company is exposed to foreign currency risk on these transactions. The Company follows a conservative and sound policy by entering into simple Forward Exchange Contracts to hedge the foreign currency risk whose maturity is coterminous with the maturity period of the foreign currency liabilities and receivables.

The following table shows the foreign currency exposure in USD and EUR on financial statements at the end of the reporting period. The exposure to foreign currency for all other currencies are not material.

		₹ Lakhs	
Particulars		As at 31st March 2024	As at 31st March 2023
(i) Borrowings:	Euro	615.90	2,056.05
	USD	8,052.51	4,704.28
(ii) Trade & other payables	Euro	339.00	367.20
	USD	342.77	9.67
(iii) Trade & other receivables	Euro	(649.59)	(1,068.98)
	USD	(2,133.31)	(2,857.28)
Net Exposure (i + ii - iii)		6,567.29	3,210.94

Sensitivity analysis of 1% change in exchange rate at the end of the reporting period net of hedges

Particulars	As at 31st March 2024 (₹ in Lakhs)		
	USD	Euro	Total
1% Depreciation in INR			
Impact on equity	-	0.89	0.89
Impact on P & L	(62.62)	(3.94)	(66.56)
Total	(62.62)	(3.05)	(65.67)
1% Appreciation in INR			
Impact on equity	-	(0.89)	(0.89)
Impact on P & L	62.62	3.94	66.56
Total	62.62	3.05	65.67
	As at 31st March 2023 (₹ in Lakhs)		
	USD	Euro	Total
1% Depreciation in INR			
Impact on equity	-	0.59	0.59
Impact on P & L	(18.57)	(14.13)	(32.70)
Total	(18.57)	(13.54)	(32.11)
1% Appreciation in INR			
Impact on equity	-	(0.59)	(0.59)
Impact on P & L	18.57	14.13	32.70
Total	18.57	13.54	32.11



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2024

Interest rate risk:

The risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Company has availed significant Foreign Currency Working Capital Loan (In USD as well as Euro) by way of Packing Credit at floating interest rates. The interest rate is at 2% (spread) plus LIBOR rate of respective Bank and the interest rate is reset based on the LIBOR rate, as per the loan facility agreement. The Company has not entered into any of the interest rate swaps and hence, the Company is exposed to interest rate risk.

The Company considering the economic environment in which it operates has determined the interest rate sensitivity analysis (interest exposure) at the end of the reporting period. The interest rate for the Company are floating rates and hence, the analysis is prepared assuming the amount of the borrowings outstanding at the end of the reporting period was outstanding for the whole year. A 100 basis point +/- fluctuation in the interest rate is used for disclosing the sensitivity analysis.

The exposure of the company's borrowings to interest rate changes at the end of the reporting period are as follows

₹ Lakhs

Particulars	As at 31st March 2024	As at 31st March 2023
(i) Borrowings - Short term		
Borrowings in Euro - PCFC	548.23	1,883.42
Borrowings in USD - PCFC	8,052.51	4,704.28
Borrowings in Euro - CC	25.65	104.55
Borrowings in INR- CC	-	548.06
Borrowings in INR - Current maturity of Long Term loan	135.86	153.51
(ii) Borrowings - Long term		
Borrowings in INR	4,857.53	1,404.40
Net Exposure	13,619.78	8,798.22

Impact on interest expenses for the year on 1% change in interest rates

₹ Lakhs

Particulars	2023 - 24	2022-23
Up Move		
Impact on equity	-	-
Impact on P & L	(143.25)	(158.34)
Total	(143.25)	(158.34)
Down Move		
Impact on equity	-	-
Impact on P & L	143.25	158.34
Total	143.25	158.34

The interest rate sensitivity analysis is done holding on the assumption that all other variables remaining constant. The increase / decrease in interest expense is mainly attributable to the Company's exposure to interest rates on its variable rate of borrowings.

Commodity price risk:

Commodity price risk arises due to fluctuation in prices of eggs, feeds and other products. The company has a risk management framework aimed at prudently managing the risk by reducing the external dependability and enhancement of self reliance by manufacturing the commodities in house to the extent possible.



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2024

Credit risk:

Credit risk is a risk that a customer or counterparty to a financial instrument fails to perform or pay the amounts due, causing financial loss to the company. Credit risk arises from Company's outstanding receivables from customers and other parties. The company has a prudent and conservative process for managing its credit risk arising in the course of its business activities. The Company ensures that sales of products are made to customers with appropriate creditworthiness. Credit risk is controlled by analysing credit limits and creditworthiness of customers on a continuous basis to whom the credit has been granted after obtaining necessary approvals for credit.

Geographic concentration of credit risk:

Geographic concentration of trade receivables is as follows:

₹ Lakhs

Particulars	As at 31st March 2024	As at 31st March 2023
(a) Within India	383.53	611.23
(b) Outside India:		
(i) Japan	79.77	118.07
(ii) Russia	1,588.82	1,616.88
(iii) Europe	463.91	500.87
(iv) Rest of the World	375.54	943.05
Total	2,891.56	3,790.11

Year ended 31-03-2024

Expected credit loss for trade receivables under simplified approach

₹ Lakhs

Ageing	Upto 180 days	More than 180 days	Total
Gross carrying amount - Trade receivables	2,891.16	0.40	2,891.56
Expected credit losses (Loss allowance provision) - trade receivables	-	-	-
Carrying amount of trade receivables (net of impairment)	2,891.16	0.40	2,891.56

Year ended 31-03-2023

Expected credit loss for trade receivables under simplified approach

₹ Lakhs

Ageing	Upto 180 days	More than 180 days	Total
Gross carrying amount - Trade receivables	3,660.59	129.52	3,790.11
Expected credit losses (Loss allowance provision) - trade receivables	-	-	-
Carrying amount of trade receivables (net of impairment)	3,660.59	129.52	3,790.11

The Company determines the allowance for credit losses based on historical loss experience adjusted to reflect current and estimated future economic conditions. The Company considered current and anticipated future economic conditions relating to industries the Company deals with and the countries where it operates. In calculating expected credit loss, the company has also considered credit reports and other related credit information for its customers to estimate the probability of default in future.



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2024

Liquidity risk:

Liquidity risk arises from the company's inability to meet its cash flow commitments on time. Prudent liquidity risk management implies maintaining sufficient stock of cash and cash equivalents.

This has been achieved by the company by maintaining cash & cash equivalents of Rs. 14,019.73 lakhs as on 31st March 2024 and Rs. 5,827.13 lakhs as on 31st March 2023

Liquidity risk is also mitigated by maintaining availability of standby funding through an adequate line up of committed credit facilities. This has been achieved by the company by availing the Packing Credit facility from the bank of Rs. 8,626.39 lakhs as on 31st March 2024 and Rs. 6,692.25 lakhs as on 31st March 2023

Liquidity Exposure as at 31.03.2024:

₹ Lakhs

Particulars	< 1 year	1 - 5 years	> 5 years	Total
Financial Assets:				
Investments	572.99	-	191.13	764.12
Loans	-	16.38	-	16.38
Trade receivables	2,891.56			2,891.56
Cash and cash equivalents	14,019.73			14,019.73
Bank balances other than above	89.24			89.24
Other Financial Assets	456.18		267.72	723.91
Total Financial Assets	18,029.70	16.38	458.86	18,504.94
Financial Liabilities:				
Borrowings	8,762.25	4,857.53	-	13,619.78
Lease Liabilities	408.00	586.58	-	994.58
Trade Payables	2,358.07			2,358.07
Other Financial Liabilities	89.24			89.24
Total Financial Liabilities	11,617.55	5,444.10	-	17,061.66

Liquidity Exposure as at 31.03.2023:

₹ Lakhs

Particulars	< 1 year	1 - 5 years	> 5 years	Total
Financial Assets:				
Investments	403.62		30.15	433.76
Loans	-	13.98		13.98
Trade receivables	3,790.11			3,790.11
Cash and cash equivalents	5,827.13			5,827.13
Bank balances other than above	67.64			67.64
Other Financial Assets	-		230.04	230.04
Total Financial Assets	10,088.50	13.98	260.18	10,362.66
Financial Liabilities:				
Borrowings	7,393.82	1,404.40		8,798.22
Lease Liabilities	432.08	938.68		1,370.76
Trade Payables	2,432.11			2,432.11
Other Financial Liabilities	67.64			67.64
Total Financial Liabilities	10,325.64	2,343.08	-	12,668.73



NOTES

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....



NOTES

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....



SKM EGG PRODUCTS

THINKING OUT OF THE SHELL

SKM EGG PRODUCTS EXPORT (INDIA) LIMITED

Tel : +91 424 23 51 532-33
E-mail : finance@skmegg.com
E-mail : shares@skmegg.com

133, 133/1, Gandhiji Road, Erode.
Tamilnadu, India. Pin : 638 001
Website : www.skmegg.com